

REFORM OF THE RESOURCE MANAGEMENT SYSTEM

The urban context

Greg Severinsen

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The enduring strength of cities reflects the profoundly social nature of humanity. Our ability to connect with one another is the defining characteristic of our species.

Edward Glaeser, 2011

The right to the city is far more than the individual liberty to access urban resources: it is a right to change ourselves by changing the city.

David Harvey, 2008

... the happy city, the low carbon city and the city that will save us are the same place, and [we] have the wherewithal to create it.

Charles Montgomery, 2015

Aotearoa New Zealand's current resource management system is broken. It is failing to achieve its purpose and has become complex, dysfunctional and inaccessible.

Kahui Wai Māori, 2019

Repeated amendments to [New Zealand's] planning statutes have increased their complexity and reduced their coherence...

The natural and built environments require different and distinctive regulatory approaches.

New Zealand Productivity Commission, 2017

... much remains to be done to ensure that the principle of partnership inherent in the Treaty moves towards an everyday reality... The time is ripe to undertake a comprehensive review of the Resource Management Act and other significant legislation comprising the resource management system.

Hon Tony Randerson QC, 2019

EXECUTIVE SUMMARY

1. Introduction

In its *Reform of the Resource Management System* project, the Environmental Defence Society (EDS) has looked, from first principles, at how Aotearoa New Zealand can manage its environment and resources better in the future. A comprehensive rethink is urgently required, not just another round of tinkering to legal frameworks.

Over the past three years we have produced two reports on this vast subject. The first (the culmination of Phase 1) analysed the resource management system as a whole and presented options for change. The second report (marking the completion of Phase 2 of the project) put forward a single preferred model and a timeline for how its pieces could be put into place over a period of years. Towards the end of Phase 2, the government established a panel of experts, ably chaired by the Hon Tony Randerson QC, to investigate resource management system reform and produce independent recommendations. This process has drawn on EDS's work, and its final report is keenly anticipated at the time of writing.

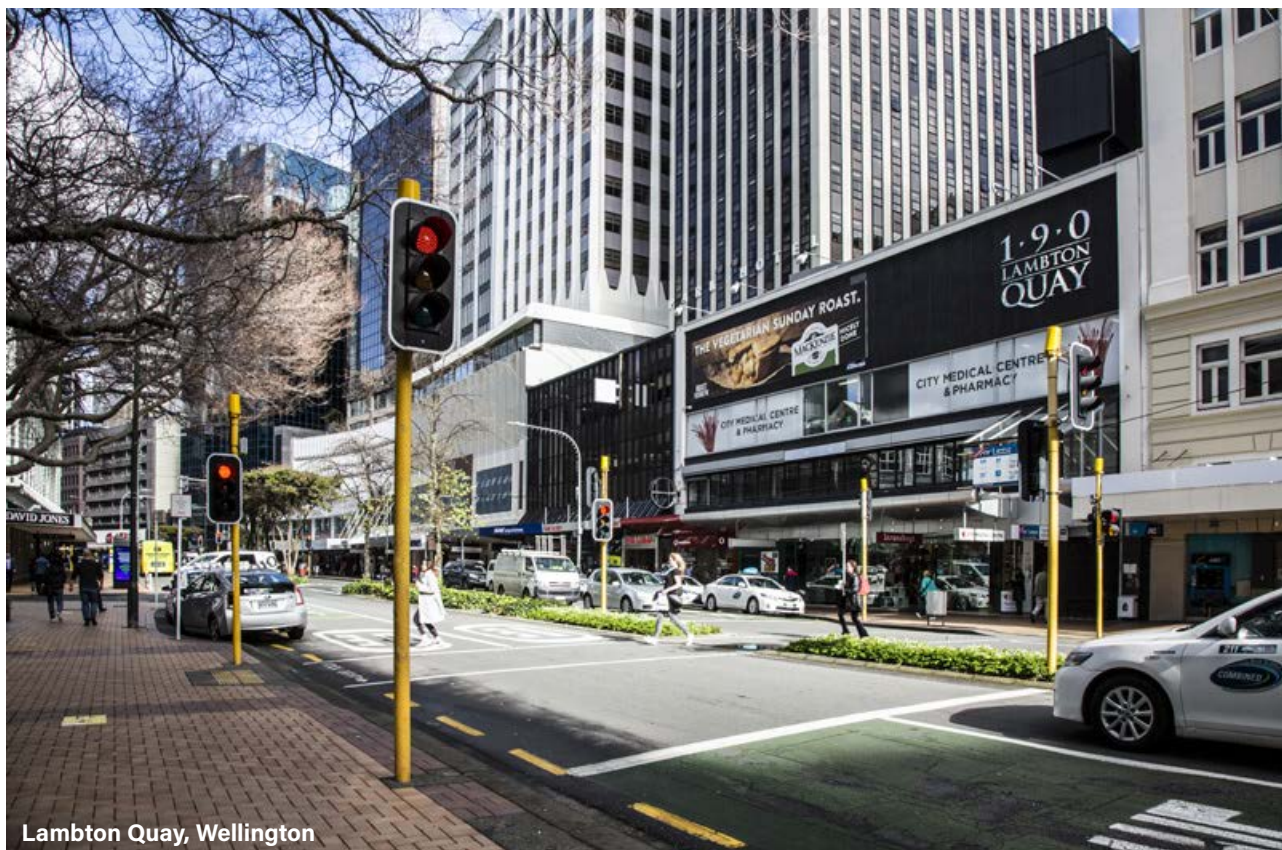
In recent weeks and months there has been even greater interest in questions of system reform. Momentum is growing. We face an election period in which the Resource Management Act (RMA), environmental stewardship and the resource base on which our wellbeing depends will be hotly debated topics.

So too will the more specific topics of urban development, renewal and change. Questions about our urban environments – how our towns and cities are planned, how they function and how they interact with people and the environment – are core to wider questions about resource management reform. In fact, issues like housing affordability, infrastructure performance and urban environmental risks are key factors driving a case for change.

This document marks the conclusion of a third phase of EDS's system reform work. It looks more specifically at how resource management system change would play out in the urban context.

Although the RMA is a key element of the "resource management system" in and around urban areas, this system is about much more than just the that Act. It is about all the formal mechanisms by which we protect and cherish our natural heritage, provide for New Zealanders' social, cultural and economic wellbeing, and preserve resources for future generations.¹

How the system applies to the urban context is therefore wider than traditional notions of urban "planning". It extends to foundational questions of ethics; what the system is there for; legal and planning principles; the need to address climate change; funding and institutional arrangements; a wide range of incentives for deeper behavioural change; and much else. Reform needs to be holistic, synergistic and transformational. It is not just about how we facilitate urban development,



Lambton Quay, Wellington

2. Scope and objectives

In Chapter 2 we begin by looking at the report's scope, concluding that it is artificial and ultimately unhelpful to draw sharp distinctions between matters that are "urban" or "non-urban", or "built" or "natural". There are considerable overlaps and linkages between all of these things and a holistic lens is needed when thinking about the place of cities in a future system. Cities and buildings have complex connections with people, communities, freshwater, air, land, biodiversity and climate over both space and time. It is risky to think about things like urban development, housing, indigenous flora and fauna, climate change and freshwater in policy silos.

In Chapter 3 we turn to the objectives we should have for future urban areas. Cities are not inherently bad phenomena; they provide for many social, cultural and economic benefits that come naturally from agglomerations of people (eg the efficient exchange of ideas, social connection and mobility, efficiencies in productivity, opportunities for recreation, access to employment and so on). Cities can also be good for the environment, reducing people's overall environmental footprint. However, the system needs to support rather than undermine their benefits, while also guarding against the very real adverse impacts cities can have.

Housing needs to be affordable, safe and healthy; infrastructure and services need to be reliable, efficient and future-proofed; communities need to be resilient to economic and environmental shocks; people's health needs to be safeguarded. Our cities should actively strive not only to reduce negative environmental impacts (waste, carbon emissions, pollution, biodiversity loss), but also to actively enhance the environment. As cities grow and change, there are significant opportunities to do that. For example, the United Kingdom's Environment Bill looks set to require a net improvement in biodiversity from new greenfields urban development. New subdivisions can be planned to make the most of passive energy, well-designed density and connection to nature, and active or mass transport links. Houses can be built to allow the easy addition of rain

harvesting or solar electricity later on. If we wait to do these things after the fact, it may be much harder in order to achieve positive environmental outcomes.

Process objectives are important too; the national interest needs to be reflected, but communities and Māori need to be at the heart of how we shape urban areas. Transparency, timeliness and accountability are, of course, crucial across the board.

Above all of this looms the enormous potential for our towns and cities to achieve synergistic benefits if they are planned strategically towards common goals. For example, greening our cities offers benefits for mental health, infrastructure costs, biodiversity, freshwater and the climate. Social, environmental, economic and social outcomes can often all be improved at the same time if public policy and private incentives for investment and behaviour change are well coordinated. Perhaps the most important thing to remember is that well-planned urban areas are about more than just the provision of affordable and adequate housing and infrastructure.

Overall, we think that the cities of our future should be good for our health and make us happy. They should embrace carbon neutrality and zero waste. One can imagine urban networks of electric vehicle infrastructure for the easy mobility of freight and people; energy neutral and water sensitive buildings and infrastructure; and a resurgence of greenery and indigenous biodiversity. Nature should be brought into the city, as should community food production and hydroponic farming. The principles of the Treaty would be respected, with our cities referencing Māori design and their pre-European roots. We can picture a place where warm and healthy housing is within the reach of all, and where people and buildings are prepared for the impacts of a changing climate. It would be a place where positive social connection is encouraged through a compact urban form with green space, safe streets, rapid mass transit or public transport, walkable neighbourhoods and active transport. Beyond the city we would preserve open space, productive land with easy and affordable access to urban food markets and indigenous forest readily accessible to urbanites.



Hobsonville Point, Auckland

4. The future of the RMA

In light of its performance and complexity, there have been calls to “get rid” of the RMA. What this means in practice can vary, but one option is for it to be split up into two separate pieces of legislation. There could be one statute focused on environmental protection – an Environment Act – and another one focusing on the concept of “planning” – a Planning Act. It is not always clear, when people talk about this distinction, what exactly is being meant. However, the intention often seems to be that a Planning Act would be focused on land use and infrastructure, whereas an Environment Act would be focused on protecting other domains like air, water and flora and fauna. In Chapter 5 we look at whether this kind of split is a good idea.

The rationale for splitting up the RMA is that a framework for urban planning would include a wider set of principles, not just those that apply to the “natural” environment (eg it would not treat changes to amenity as an adverse environmental effect and it would actively embrace the benefits of urban development and housing). A focused Planning Act could also be better placed to integrate decision making on land use with that for associated infrastructure so that rapid urban growth could occur in a more coordinated way. That is a legitimate concern. In the current system, land use planning under the RMA happens in a separate framework to the planning and funding of infrastructure often needed to make land use change actually happen, especially in and around cities. Land use controls and infrastructure planning could be integrated together into a Planning Act. The outcome might be the more timely provision of housing. Alongside that, an Environment Act would be focused on imposing strict environmental limits that development would need to meet.

However, we see considerable downsides to splitting the RMA. There is a close connection between land and other aspects of the environment, and they need to be managed holistically. The distinction between land use planning and the “environment” is not a sharp enough one to make a legislative split desirable. The frequent use of individually small-scale examples of urban planning restrictions (eg fence heights, minor shading effects, an extension of a suburban home) obscures the fact that bigger picture or cumulative land use decisions about urban form can and do have significant ramifications for environmental wellbeing. For example, dispersed development can have considerable impact on climate change, energy efficiency and the viability of public transport; the location of industrial activities and transport routes has implications for urban water quality that are not easy to mitigate later on; and the absence of urban trees and permeable space can impact on a city’s micro-climates and flooding. Urban land use decisions also have systemic implications over the long term for biodiversity (many of New Zealand’s most threatened terrestrial environments are found within or close to urban centres), soil and food production.

Furthermore, how we manage land is crucial to a precautionary and preventative approach to environmental effects more broadly, because individual

uses of the land generate cumulative (and usually poorly monitored) impacts. Decisions about land use have significant long term “environmental” consequences and cannot be divorced from big picture thinking about most environmental issues. It is particularly difficult to reverse urban sprawl once it occurs – we are giving up many alternative land use choices (eg food production, nature conservation) when we concrete over soils and locking in transport modes (eg cars) in our choice of urban form. Of course, equally robust or even identical environmental principles could be built into a Planning Act dealing only with land use. But then, what would be the point of splitting up the RMA in the first place?

There are also important cross-cutting planning and environmental concepts like landscape, energy efficiency, ecosystem-based management and catchment-scale management that require a tightly integrated regime. How would these concepts be meaningfully provided for if land use planning were to be located under a different regime with different decision-makers and processes? It is by no means obvious what kinds of things should be in one statute or another, and how they should relate. That extends to impacts on people and communities, which are part of the holistic “environment” under the RMA. If we had a Planning Act and an Environment Act, where would such impacts be considered? In both?

And how would fragmenting consideration of urban land use fit with te Ao Māori? We leave that question to Māori, but note that the Te Aranga principles stress that the notion of a cultural landscape connects “whānau and whenua, flora and fauna, through whakapapa. It does not disconnect urban from rural. It transcends the boundaries of ‘land’scape into other ‘scapes’; rivers, lakes, oceans and sky.”⁴

While a Planning Act could be made expressly “subject to” an Environment Act, this tends to assume that there are always hard and fast rules in the latter with which the former could simply “comply” (eg preventing further harm through discharge standards, protected areas etc). For some things, involving clearly defined spatial or performance-based limits, that will be the case (eg acceptable attributes for a waterway). But what is also needed is an integrated approach where development and land use decisions actively pursue environmental goals alongside other aspects of human wellbeing, not just comply with bottom lines (eg how urban form and design can be energy efficient, enhance people’s connection with nature, improve biodiversity, reduce greenhouse gas emissions and improve water quality).

Splitting the RMA could also cause considerable confusion, overlap and inefficiency. There would likely be a need to either duplicate or cross-reference provisions concerning public participation, timeframes for decisions and other procedural matters. Endless questions would arise concerning relationships between different instruments. It would risk extensive litigation to define boundaries. We might end up trading one enormous statute for two statutes that, when combined, would be even larger and more confusing. Rather than making urban development faster, it may simply introduce

5. Purpose and principles

In Chapter 6 we look at the purpose and principles for an Environmental Stewardship and Planning Act, and the appropriateness of what we already have (Part 2 of the RMA) when looked at through an urban lens. This question leads us deeper into assumptions about why we have a resource management system in the first place, and the (often unspoken) philosophical underpinnings of the RMA.

Most fundamentally, we conclude that it should be made clear that the rationale for having a resource management system, especially in cities, is more than (1) the internalisation of negative externalities, (2) the provision of public goods and services (eg infrastructure), and (3) coordinating public and private activities. That is too narrow a perspective. The system needs to encompass many other imperatives that are about achieving the public interest, giving effect to the principles of the Treaty of Waitangi and securing the interests of future generations. While economics is a crucial discipline to draw on in urban resource management alongside many others (such as physical sciences, social sciences and planning), and restrictions need to be justified and proportionate, the system as a whole and legitimate reasons for intervention need to be founded on a broader set of values (including local deliberative democracy). There should not be an assumption that the free market is right or that intervention is only justifiable where markets have demonstratively failed.

The need to embrace a broad rationale for the system extends to the need to revisit the ethos of our core legislation. In the late 1980s, the RMA was forged in the dual crucibles of free market economics and the concerns of a budding environmental movement. It has been described as being effects based rather than outcomes based, reactive and market-led, and focused on preventing harm rather than pursuing benefits. And while in practice it has not prevented a lot of good urban planning from happening over the years, it does not provide an ideal foundation. It is overwhelmingly focused on biophysical protections (which are, of course, crucial) but, aside from fleeting reference to enabling people to provide for their own wellbeing, it shies away from recognising that a much wider range of outcomes vital to urban success can and should actively be planned for. The Act fails to give express recognition of the fact that there are considerable synergies that should be pursued between social, economic, cultural and environmental wellbeing (for example, those provided by a compact/efficient urban form). It needs to be more strongly about anticipating change and planning for a future we want, not a framework for assessing the negative effects of what market forces make attractive.

The place where this shift needs to be most strongly recognised is in the purpose and principles of a new Environmental Stewardship and Planning Act. In our view, two key things need to change. First, the Act should explicitly embrace a much wider range of principles for good urban planning, including the pursuit of positive

outcomes rather than a focus on assessing adverse effects. Why, for example, is Part 2 of the RMA silent as to such crucial urban objectives as liveability, mobility and connection? Or resilience, food and water security, good urban design and cultural landscape? Perhaps most significantly, where is the recognition of the need to drive change (eg towards a zero carbon or zero waste future, or one in which we actively seek to “green” urban areas), not just manage resources or mitigate future harm? By contrast, we can look to more recent strategic instruments that talk about the need for a resilient, low-carbon and healthy food system, the need for decentralised renewable energy, a circular economy, fairness and the need to enhance, connect and work with natural systems. The RMA looks decidedly dated compared to such things.

Secondly, a comprehensive and coherent range of biophysical environmental limits need to be much more clearly defined, required and defended in a new Act’s purpose and principles. Those are just as important in and around cities as they are in rural areas, and all other principles need to be expressly subject to them. Climate change mitigation and a specific link to the targets and budgets of the Climate Change Response Act need to be strongly recognised.

Furthermore, the new Act’s purpose and principles need to be strongly oriented towards pursuing solutions that achieve synergies between social, environmental, cultural and economic wellbeing. For example, increasing indigenous planting in and around urban areas can have a wide range of benefits, yet it is often seen as a grudging concession to environmental “protection” rather than a win-win situation. Similarly, compact/efficient urban form and density done well presents many synergistic outcomes but is often derided in favour of market freedom and residential sprawl. This mindset needs to change and should be reflected by an Environmental Stewardship and Planning Act that presents a green vision for urban development and economic prosperity that better provides for urbanites’ health and wellbeing, not just a list of things we don’t want to happen.

This is reflected in the statute’s name, in several senses: (1) decision-makers will not be dealing with a series of resources but rather a holistic concept of the “environment”; (2) we are not managing the environment, but rather looking after it as stewards, no matter what the spatial context (urban or otherwise); and (3) we are actively planning for change, not just in the traditional sense of managing human activities on land but also driving towards a vision for a future we want and need.⁶ A stronger recognition of true biophysical limits should be accompanied by a more nuanced treatment of protections that are not “limits” in the same sense. In particular, the concept of urban amenity should give way to a more nuanced engagement with urban planning principles founded on liveability, connection, dynamism and the importance of both existing and future residents’ interests.

Across both of these shifts – towards stronger environmental limits and recognition of urban planning principles – there needs to be recognition of the principles

A single piece of integrated national direction – what we are calling a National Environment Plan – would much better address potential conflicts and uncertainty. It would link together a comprehensive range of national level objectives, policies and regulations, and would be expected to specifically identify the environmental limits required under a new purpose and principles. That would include the imposition of strong environmental bottom lines in urban areas, which may look different to other areas. It would outline ways in which improvements would be achieved where bottom lines are not currently being met. While it would still be a single instrument, a National Environment Plan could include targeted provisions or expectations for particular geographical areas (eg Auckland) that would express how more general provisions were expected to apply.

We also see a strong case for a strengthened Environmental Protection Authority (EPA) (or other independent agency) to have a role in translating ministerially determined policy provisions for environmental limits (ie NPS provisions) to the regulatory rules and standards that bite on the ground (ie NES provisions). The rationale for this is that once the value-based policy has been established by accountable ministers (as long as it complies with the Act's strengthened purpose and principles), the rules implementing it can more appropriately be left to independent and objective decision making. This role for the EPA (or similar agency) would include, but would not be limited to, provisions regulating drinking water, wastewater and stormwater that are so vital for both human and environmental health in cities across the country.

There also needs to be a strong link between climate change mitigation and adaptation imperatives in the

Climate Change Response Act and a National Environment Plan. National level regulatory and policy provisions concerning land use and greenhouse gas emissions will be crucial to ensuring that the lofty ambitions of our flagship climate change legislation are actually realised in practice. At present, there is no clear link and no clear plan for how the RMA will contribute to greenhouse gas targets and budgets. That will need to change under a new Environmental Stewardship and Planning Act.

8. Central government should be required to promulgate a comprehensive range of national direction that gives effect to the purpose and principles of a new Environmental Stewardship and Planning Act, including in cities. This would mean that matters identified as being of national importance then have an expectation of at least some national response (which might take the form of policy, regulation or both).
9. There should be a clearer definition of subsidiarity in a new Act, outlining the reasons for which central and local government are expected (or required) to act.
10. A coherent suite of national direction should be contained within a single instrument: a National Environment Plan. Links and hierarchies between policies should be made clear, including those for environmental protection and enhancement (eg biodiversity targets) and urban development/urban development capacity.



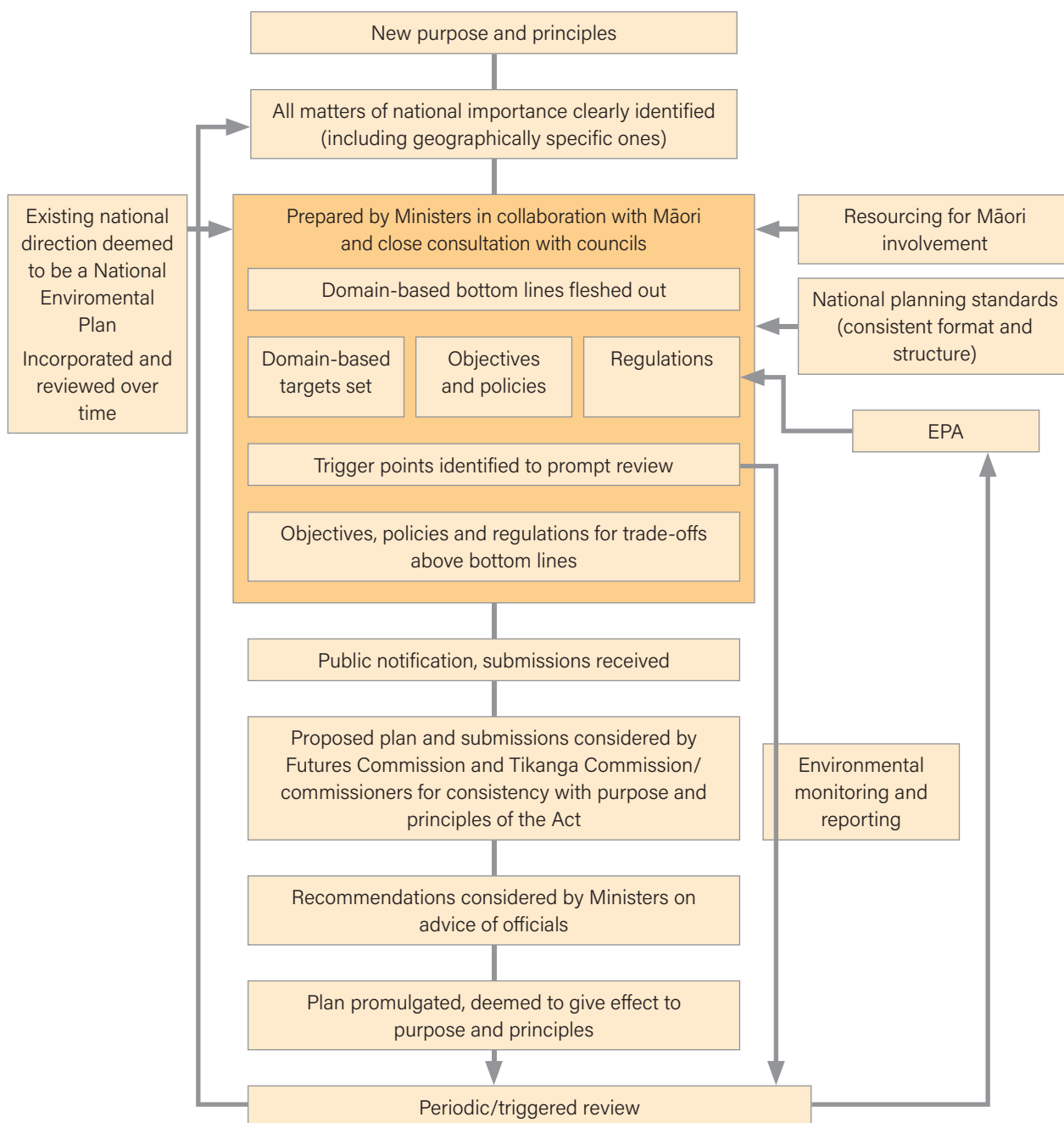


Figure 0.2: A proposed process for creating and changing a National Environment Plan

direction (see Figure 0.2). A collaborative approach between central government, local government and Māori would be its foundation. There would be a crucial review role for a new independent “Futures Commission” and an associated “Tikanga Commission” (or commissioners). This would be analogous to (and could even eventually subsume) the Climate Change Commission, in that it would be robustly independent and provide future-focused advice on instruments made under the RMA.

But the formal role of central government would not end with the creation of a National Environment Plan. It would also have a mandatory role to support its implementation. This should include funding, advice and operational assistance to councils where necessary. The Plan should flag where the funds for implementation are expected to come from, to ensure its aspirations and methods are effective.



7. Council planning

While central government should have a more active role in urban resource management in a future system, most functions would remain with local government. In Chapter 8, we look at the role of councils under a new Environmental Stewardship and Planning Act.

This is not just about the planning process; there are also deeper questions to consider about local government itself. In particular, we see a case for local government functions around land use and infrastructure to be shifted to a regional level. While local structures (eg boards with statutory functions and secure budgets) would remain important – in that there are many benefits of localism – we think there should be a shift over time to regional unitary authorities for most resource management functions. An integrated approach to cities, especially where functional urban areas (eg labour markets) span multiple districts, would be well served by regionalising local government. Exactly what the boundaries of those entities would look like should be subject to ongoing consultation and debate.

22. A regional lens will be crucial to achieving good urban outcomes in a future system. Local government functions around land use and infrastructure should, over time, be shifted to a regional level. While local structures (eg boards) would remain important, this would mean a shift over time to regional unitary authorities.

The planning process under the RMA also requires revision. A more agile process is needed across the board (and our proposals are not limited to cities), but this is particularly important in the urban context where things can change rapidly. Cities are highly dynamic places in both social and biophysical terms. That said, there need to be robust checks and balances when preparing

and making decisions on plans, opportunities for public participation, and a strong independent voice to speak for future generations. In Chapter 8 we put forward two different models for planning. The first would be to “reset” existing regional and district plans at a regional level (to create regional combined plans), in order to give effect to a new purpose and principles and a more comprehensive and coherent National Environment Plan. The second would be to allow for ongoing plan changes.

A variant of the Auckland Unitary Plan model could usefully be adopted to reset existing plans and create regional combined plans (see Figure 0.3). We see a case for more direct central government input (including resourcing assistance) and active collaboration with Māori, in the plan development phase. This should mean that a plan addresses Māori concerns and reflects Māori urban aspirations, and that it is designed from the outset to give effect to national direction. At present, neither of those things is really assured until or unless a plan is appealed. As under a National Environment Plan, the EPA could also have a role in translating policies concerning environmental limits to actual regulatory restrictions (eg for freshwater quality), including where those are needed to give effect to national direction on environmental bottom lines. But plans should not be things that are just imposed from above. Councils should work with communities and neighbourhoods in creative ways to ensure they have ownership of plans and contribute local information and preferences, and mechanisms like citizens’ assemblies could help.

As in the Auckland model, merit appeals to the Environment Court would be constrained by whether councils accepted or rejected independent recommendations on the notified plan (ie to the extent recommendations were rejected, appeals would be allowed). But independent recommendations would be provided not by a bespoke independent hearings



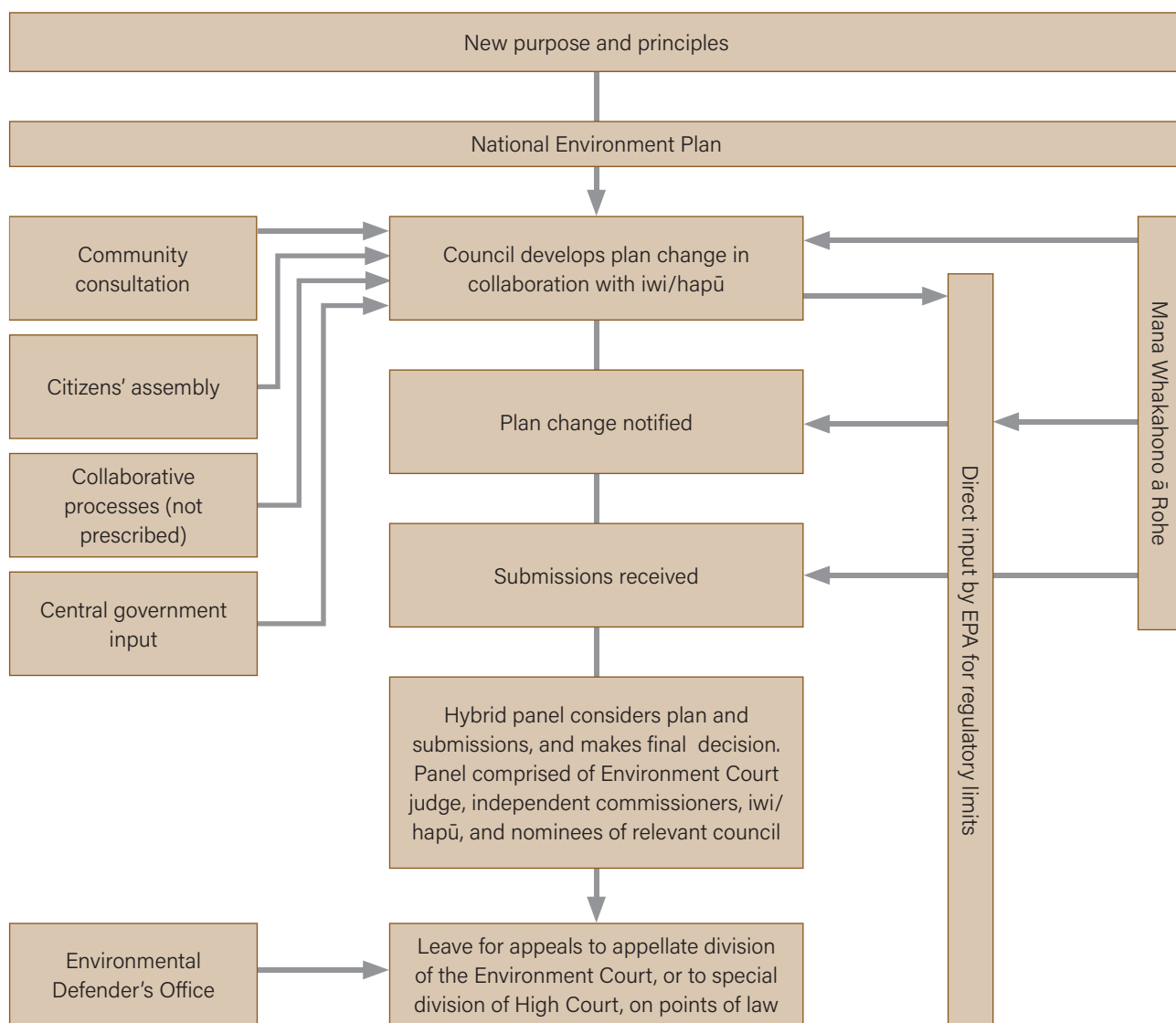


Figure 0.4: A new process for plan changes

As shown in Figure 0.4, we envisage a different process for plan changes (following regional level “resets” of RMA plans). Decisions on plan changes would generally (unless “called in” by the responsible Minister or the Futures Commission)⁹ involve a hybrid decision-making panel chaired by an Environment Court judge and comprised of independent commissioners, representatives from the relevant council(s) and mana whenua. There would be a preponderance of independent members, while central government could have observer status. The Environment Court would therefore remain central in a future planning system – it has a crucial place as an robustly independent, judicial body tasked with providing oversight of council (and others’) plans. The EPA would also be tasked with actively initiating plan changes required to give effect to environmental limits in national direction.

In both of the processes outlined above, there are difficult questions to work through in determining the role of Māori in urban planning. A partnership approach is needed to give effect to the principles of the Treaty of Waitangi. As signalled, this should involve close collaboration in the production of plans alongside councils, the provision of independent advice through tikanga commissioners and

the provision of resourcing by the Crown to enable those roles to be effective. There could also be greater clarity around who has authority to speak for Māori, which is particularly important in urban areas where many Māori have interests yet do not have mana whenua status.



8. Consenting

While a revised planning framework will be crucial in a future urban resource management system, consenting will also be important. After all, plans cannot account for every single scenario. We consider consenting in Chapter 8.

Consenting delays for urban development have been the subject of many complaints and the regime has been seen as too complex, uncertain and costly. In our view, it should be more obvious in a plan what development is allowed and not allowed and in which places, providing greater predictability of outcome for developers as well as firm and transparent environmental limits. Over-reliance on a series of site-specific or activity-specific consenting decisions, within a planning landscape defined by general (and sometimes conflicting) policies, has contributed to unacceptable cumulative impacts over many years, as well as extensive complaints from applicants who do not know whether a consent will be granted or not.

There are different ways in which we could move our emphasis away from consenting and towards planning under a new Act. Environmental bottom lines, specifically identified up front in the Act and National Environment Plan, would need to be translated into regulatory limits, associated more strongly with prohibited activity status. In other words, there should be greater clarity about the kinds of things that should not be consented for the life of the plan. We do not see a strong justification for retaining non-complying activity status, as it adds complexity, uncertainty and process.

On the other hand, some urban activities with negligible effects may warrant permitted status (no consent is needed) or controlled status (consent must be granted if applied for) if close attention is paid to prescriptive permitted activity standards and mandatory consent conditions. It may also be helpful to treat what are essentially private disputes under the RMA – common in urban settings – differently from matters that have a public interest. The Environment Court has become adept at directing disputes to private resolution and could potentially act as a kind of sorting house to determine which track consenting disputes go down – private mediation and arbitration or a decision by public authorities.

However, we do not think reforms should travel down the permitted activity or private resolution pathways wholesale. The consenting process, even if non-notified, provides a valuable check and balance, and allows targeted conditions to be imposed. It also allows for monitoring to occur or at least for authorities to be aware of the activity, ensuring a better knowledge base. Cumulative effects of what seem like minor private disputes when viewed in isolation can still be significant for the public interest when magnified across a city and across time.

It would be preferable to focus on making urban policies in regional combined plans more specific, clarifying the relationships and hierarchies between policies and tailoring them towards requirements for particular activities and sectors. Consent would still be required,

but it would be more obvious whether it would or would not be granted. Close consideration should also be given to smoothing the consenting pathway for projects that have significant environmental benefits or where there are synergies between social, economic and environmental outcomes (eg green infrastructure or eco-homes).

32. A future system should provide greater predictability of outcome in advance through environmental standards and clear policies in plans, rather than relying on the discretionary weighing of general and potentially conflicting policies through a string of consenting decisions.

33. Environmental limits defined in a revised Act would need to be translated into regulatory limits, associated more strongly with prohibited activity status, moratoria or common mandatory consent conditions.

Some complaints about the consenting process have focused on the existence of appeal rights to the Environment Court. While that step can add delays, we remain unconvinced that the benefits of constraining appeal rights for consent decisions outweigh the risks of doing so. The Environment Court performs a robust, independent oversight function. Instead, first instance consenting functions could usefully be removed from elected councillors and, alongside council staff, be placed with one or more independent commissioners deployed from a nationally accredited pool, or potentially with the EPA for matters relating to nationally significant environmental limits. Appeal rights would remain as a further quality control mechanism. Call in and direct referral to the Environment Court would remain but the board of inquiry avenue would be removed.

In Chapter 8 we explore a number of other aspects of consenting. We suggest that a new, independent, publicly funded Environmental Defender's Office (a statutory litigator and advocate for the public interest) should have standing to appeal councils' notification decisions to the Environment Court. Notification tests should also be made simpler and it should be made clearer in plans as to whether applications are to be notified or not. A new notification status could even be introduced whereby applications are publicly notified and submissions are invited, but where hearing and appeal rights do not follow automatically. This should ensure that decision-makers and the public are well informed even where a hearing is not necessary and reduce applicant pressure not to notify proposals.

Furthermore, an integrated permitting process could usefully be implemented (a "project consent") for complex or nationally significant projects, which would align permitting process under multiple statutes. It would not change the substantive criteria by which decisions were made; it would simply align processes. Consent authorities should also be compelled to make decisions

There are a number of reform measures that can and should be taken to improve our infrastructure frameworks. In terms of legislative design, it would be desirable for infrastructure-oriented legislation to remain separate from an Environmental Stewardship and Planning Act, to better ringfence environmental bottom lines in a focused regime. However, alongside that Act we see merit in a simpler, more integrated statute dealing with both local government and infrastructure, which would subsume the Local Government Act, the Land Transport Management Act and potentially other statutes (eg for three waters services). This would form a new Local Government and Infrastructure Act.

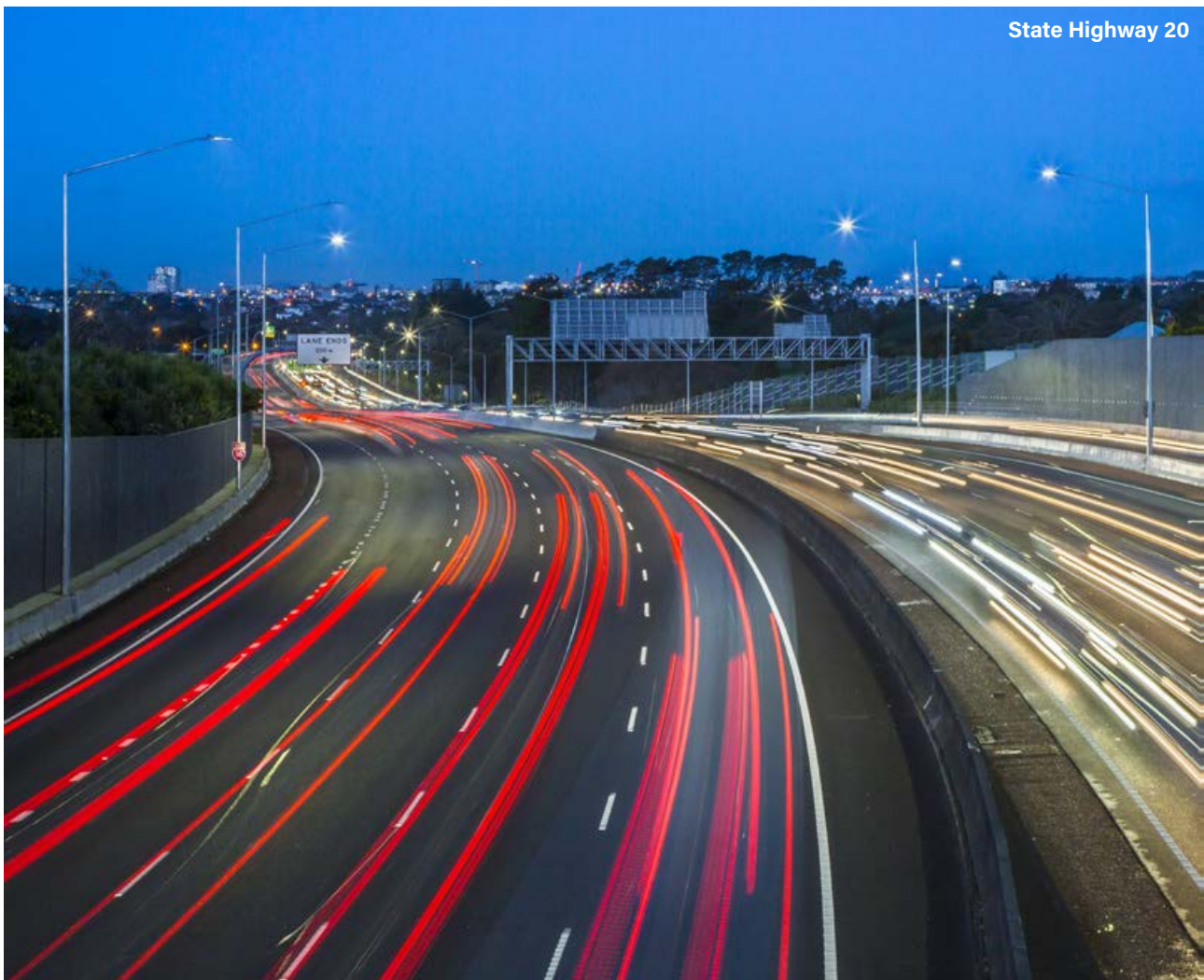
The purpose and principles of this legislation should retain the four wellbeings that are at the heart of the existing Local Government Act (social, environmental, cultural and economic). However, they should also more clearly embrace the need to meet clearly defined environmental and climate change targets, the need to make choices that achieve synergistic outcomes (providing services and enhancing environmental wellbeing), and a vision that aligns with the revamped purpose and principles of the RMA's successor (including principles of good urban design).

In particular, we can no longer afford to view infrastructure as just concrete and steel. Cities and their built components

need to be designed to work with the natural world and improve our resilience, particularly to climate change. Clear environmental criteria should drive our future urban infrastructure funding choices. This point has been thrust into the spotlight by the massive, debt-fuelled government spending planned for infrastructure. We shine a spotlight on the importance of a green economic recovery from Covid-19 and the synergistic benefits that investment in things like electric vehicle infrastructure can have.

43. The Local Government Act, Land Transport Management Act and other infrastructure-focused legislation should be merged into a single Local Government and Infrastructure Act.

44. The purpose and principles of a new Local Government and Infrastructure Act should retain the four wellbeings that are at the heart of the existing Local Government Act. However, they should also more clearly embrace the need to meet environmental and climate change targets, the need to make choices that achieve synergistic outcomes and a vision that aligns with a revamped purpose and principles of a new Environmental Stewardship and Planning Act (including principles of good urban design).



targeted rates (where those in places that benefit from investment pay for it through rates); and value uplift capture (where infrastructure can be paid for by levying a portion of the increased value of properties benefiting from that investment). That said, it is essential that such mechanisms carefully consider how impacts on the poor or vulnerable are to be addressed, including through the use of separate distributional policies and subsidies, and user charging should not be absolute.

There is also a need for predictable, need-based central government funding contributions where required. This is particularly to overcome the significant investment deficits in water infrastructure that have built up over the years, but also to contribute on an ongoing basis to services that have strong national interest implications (eg no New Zealander should get sick from drinking water simply by virtue of the region in which they live). The need for central government to open its purse has also been reinforced by the Covid-19 crisis, due to the additional funding constraints it has caused for local government (especially smaller councils) and the unique ability of central government to borrow for large-scale spending that has intergenerational effect.

That said, because councils would remain primarily or partly responsible for the operation of CCOs (alongside the Crown) and may be required to fund them, there is also a need to revisit how new regional unitary authorities would be funded. We need to target the underlying problems with the existing local government funding and financing system, not just fill the gaps through ad hoc handouts from the Crown.

First and foremost, councils need to be able to raise sufficient money to meet the needs of communities. We agree with the Productivity Commission that more needs to be done to expand the funding and financing tools available to local government, particularly to support its functions relating to urban infrastructure. Again, this could involve greater user-charging, value uplift capture, targeted rates, enabling the use of special purpose vehicles to lift debt off council balance sheets, and relaxing borrowing constraints.

The right incentives also need to be in place to both raise and spend core revenue appropriately. An alarming history of underinvestment in three waters infrastructure should, following a large capital injection from central government to address the historical deficit, be addressed primarily through the institutional reforms described above.

That would see the use of regionalised CCOs as water providers, predictable need-based contributions from the Crown, and an independent economic regulator, which would ensure costs can be met, socialised across large areas, and spent appropriately. Revenue raised by CCOs through user-charging (eg volumetric or infrastructure connection charges) should be strictly ringfenced and reinvested in water services (as in the Watercare model).

Further contributions may also be needed from time to time through more general council or government sources where charging users would be unfair or prohibitive, or

where significant one-off capital costs (eg remedying a failing treatment plant) need to be socialised across all ratepayers or all New Zealanders. Debt would be an important tool to spread the costs of water infrastructure upgrades across the generations of residents who would benefit, and the need for arm's length decision-making suggests that regional CCOs themselves should have the ability to borrow against water assets (and therefore should own them).

53. Incentives to underinvest in three waters infrastructure should, following a large capital injection from central government, be addressed through institutional reforms (regionalised CCOs and an economic regulator).
54. The economies of scale generated by regionalising infrastructure providers through CCOs should help address some funding challenges faced by councils for transport and three waters infrastructure. However, that will not be enough.
55. For three waters infrastructure, there should be predictable, ongoing and need-based central government contributions where required to meet adequate levels of service delivery and environmental and health standards. That would likely come with a corresponding level of control through representation in regional CCOs.
56. Funding and financing constraints on local government and residents in the wake of Covid-19 reinforces the need for a greater central government role in financing intergenerational urban infrastructure.
57. Councils would remain primarily or partly responsible for the operation of regional level CCOs (alongside the Crown) so may be required to fund them in part (alongside cost recovery measures by a CCO itself). Thus there is a need to revisit how local government itself is funded.
58. More needs to be done to expand the funding and financing tools available to local government, particularly to support its functions relating to urban infrastructure.

In the more specific context where cities are growing rapidly, infrastructure funding incentives require more systemic correction. There are significant practical constraints on raising and spending money for growth. In the current system, there can be strong political pressures on councils not to increase rates (their core funding tool), especially if rates are being used to service new development and the benefits are not apparent to existing residents who are paying for it (and who are the ones voting in local elections). In fact, where that growth is accommodated through increased density, residents may

made between central government and councils through bespoke “city deals”, as has occurred in the United Kingdom. However, what these projects look like should emerge through a regional strategic spatial planning process to ensure that they are well integrated into a broader vision for urban change (see Chapter 10 on spatial planning), rather than being ad hoc grants for pet projects.

59. Some degree of cost recovery from those who use, or benefit from, urban growth infrastructure would be appropriate. In particular, a future system should facilitate value uplift capture to help fund large projects.

60. The incentives provided by the current system of funding infrastructure in the context of urban growth and renewal require correction. Targeted measures should be taken to shift the costs of infrastructure onto those who benefit. In particular, the Crown should be responsible for a much larger burden of the costs (and control) of drinking water and wastewater infrastructure.

61. We also see merit in allowing councils to levy a local form of GST, which would provide added incentives to proactively fund growth while allowing communities more control than Crown contributions. That cannot be a complete replacement for rates, but would be a useful addition to the toolbox.

62. More bespoke cooperative funding arrangements between local and central government may be required for particular “one off” projects over time, but this should be guided by a vision in a regional spatial plan (see Chapter 10).

63. User-charging should be deployed more in a future system both to provide a fair way to fund related services and to incentivise the efficient use of resources. This should include volumetric charging for drinking water and wastewater (and a proxy measure for stormwater) and congestion charging for land transport.

64. User charging and other forms of demand-based tools cannot be absolute and must carefully consider how impacts on the poor or vulnerable are to be addressed.

The cost of adapting to climate change in and around urban areas poses an even larger long-term challenge from a funding perspective than urban growth. Growth can ebb and flow, but climate change will have an ever-increasing impact over time. Above all, we should not be investing in new infrastructure in vulnerable places, and there needs to be a clear link between a national climate change adaptation plan, land use controls under a new Environmental Stewardship and Planning Act, and infrastructure funding frameworks.

Even more difficult will be questions about how to fund the movement or upgrade of existing infrastructure and people in and around cities where they are vulnerable to climate change. In our view, we need a completely new funding mechanism in the form of a national adaptation fund, to be deployed according to clear and transparent principles and through collaboration between central and local government. There are different models for how that could operate and be capitalised.

65. The system should not allow substantial new investment in urban infrastructure in locations or contexts vulnerable to failure in light of climate change.

66. There needs to be a clear link between a national adaptation plan, urban land use controls and infrastructure funding frameworks.

67. To facilitate urban adaptation to climate change we need a new funding mechanism in the form of a national adaptation fund, to be deployed according to clear and transparent principles and through collaboration between central and local government. There are different options for how that could operate and be capitalised.

Alongside land and infrastructure, buildings themselves form a core part of the urban environment. We conclude Chapter 9 by looking at the Building Act and how it could better complement and link to the urban sustainability objectives of a revamped Environmental Stewardship and Planning Act and Local Government and Infrastructure Act. While it should remain a standalone piece of legislation, construction standards and legislative principles under the Building Act should be strengthened to recognise the essential contribution that “green” construction will make to environmental outcomes in a future system. There are different ways in which this could be achieved, and we are pleased that the government has recently announced that the framework will be reviewed for such reasons.

68. An Environmental Stewardship and Planning Act and the Building Act should not be merged. However, the statutes should be more closely aligned to coordinate permitting processes, achieve common urban objectives and pursue synergies in the built environment.

69. Construction and infrastructure standards should be strengthened to recognise the essential contribution that “green” construction will make to environmental outcomes in a future system. There are different ways in which this could be achieved, including through performance-based subsidies, stronger certification programmes, charging, and incentives.

11. Spatial planning

Most important to achieve alignment in a future system, however, would be the introduction of a completely new legal framework for spatial planning. Aligning different statutory processes at a project by project level will not be enough without a strategic vision for what we want our urban areas to look like in the long-term. This would see the collaborative development of regional or cross-regional strategic instruments – spatial plans – that would outline a vision for the growth or change of urban (and other) areas over time. Spatial plans would outline where and when things like housing, infrastructure, public services, protected ecosystems and productive land would be envisaged to go (and not go), and why: a clear spatial skeleton in light of which other more specific decisions are made. Managing rapid urban growth would be a big part of that, but it would not just be about ensuring cities provided sufficient development capacity. A spatial plan would be equally concerned with things like the protection and enhancement of ecologically valuable areas, versatile soils, climate change and community wellbeing.

72. A new legislative framework should be established to provide for mandatory regional and cross-regional spatial plans to be created. These plans would outline a vision for how urban areas would grow, contract or change over time.

Spatial plans would have real (although not absolute) legal influence over decision-making under other frameworks, including combined regional plans under an Environmental Stewardship and Planning Act and funding plans under infrastructure legislation. For this reason, the process for creating them would need to be inclusive and robust. An independent Futures Commission/Tikanga Commission would need to have a strong review role, and mana whenua and central government (and its agencies) would need to be intimately involved in its co-creation and sign off. That is partly because strategic plans are unlikely to be achieved in practice if there is no associated funding commitment (especially where outcomes rely on expensive and timely investment in supporting infrastructure), so it would be important for them to be accompanied by indicative sources of funding and for both local and central government to be obliged – at least to some degree – to follow through. And while spatial plans may be regional in focus, many branches of central government would control crucial funding levers and are therefore vital to success. A strong partnership approach is needed, and in Chapter 10 we shine spotlights on the context of special housing legislation where a top down approach has undermined this. In short, a spatial plan would be a mechanism to ensure all decision-makers and funders (and private sector actors) are working towards a common vision for an urban area.

73. Regional spatial plans would not be directly binding in a regulatory sense. However, they should have real legal influence on decision making under more targeted frameworks (eg for land use and infrastructure). It would not be feasible for them to be given effect to in these other statutes but a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing.

A number of different planning instruments in the current system can be described as “spatial” and “strategic”. District plans under the RMA are inherently spatial. Infrastructure strategies under the Local Government Act and future development strategies required under RMA national direction, are forward looking. And there are many instruments specifically described as “spatial plans” that have been created by local government and others with the express intention of coordinating the decisions needed to ensure effective urban growth over decades (and the Auckland Plan is even mandated by statute).

However, there are a number of ways in which these efforts fall short of what is needed in the future. In particular, there are currently no mandatory triggers for spatial planning to occur; where spatial plans do exist they do not have the legal influence to ensure decisions under multiple other statutory frameworks follow through with them; and there is no formal place in which multiple tiers of government, Māori and others come together early on to make strategic decisions in partnership. Future development strategies required in some places under the RMA, and voluntary spatial planning done under the Local Government Act, lack legal weight and the ability to coordinate decision-making under other laws.

Generally speaking, the current system has also lacked strong, overarching urban strategy. It is not firmly focused on the future or the need for change to pre-empt or prevent issues. Some have characterised this as a system that is reactive or (adverse) effects based, rather than one that is geared towards positive change and is outcomes focused. We require a formal framework for spatial planning that addresses these shortcomings.

A future system could also be simplified, by integrating the various fragmented strategic instruments we have now (such as infrastructure strategies and future development strategies) within a regional spatial plan. The place of regional policy statements will need to be thought through carefully. Conceivably they could form part of a spatial plan, but they could equally remain part of an RMA style regional combined plan. In the event of the latter, which we would lean towards, their development should be closely aligned with spatial plans to prevent duplication, inconsistency or overlap.

80. We see a place for an urban development authority model in a future system. In particular, central government should have an active role in development activities to provide housing and act as a catalyst for urban renewal.

81. Powers to compulsorily acquire land will be intensely controversial (especially without offer back rights) and will require robust safeguards. But some powers will be useful for the regeneration of complex brownfields sites at scale.

However, in Chapter 11 we note a number of concerning aspects of the legislation, mainly around its potential to weaken environmental protections in and around cities. In its drive for development and housing outcomes it is not strong enough on biophysical protections. Central to this is how the RMA's environmentally focused purpose and principles apply, notably the bottom lines contemplated by sections 5 and 6. In short, although it appears that the legislation is intended to apply Part 2 of the RMA largely unchanged, that is not well reflected in a number of its provisions. This has the potential not only to undermine environmental safeguards, but also to create considerable complexity and uncertainty through a complicated web of cross-references, confusing drafting and novel terminology that is likely to require extensive litigation to resolve.

We therefore conclude that all other principles in the legislation – including its purpose – should be made expressly subject to the purpose and principles of the RMA (with the exception of a more relaxed approach to urban amenity and strengthened Treaty provisions). In the longer-term, it would need to be firmly subject to the purpose and principles of the new Environmental Stewardship and Planning Act proposed in this report, which would itself be much better than the RMA at recognising the value of housing, urban renewal and urban design. The rationale to override such an Act would be much weaker.

The pre-eminence of environmental legislation – the RMA and its more fit for purpose successor – would also need to flow through to decision-making on development plans and consents provided for under the Urban Development Act, not just a general statement in its purpose. It is particularly concerning that Part 2 has been explicitly demoted in the context of consenting. In our view, it has not been adequately established that the purpose and principles of the RMA as a whole – and the wide range of crucial environmental protections they embody – are barriers to good urban outcomes that somehow need to be overcome.

There is a real risk that the new legislation will be interpreted as allowing an approach that “balances” the development objectives of the legislation with the environmental bottom lines established under the RMA, in an alarming revival of the “overall broad judgement” approach that was put to bed so deftly by the Supreme Court in the King Salmon jurisprudence years ago. While we

wait for more systemic changes by replacing the RMA with a new Environmental Stewardship and Planning Act, special powers under the Urban Development Act should be targeted at core problems like overcoming nimby objections to urban change and density. Its scope should not extend to undermining, demoting or otherwise causing confusion about the wider environmental principles of the RMA.

82. The RMA's (and, in the longer-term, Environmental Stewardship and Planning Act's) purpose and principles will need to remain pre-eminent in all types of decision-making under the Urban Development Act, aside from targeted changes to aspects like urban amenity. The relationship between the statutes needs to be made clearer and less complex.

Furthermore, we do not see any compelling rationale for downgrading the RMA's existing direction to “give effect” to national instruments like NPSs and NESs, including the New Zealand Coastal Policy Statement and NPSs specifically concerned with managing population growth and good urban planning. The Urban Development Act includes a weaker instruction that development plans produced under it need to be “consistent” with national direction. This is despite the potential for a development plan to effectively function as a replacement for an RMA plan, which would otherwise actively have to give effect to national direction.

At the same time, there is a much stronger obligation in the Act to “give effect” to the government policy statement on housing and urban development which, as the name suggests, is development rather than environmentally oriented. At the very least, one can imagine the uncertainty and arguments that would arise as to whether a development plan would be able to override the provisions in a regional plan that have been specifically designed to give effect to something quite directive, like the NPS for Freshwater Management.

83. The position of national direction under the Urban Development Act is not strong enough. We do not see any compelling reason to change the direction to “give effect” to it, as is the case under the RMA, particularly in light of the development-oriented purpose of the Bill and Kāinga Ora's stronger obligation to give effect to the government's policy statement on housing and urban development.

Moreover, while we see a strong case for being able to override aspects of existing district plans, the same cannot be said for regional plans. These contain crucial urban environmental protections relating to air, water and soil. The real point of including powers to override the RMA should in our view be much more targeted – to address nimby barriers to densification, amenity and changes to land use patterns in district plans in order to regenerate brownfields sites and provide housing, not to undermine biophysical environmental bottom lines in

13. Wider systemic change

At the core of our proposed future system for urban resource management would be a new Environmental Stewardship and Planning Act, which would be closely linked to legislative frameworks for local government, infrastructure, climate change and urban development. All of this would be presided over by an integrated framework for spatial planning at a regional and cross-regional scale. Such reforms should see marked improvements in social and environmental outcomes. While it is beyond the scope of this report, which is about framework level reforms, we would also expect officials to look closely at all provisions in the existing frameworks and take opportunities to simplify and improve the accessibility of our legislation. The RMA in particular has grown too long, unwieldy and legalistic, and its replacement should be more streamlined.

Yet overhauling these particular legal frameworks will still not be enough. We also need to consider a wider context of reform that spans different spaces, domains, sectors and aspects of human activity. In many respects, here it does not make sense to speak of “urban” reforms at all; most resource management issues are systemic and require a holistic view of our society and environment. In Chapter 12, we touch upon a number of ways in which the fabric of our governance, social and economic models need to be rethought more fundamentally over the coming years.

A new statute – a Future Generations Act – should be enacted in a future system. This would be the legislation under which strategic spatial planning occurred (discussed in Chapter 10), but it would also have a much wider role. It would be a sort of resource management constitution. At its heart would be a legislated recognition that all human activity and policy, including in the urban setting, must occur within strict biophysical boundaries and that the natural world has “the right to exist, persist, maintain and regenerate its vital cycles, structure, functions and its processes”.¹⁴ It would redraw fundamental aspects of our governance arrangements, including by creating the Futures Commission mentioned earlier, which would inject strong independence across a wide spectrum of public decision-making. This could reflect a similar “Future Generations Commissioner” as established in Wales. The Act would also:

- Provide a set of high-level inter-generational objectives that would be mandatory considerations for all public decision-making (including proposals for legislative change and discretionary funding decisions), not just decisions taken under specific statutory frameworks like an Environmental Stewardship and Planning Act or infrastructure legislation. Carbon neutrality, resilience to harmful change, environmental security and zero waste should be prominent. We can look overseas for inspiration on this front, including to countries like Sweden, Canada and Wales. The Public Finance Act (governing the government’s budget process) should be strengthened through reference to such principles. The enormous amount of intergenerational debt being amassed in the

response to Covid-19, particularly in and around cities, makes this even more important.

- Outline, at a high level, the nature of the Treaty relationship in relation to the use and protection of natural resources and the environment, including in cities. Some have suggested that national direction under the RMA or its successor (an NPS on the Treaty relationship) could fulfil this function, but we consider that it should be embedded into a higher level, constitutionally significant framework that guides all others.
- Provide for the creation of an integrated national resource management strategy (a “Futures Strategy”), outlining a vision for our country’s future and methods for creating synergies and addressing risks using multiple statutory and non-statutory levers. Climate change should be front and centre. For example, the Productivity Commission has called for a low emissions strategy that specifically outlines what the government will do to meet emissions budgets and targets,¹⁵ and which could be embedded in a wider Futures Strategy.
- Require a Futures Commission to produce and table in Parliament periodic “futures scanning” reports that look across New Zealand and the world to proactively identify emerging issues, threats and opportunities (environmental, social, health and economic) and recommend measures to pre-empt them. The government would be required to respond to the reports. Looking ahead is particularly important in cities, where markets, demographics, technology and societal expectations can change rapidly.
- Provide for the Futures Commission to issue periodic report cards to the government (or specific public authorities, like local government) assessing its performance against clear statutory principles and targets (eg for environmental enhancement, housing etc). This would align with electoral cycles to ensure that New Zealanders went to the polls with the assessment in mind. Strong independent oversight of strategic and inter-generational urban and environmental matters is an emerging theme in many countries.
- Provide for the establishment of a single “Futures Group” within government, comprised of senior officials from all departments relevant to the resource management system (chaired by the Department of the Prime Minister and Cabinet) and advising a special Cabinet committee (rather than a specific minister). This would be a meaningful whole of system steward. A Futures Group would respond to complaints that there is a lack of clear leadership across the system (particularly in cities) and that institutional fragmentation affects the ability to deliver cross-cutting outcomes. It could be formally established as an example of an “interdepartmental executive board” already contemplated under proposals for a new Public Service Act.

worked through carefully, to some extent this could shift tax away from productive activities (through reductions in income tax).

- Making it easier for people to do positive things that they may wish to do already, but where they lack capacity, information, resources or coordination. For example, some local authorities have provided native plants at no cost for people to plant in urban road reserves. The development of a coherent network of community conservation hubs shows real promise in marrying up volunteer effort and passion with public coordination, resourcing and expertise. There is no reason why that would be of less value in cities, where there are many more people and resources available to coordinate. And people may change their spending and investment preferences if they have more information about companies' environmental/ climate performance or risk exposure, which can be achieved through including these things in mandatory financial disclosures.

- Nudging people's behaviours towards positive urban outcomes (eg providing visual cues that influence people subconsciously. For example, painting footprints leading to recycling bins; making positive activities more enjoyable, like less congested lanes for electric vehicles or wider cycle paths; appealing to people's morality and desire not to be worse than others in their community or peer group; and giving real time feedback so that the negative consequences of one's actions are readily apparent).
- Strengthening directors' duties under the Companies Act so that they extend to public interest matters like environmental wellbeing, not just the financial interests of shareholders.
- Strengthening government involvement in the certification of green products, services and businesses to prevent greenwashing.
- Reforms to the education system, to inject sustainability and climate concerns ("eco-literacy") into the heart of the school curriculum, as well as reviewing the core content of vocational training



Solar rubbish bin, Auckland

14. Concluding comments

The conversations described above are ongoing, longer term projects, and will not be addressed overnight. Yet there are many measures that we can take in the shorter term to improve how our resource management system operates in urban areas. In this report we have outlined what we see as core reforms at the framework level.

We can transform the RMA to make our legislation better at defending environmental limits and promoting urban outcomes. We can integrate and revamp infrastructure and local government legislation alongside institutional and funding reforms. We can create a level of regional spatial planning and align norms and processes across legislation to ensure that we achieve timely development of housing, as well as promoting synergies

with environmental wellbeing. We can ensure that construction standards and bespoke urban development legislation reinforces rather than undermines broader urban objectives. And we can pursue a range of measures encouraging wider societal change.

Of course, we should not hope for utopia. We need to accept that visions change with the times, as will the context in which they are implemented and the society that creates them. All our urban areas are different, with their own unique identities and histories to be reflected. They are, in many ways, inherently messy places, and that is part of their attraction. But we are of the view that our future cities will need to look quite different to the cities we have today, and will need to be designed to serve the needs of generations of people and nature well into the future.



Wynyard Quarter, Auckland

1. INTRODUCTION

1.1 The resource management system reform project

Over the last three years, EDS has undertaken a project looking at the future of New Zealand's resource management system. The system is the formal means through which New Zealand protects, uses and manages its environment and resources in a way that produces the best possible outcomes for the environment, society and the economy. It is much wider than just the RMA, and includes dozens of statutes, institutions, funding mechanisms, tools and processes which apply across many topics (eg waste, climate, freshwater), spaces (eg marine, urban, rural) and sectors (eg forestry, agriculture, construction).

The resource management system is not categorically defined in any one place, and it has edges that are both fuzzy and that overlap with other "systems" (eg the "property" or "housing" systems).¹ But it has become increasingly clear that we need to look at it in a holistic way. Its parts are closely interconnected and influence each other – that is what makes it a single system – and need to be aligned. Thus questions around environmental

protection in a traditional sense (eg preventing pollution and protecting conservation areas and species) go hand in glove with questions around climate change, food production, energy generation, water security, housing, transport and many other topics. Very few legal frameworks dealing with human interaction with their physical surroundings can now be considered in silos, even though that is how they have largely developed over the years.

Over two phases and three years, the EDS project has explored how first principles system reform might look. Phase 1 was completed at the end of 2018, culminating in an extensive synthesis report.² This defined and analysed the system, and put forward various options for change. It also sketched out three overall models that could be pursued. Phase 2 of the project was completed at the end of 2019, and saw the release of a further synthesis report which put forward a single preferred model for reform and offered steps for how to get there.³

Towards the end of Phase 2 of the project, and with the support of EDS and its business partners in the Resource Reform NZ coalition,⁴ the government established an



1.3 The report

We begin the report by outlining its scope, and looking at the concepts of the “urban” and “built” environments. What makes something an “urban” issue as opposed to a “non-urban” issue? Is there really such a thing as a “built” environment? Do we need to move away from the assumption that urban questions are mainly about managing growth and development? We also briefly outline (1) the context in which reforms would occur, including the uncertainties introduced by a global pandemic; (2) the objectives we have for our cities of the future; (3) the problems and challenges we face; and (4) the array of reform measures currently being taken by the government to address urban issues.

In Chapter 5 we then turn our attention to the core of the system requiring reform – the RMA. Should we get rid of it? If so, what does that mean in practice? We consider the case for reorganising our legislation along fundamentally different lines, into a Planning Act and an Environment Act. Ultimately, we do not think that is a good idea, and conclude that the concept of integrated management is something we should retain. In Chapter 6 we look at the purpose and principles of the RMA, and the adequacy of its underlying philosophy; in Chapter 7 we explore the role of national direction; and in Chapter 8 we turn to local government planning processes as well as institutional settings for councils. We propose a different approach for all of those things. But the key message across all these chapters is that the RMA is no longer fit for purpose. The depth and breadth of change required means that a reformed statute should really be seen as something new, drawing on the good parts of what we already have but building on quite different foundations. The RMA would be replaced by an Environmental Stewardship and Planning Act.

But the RMA is not everything. In particular, how we manage land in cities is intimately connected to how and when we provide the infrastructure required to make land use changes actually happen in practice. We look

at that connection in Chapter 9. We need to think about why we provide infrastructure, what challenges it needs to overcome, how it is funded, by whom decisions are made and – perhaps most importantly – how it can be better aligned with other parts of the system to achieve common goals.

Yet public infrastructure for land transport and the three waters (drinking water, wastewater and stormwater)¹⁰ does not exist in isolation. It is intimately connected to the people and communities it serves, including private buildings. If we are to think about our cities in a holistic and visionary way, we need to consider not just land and infrastructure, but also how our regulatory settings for buildings help or hinder our goals for urban spaces. The Building Act is key to that, and we explore this in Chapter 9.

A significant theme of the report is the fragmented nature of our existing system. This applies across the board – many policy topics and statutory frameworks are still treated as silos. But nowhere is fragmentation more obvious than in an urban setting. In cities, people and activities are highly concentrated, change is a fact of life, and coordinated spatial management (what goes where, and when) is crucial to success. In Chapter 10 we look at how the system's processes, objectives, funding and institutional mandates could be aligned better. Most importantly, we explore the need for a new spatial planning framework to bring different institutions, legislation, and processes together to outline a strategic vision for our cities.

In Chapter 11 we provide some thoughts on the concept of an urban development authority, encapsulated in the newly enacted Urban Development Act. It has benefits, but a lot needs to change. And we conclude the report in Chapter 12 by returning to a birds' eye view, to highlight the kinds of systemic changes that are needed not only to transform our cities, but to transform our society. There are deep questions to ponder about population growth and distribution, an economic system obsessed with growth, and a growing divide between the haves and the have nots.



2. SCOPE OF THE REPORT

In this report we are concerned with the urban environment in the context of wider resource management reform. The resource management system is not formally defined anywhere, but we offered our own definition in the Phase 1 report (see Figure 2.1 below). The key point is that it is much wider than just the RMA, and does not adhere to legislative boundaries. We cannot just list a series of existing statutes and say that this encompasses the whole system in need of reform.

However, the resource management system is still concerned primarily with the management of *natural and physical resources*. For example, while they may be mentioned in passing, we are not directly concerned with reform of the financial sector, construction industry, interest rates, immigration policy, and various other government initiatives that can influence outcomes in cities (like housing affordability). The welfare system, broader government fiscal settings and criminal law also

have significant influence on how cities look and feel, but are not looked at here.

Furthermore, we are concerned with the formal system by which *public* interventions occur. This is not at all intended to diminish the importance of private action or people's morals. It simply recognises that the point here is to target those areas where public authorities can have an influence. That includes interventions that may change people's private actions, such as economic instruments and behavioural incentives.

Much ink has been spilled on issues relating to the "urban" or "built" environment over the last decade or so. The core (although not the only) driver for this has been rapid urban growth and its impact on housing affordability, as well as a general sense that the RMA is not doing a good enough job when it comes to supporting good or fast decision-making in urbanised places like Auckland, Hamilton, Christchurch or Queenstown.



structures. Ultimately, a city is a spatial category – you can locate one on a map – while elements of the natural environment exist across all spaces.

Similarly, a non-urban area is not necessarily a natural one. What do we mean by “natural”? Urban surroundings are often farmland (being one reason cities were located in such areas to start with), which can be heavily modified settings that contain many built elements. Farms, market gardens or lifestyle blocks are arguably no more natural than an urban botanical garden. Even national parks have tracks, huts, and toilets. In short, there are both natural and built elements within and outside cities, even if their concentrations might be different. Cities can, however, generally be described as “built up” areas, in which there is a high proportion of built elements compared to elsewhere.

A natural environment is not the opposite of an urban environment. Nature does, and should, permeate cities. Furthermore, areas outside cities, such as farmland, are not necessarily more “natural” than areas within cities.

It can also be challenging to clearly distinguish an urban space from a non-urban one. Some legal definitions simply recognise that an urban area is one that is zoned as such, rather than one that meets particular criteria or a physical reality.² For example, national direction concerning plantation forestry points to an area primarily zoned for residential, industrial or commercial use, but not rural use.³ But there are several different definitions, depending on context. For example, the NPS on Urban Development Capacity, made under the RMA, states that the urban environment means “an area of land containing, or intended to contain, a concentrated settlement of 10,000 people or more and any associated business land, irrespective of local authority or statistical boundaries”.⁴

Even within the boundaries of an existing urban area, there are spaces that are arguably not “urban” in character, and should not be subject to any presumption that commercial or residential development is appropriate.⁵ Protected or significant cultural, ecological or recreational spaces abound. Furthermore, what is farmland today might be tomorrow’s greenfield residential development, especially if it is located on the fringes of an existing urban area that is growing rapidly in population.⁶ The concept of an urban environment for the purposes of strategic planning therefore needs to encompass *future* urban environments (even if not specifically zoned as future urban), and requires a range of matters (eg food security, landscape protection, nature conservation, rural policies) to be considered in a holistic way, not just development pressures.

Cities can also have significant adverse effects well beyond their spatial footprint (eg on freshwater and marine environments, and the climate). And there are many built elements essential to cities that extend beyond an urban area, such as water, electricity and transport infrastructure. We cannot meaningfully think about urban spaces without thinking about what surrounds and supports them, both in terms of their “built” and “natural” components. As one commentator has said:⁷

an artificial distinction between urban and rural environments misunderstands the importance of peri-urban areas around almost all cities, as well as natural areas within city boundaries. Peri-urban areas offer important uses and ecosystem services including the provision of food and water for urban areas, valuable recreation services and in a few cases, critical areas for urban expansion (although there are usually more sustainable alternatives).

It can be difficult to draw clear distinctions between “urban” and “non-urban” environments.



So while the focus of this report is the “urban” environment, we err on the side of a more expansive approach and do not angst over specific definitions of what is urban or built and what is not. Those things tend to dissolve on close inspection. Instead, we are thinking about how a future system could optimise the benefits of towns and cities and address their negative effects on people and the environment, within the context of a bigger picture reform exercise with wide ranging goals.

It is not straightforward to distinguish between concepts like “urban” and “non-urban”, or “natural” and “built”. Cities and buildings have complex connections with people, communities, freshwater, air, land, biodiversity and climate, and they need to be thought about in the much wider context of system reform that spans artificial spatial categories and that changes over time. This report looks at the place of urban areas in a future system, but it is a fluid concept that we do not define specifically.



Point Chevalier, Auckland

3. OBJECTIVES

In the Phase 1 and 2 reports, we explored various worldviews, ethics and principles that should underpin a future system. These included ecocentrism, Te Ao Māori, anthropocentrism, sustainability, the principles of the Treaty of Waitangi, resilience, kaitiakitanga, precaution, non-regression, environmental justice, inter-generational equity, the polluter-pays principle, subsidiarity, efficiency and a number of others.¹ In the Phase 2 report, we then formulated high level objectives/criteria for system reform, and identified the relationships and hierarchies between them. Central to that was the need to establish clear environmental limits to create a safe space within which all human activity must operate.² We refer readers to those reports for more detail.

But what should the resource management system be aiming for in the specific context of our urban environments? In some ways that is a much more difficult question. Cities are heavily shaped by people, who can impact on each other more directly. For example, the look and feel of public space, or the dimensions of a house, are much less of an issue in rural than in urban settings.

Rather than prescribing detailed outcomes the system must, to some extent, provide an arena within which

urban objectives can be established and changed, given the inherent dynamism of cities. We may not want the same things tomorrow as we did today; societies are not as static as they used to be.³ Objectives also need to be sensitive to place; New Zealand's urban areas have very different histories, identities and communities. We cannot just roll out plans for urban areas off the books. That is particularly important in places where Māori urban identity or history is strong, and where our spaces must reflect that.

Yet there are bigger picture urban objectives and imperatives that, in our view, need to be adopted more explicitly across New Zealand than they have been. We need to be working towards something – a vision that will serve us well in the future – not just managing what we have. And it is worth stressing that urban objectives are not just about accommodating population growth and physical/economic development, or minimising market distortions. Cities are much more rounded than that. They are habitats for humans, and places where we express who we are. They must be “productive, inclusive, and sustainable”.⁴



Hobsonville Point, Auckland

spaces where people want to go to socialise and connect in ways the market may not always achieve; it can create efficient private and public transportation networks to enhance mobility and connection (including for the disabled) and reduce costs; it can recognise the identity and history of people, including Māori, in the creation of new built forms and the preservation and integration of existing ones; it can facilitate and encourage active transport and exercise options to improve physical health.⁹ It is also arguable that the overall impact that humans have on the environment is (or at least can be) reduced by concentrating people in cities.

Poor urban planning – or a lack of urban planning – can have the opposite effect. The resource management system must keep in mind the need to foster, not stymie, the things that make cities truly worth having. That might seem obvious, but history is littered with examples of well-meaning officials pumping funds into large prestige projects to attract residents rather than addressing the things that make urban areas tick – as one has put it, “mistaking the built city for the real city”.¹⁰ Urban objectives need to be targeted at people and nature, not the buildings that merely serve them.

While cities have many good features that need to be enabled and enhanced, they also have potential for significant downsides that need to be minimised and managed. There is no such thing as a free lunch. Some negative effects are unavoidable. For example, cities are often noisy and crowded places (to some that is not a bad thing, admittedly), and tensions are inevitable when people live just metres from each other and have different perspectives on what is acceptable or beautiful. The best a system can hope for is to resolve such tensions in ways that are efficient, predictable, timely and fair. Expectations of urban dwellers need to be realistic.

Other potential downsides need not be inevitable. Urban housing should be affordable and healthy. Infrastructure and essential services should be reliable, efficient, safe and future-proofed. Buildings, settlement patterns and communities should be resilient to (and pre-empt, where possible) negative change, be it from a changing climate, economic shocks, natural hazards or environmental change (eg water shortages).

In particular, human health should not be compromised by virtue of urban living, including from air pollution, drinking water and wastewater quality issues, or soil health. There are now serious questions to mull over about how cities can be made more resilient to the spread of disease. And mental health can be improved not just through the social connection cities provide, but also through planned connections with nature.¹¹

Environmental wellbeing is not just important from a human health perspective, either. Our cities should be environmentally sustainable, and actively strive not only to reduce negative impacts, but also to enhance the environment for ourselves and future generations. Ireland’s national planning framework has aptly described rejuvenated urban areas as “environmental assets”.¹²

They should minimise or eliminate their carbon footprint and their waste to landfill; they should embrace access to green and open public space and the enhancement of indigenous biodiversity; and they should be energy efficient and water sensitive. Land should be used efficiently, not just from a market perspective but also from the perspective of the long-term public interest. As one commentator has noted, system-level goals are “more than just individual goals aggregated”,¹³ especially if those individual goals are the wishes of those who have the money to pay for them (as revealed by the “market”). Urgent pressures for urban development, for example, should not compromise New Zealand’s inter-generational resource base (such as the potential to grow food in proximity to where it is consumed) or encroach upon culturally sensitive sites. The interests of current and future generations can be achieved if we plan our cities with the future in mind.

Admittedly, none of this is straightforward when applied in practice. Some negative “environmental” impacts of cities may be unavoidable (eg shading, noise and less open space). Taking a bigger picture view, it may also make sense for some impacts to be concentrated (eg density to prevent urban sprawl) rather than dispersed. However, we do not think that designating an area with an “urban” label means that the natural environment should be sacrificed. Why should we accept that water quality in a city will be more polluted than outside it? Why should our native birds and plants not find a home next to urban dwellers? And why would we assume that creating buildings and infrastructure needs to create waste or generate a net increase in carbon emissions?

The literature is full of urban objectives, and we provide a selection of the most eloquent below.



Cities provide inherent economic and social benefits that come naturally with agglomerations of people. But urban planning objectives are not just about accommodating population growth or economic productivity. Cities are places where people must be able to live happy, healthy and full lives in a way that is ethical and sustainable for future generations. The resource management system can support, or diminish, those benefits.

Urban objectives are not just about what we want a city to look or feel like. They must embrace *how* decisions are made, not just the visible outcomes they generate. In particular, urban areas should reflect the principles of the Treaty of Waitangi and Māori perspectives, including a partnership approach to decision-making. Decisions should be transparent, equitable, and consistent with the rule of law. Communities should have a strong voice in shaping the places in which they live, work and identify with.²⁰ They need ownership. At the same time, we must recognise that cities impact on nationally significant social, economic and environmental outcomes, and that the interests of those who live elsewhere or who may live there in the future (including those not yet born) are as important as those of current residents. Urban change is not necessarily undesirable change when a big picture view is taken.

All our urban objectives should also be approached in a more integrated and coordinated way than they have been in the past.²¹ Above all, cities should embrace synergistic solutions that achieve multiple objectives at the same time. Many such synergies exist, if we think creatively and in a joined up way (see Chapter 6).

However, it is also important to be clear about hierarchies and priorities. In particular, cities must operate within inter-generational environmental bottom lines, with robust precautionary buffers built in. While not all decisions in cities may have implications for the natural environment (eg the extension of a deck or suburban bedroom),²² many do (eg protections for urban trees). Some of these effects seem minor in isolation, but can be significant when looked at cumulatively over long periods of time. That is how most environmental problems appear.

From a broader perspective, economist Kate Raworth has talked about the need for a social ceiling as well as an environmental floor, and the space in between as being not just a *safe* space for humanity but also a *just* one.²³ By recognising firm limits we are also recognising that we cannot simply keep growing the pie by growing our impacts; we need to think carefully about how we fairly distribute costs and benefits between this environmental floor and social ceiling.

Urban objectives are not just about achieving individual outcomes. Synergies need to be pursued. However, even in highly modified environments, all human activity must operate within the constraints of firm environmental limits. Objectives are also about *how* decisions are made, and the ability for communities and Māori to have a strong role in shaping their surroundings alongside a voice for government that reflects the national interest.

Setting our aspirations for urban areas is one thing. What we expect or allow our formal system of laws, institutions and plans to actually do in order to achieve them is a completely different question. Laws and plans cannot just spirit different outcomes into existence or remove people's freedom (or inclination) to choose, and the resource management system may have limited potential to achieve some objectives. Describing a vision in a plan does not make it happen.

In fact, new problems may arise precisely *because* a city is successful in some ways. For example, the gentrification of some areas may occur as it becomes more desirable and expensive, and congestion and crowding can come in the wake of rapid growth. Cities are messy and dynamic – that is part of their charm and a source of their benefit – and there must be flexibility and adaptability in a system for guiding how they operate. Population and demographic change, shifting international markets, and movement in cultural/social expectations demand it. Urban perfection – even if we could define it in an objective way – is a chimera. But there are still a range of objectives we can, and must, pursue in a future system. Crucial to achieving those is an understanding of the existing and future context in which reform would occur.



4. THE CONTEXT OF REFORM: PROBLEMS, PROPOSALS AND PANDEMIC

4.1 Problems

Our cities are not fundamentally broken. They are still attractive places for people to live, work and play. By international comparison, New Zealand's cities are wonderful places in many ways. However, they do not fully reflect our objectives for them. Significant problems exist that need to be fixed, and there are substantial challenges that need to be overcome in the future. It is far from certain that our cities are well placed to do these things.

It is hard to generalise problems across urban areas – all cities are different, and areas within cities are very different too. And urban problems are not just those that are both generated and felt in cities. Cities create problems that have ripple effects well beyond their boundaries that need to be addressed. However, there are recurring themes across the country.

4.2 Housing affordability

One of the most prominent problems facing urban New Zealand is housing unaffordability. This has been the focus of many reports recommending reform. The Productivity Commission has noted that housing affordability (the portion of a community paying more than 30 percent of disposable income on housing) has grown substantially worse over the past 25 years.¹ Since the 1980s housing costs for low income New Zealanders have doubled as a proportion of their income.²

Part of this has been driven by rapid population growth in some areas like Auckland, but causes are complex and multifaceted.³ Yet it is clear that unaffordable housing means a proliferation of social ills like a reduction in disposable income (due to a higher proportion of income being used on housing), poorer quality of housing (and

related health and wellbeing outcomes), overcrowding within households, homelessness and consequent poor health outcomes, the exacerbation of wealth inequality,⁴ and generational inequality (lower home ownership rates creating “generation rent”).

That said, and without detracting from the seriousness of the overall problem, it is interesting to note the pervasive assumption that renting is inherently a bad thing. If there is sufficient security of tenure, affordable prices, and quality housing stock, renting can be a legitimate choice. In some places, notably parts of Europe, a significant proportion of the population rents long-term without perceiving it as something negative.⁵

Infrastructure New Zealand has noted that housing affordability is poor across New Zealand, and not just in large or rapidly growing areas, pointing to a report that concludes New Zealand is second only to Hong Kong in being the least affordable place to buy a house.⁶ That is primarily an urban phenomenon. Of course, overall affordability of housing depends on many things, not just house prices and incomes (including the cost and time of commuting to work – so paying more and living closer may be preferable to paying less and travelling further).⁷ But it is still clear we have a significant housing affordability problem, and it is of increasing urgency. In some places, that is about an undersupply of land and housing stock,⁸ but many other factors play a part (see further below).

Housing unaffordability is a big problem in New Zealand's cities, especially those that are large and/or rapidly growing. It has been getting worse in recent times.



4.4 Environmental degradation

Some have summed up urban specific problems as including “rising urban land prices, unaffordable housing, increasing homelessness, worsening traffic congestion, lack of transport choice and flattening productivity.”¹⁶ But we re-emphasise that “urban” problems are not just “urban development” problems. And many issues span New Zealand as a whole but originate in, or manifest partly in and around, cities. They are equally important to consider.

Cities are putting considerable pressure on what we might loosely call the “natural” environment.¹⁷ This is part of a much wider phenomenon across New Zealand. Despite some areas of improvement,¹⁸ a concerning number of environmental indicators are poor and continue to decline (notably in relation to biodiversity, freshwater, soil, coastal and marine, and climate change).¹⁹ New Zealand is among the highest emitters of greenhouse gases per dollar of GDP;²⁰ nearly three-quarters of native forests have been cleared; nearly 4,000 native species are threatened or at risk of extinction; and almost one-third of our waterways are not swimmable.²¹ These are as much urban problems as non-urban, because they either affect cities or are caused or contributed to by urban activities, and cities have the potential to mitigate or improve such statistics.

Some of our most degraded waterways and marine areas owe a lot of their problems to the impacts of urban land uses, including heavy metals leaching from rooftops and cars, sewage leaks,²² stormwater runoff from roads, and sediment from construction activities.²³ Paving land and compacting soil exacerbate issues with runoff.²⁴ One indicator of the ecological health of waterways – the macroinvertebrate community index, or MCI – has been shown to be 31 percent worse in urban areas than in areas with indigenous cover, while nitrate levels are over 19 times higher.²⁵ Heavy metals are particularly toxic to aquatic life.

Our biodiversity continues to be at threat, and in recent years indigenous cover has been removed by (among other things) the expansion of urban areas.²⁶ While it is a much broader issue, enormous amounts of waste are generated in cities, including construction waste from development and packaging from high levels of consumption. A significant amount of New Zealand’s greenhouse gases come from urban activities, including from industry and transport.²⁷ Air quality is generally good, although not universally so across different urban areas (due to their topography) and times of the year.²⁸

None of this means that cities are bad things. If we had a more dispersed, non-urban population many such problems might be even *more* pronounced. However, they are still significant issues that require correction.

Environmental degradation is an enormous issue in and around New Zealand’s cities, on many fronts. Environmental impacts are both caused by, and felt within, our urban areas.

4.5 Māori perspectives

Across all of these things, there is a strong feeling among many that outcomes sought by Māori are not being recognised or achieved adequately, including those relating to a tikanga or mātauranga based approach to achieving environmental quality, economic wellbeing and parity, and recognition of cultural identity. There are very real questions as to whether the Treaty relationship is being adequately reflected in our system outside the confines of specific Treaty settlement legislation.²⁹ In particular, many urban sites of significance to Māori are not recognised, protected or even signposted. Furthermore, environmental degradation is inextricably linked to cultural and spiritual health, including “values like the condition of mahinga kai and kaimoana (traditional foods), recreation (swimming, waka ama), and oraanga (health and well-being).”³⁰

Māori interests and perspectives are not being adequately safeguarded or reflected in and around our cities.

4.6 Future challenges

As well as current problems, the future will also hold many challenges for our cities. Some of these are foreseeable and need to be pre-empted. Climate change is a prime example. Rising sea levels and more extreme weather events pose enormous risks for coastal cities, including residents, buildings and infrastructure. The effects of climate change on housing and infrastructure are already being felt in some places, including urbanised parts of Otago and Hawkes Bay.³¹ Cities will be particularly vulnerable to heat stress caused by a warming climate.³² The costs of adaptation will be huge – and councils are unlikely to be well placed to deal with them. One report has estimated that over \$2.7 billion of council infrastructure alone will be put at risk of a sea level rise of half a metre, which is a realistic prospect within as little as 50 years.³³ The costs of doing nothing will be catastrophic.³⁴

At the same time, our cities are likely to keep growing in terms of population numbers, and immigration policy can create uncertainties for planning. A staggering 99 percent of population growth is now accounted for by cities.³⁵ This will continue to create enormous pressures, especially where growth is rapid.³⁶ New people will need to be accommodated in affordable housing and serviced by reliable and effective infrastructure, and increasing density will need to be carefully managed to avoid the social and environmental pitfalls of more people living in close proximity. Smart design will be vital, and we will need a broader focus than just the economic value of urban development.³⁷

Demographics are changing too, and cities will need to reflect the shifting aspirations, needs and values of new residents while managing the expectations and interests of existing ones (eg around density and the nature of public services, including for the elderly). Mai Chen

especially if containment measures in New Zealand continue to be successful relative to the rest of the world. This has been observed in recent months.

- People may desire to live outside of cities, or in lower density areas, if they perceive crowded environments (eg apartment buildings) as being risky from a health perspective. One account has emerged from China about a single person who led to a cluster of infections by using a communal elevator, despite having no direct contact with other people.⁵¹ There could also be increased demand for a more dispersed urban form. However, this may depend on how people perceive ongoing risk and the benefits of density, including greater physical access to employment opportunities in cities.
- In some places, weak demand for holiday rentals (eg AirBNB properties) may see them repurposed as long-term rentals or sold as owner-occupied dwellings, increasing supply and potentially softening prices. The effect of this remains unclear, and recent indications are that it has not materially increased supply.
- International supply chains for materials for new builds may be constrained.
- Lower confidence overall in the housing market may lead to a reduction in prices (although the impacts may take a while to manifest and will likely be different from region to region).⁵² At the time of writing the predicted downturn has yet to manifest in a significant way.

- Economic stimulus (through fiscal and monetary policy) may stabilise house prices and maintain demand by enticing more first home buyers into the market. However, that may be tempered by increased unemployment⁵³ which is likely to impact disproportionately on lower-paid workers who do not yet own real estate and will become more apparent after wage subsidies end. Lower house prices do not necessarily mean more affordable housing, because affordability is also linked to income.

Overall, in the short-term there may be downward pressure on house prices in some parts of the country, including in previously high growth areas. However, it is by no means clear that issues with housing affordability will disappear even in the medium term. The market is uncertain, and considerable political incentives exist to protect property values from falling too much if that can be prevented. We do not have an oversupply of housing stock, and demand will return.

In future, the system needs to be positioned to deal with the same housing affordability and other problems it has faced in recent times. Such problems will remain and may even be exacerbated for the most vulnerable in the coming months and years. Furthermore, housing issues are not just about unaffordable home ownership. Job losses will see more people homeless and unable to even rent, and could drive massive government investment in modern state housing alongside subsidies for improvement of the national housing stock. Some have highlighted this as an opportunity for the government to invest heavily in residential development,⁵⁴ for which it already has a vehicle in Kāinga Ora (see Chapter 11).



post-lockdown period indicates that the use of private vehicles may not see too much change without other incentives to drive it.

- There could also be impacts on the types of dwellings sought. As working from home becomes more normal, people may require an extra room to use as an office. Already that demand is being felt in “satellite” towns like those in the Wairarapa.
- Location may become important, too; an exodus from main centres to the regions may occur if people choose to take advantage of working from home, pursue cheaper properties, feel that living in the middle of a large city poses health risks, or desire the open space (eg gardening opportunity) that smaller towns allow. Demand for housing in parts of Auckland and Wellington might reduce. There are potential tensions to be resolved between the public policy benefits that compact urban form (and density) provide on the one hand (see Chapter 6), and market pressure for the supply of peri-urban land on the other. Again, however, there is much uncertainty here – it is entirely possible that an economic downturn might actually see more people drawn to the in-person employment opportunities that cities provide.

- Future cities may also need to be designed with disease transmission and physical distancing in mind, in terms of overall urban form (more self-sufficient residential neighbourhoods, multi-nodal cities, space for pedestrian movement), transport as a vector for disease (mitigation of risks on mass transit, including spacing and ability to contact trace), and the design of apartment buildings (eg risks posed by communal spaces and surfaces, access to fresh air and open space).⁶³ We have seen how poor and cramped housing can be detrimental, not just to people’s physical health generally, but also in terms of the spread of disease (eg in migrant worker accommodation in Singapore) and mental health (eg distress caused by enduring quarantine in hotels or apartments with no fresh air or natural light).

A recent report has summed up the urban implications of the pandemic well, in that:⁶⁴

The pause brought about by COVID-19 may allow a broader rethink of the sector, and a more holistic approach to housing, transport and cities that better considers the transition to carbon neutrality. The image of a 1960s nuclear family home ... with a quarter-acre section close to all amenities is no longer tenable. What have the pandemic and



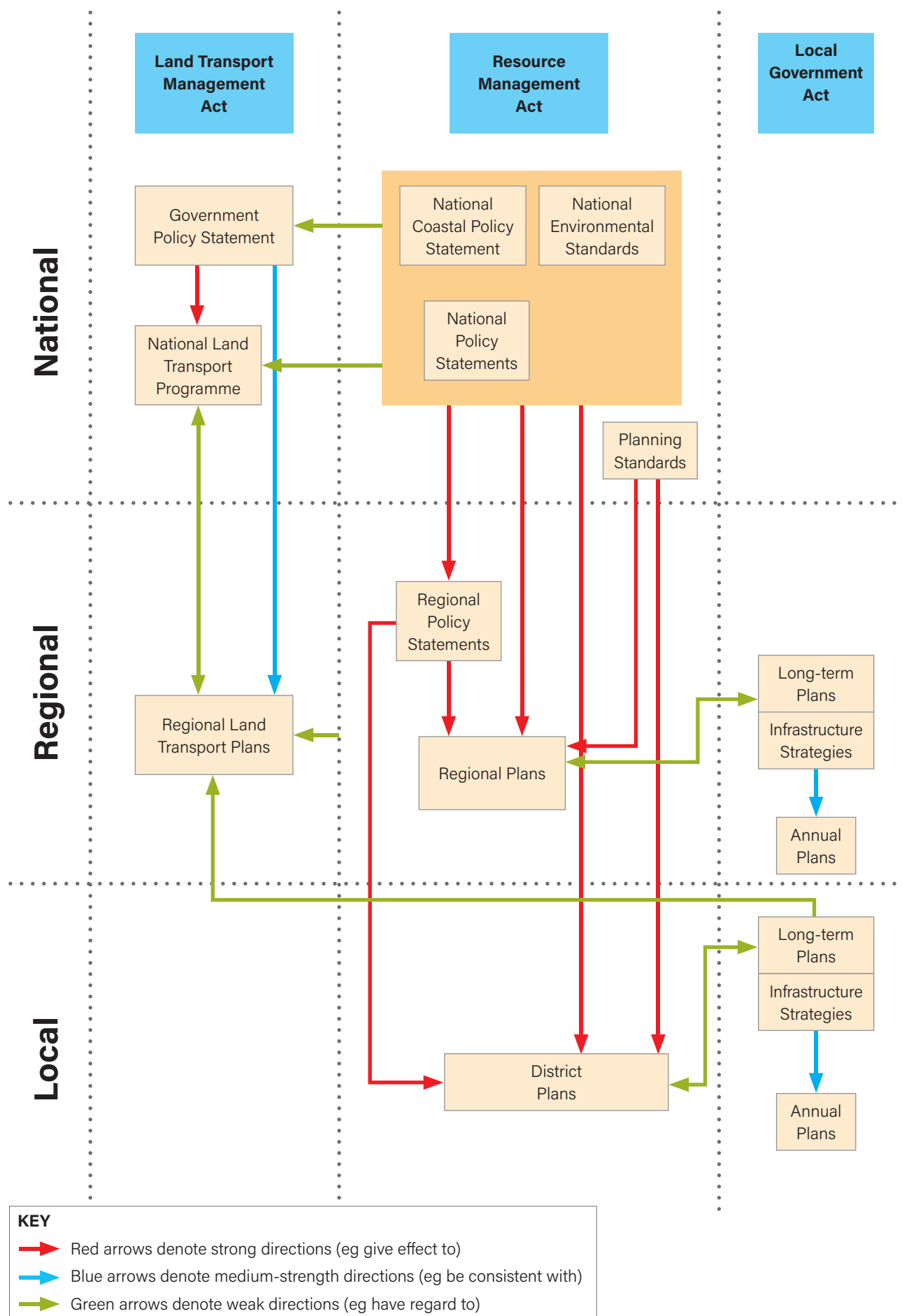


Figure 4.1: Core parts of the current “urban” resource management system: instruments under the RMA, Local Government Act and Land Transport Management Act

The existing system has categorically failed to prevent the decline of many aspects of the natural environment in and around cities.

4.10 Climate change

Cities face enormous costs and risks from climate change, but a system squarely responsible for the resilience of our land use choices, the mitigation of hazards and the funding of public interest measures has done little to lower risks or to proactively plan for or adapt to change. Despite some small-scale efforts, local opposition and funding constraints can make such measures politically and practically challenging. Yet central government has not yet stepped into the breach in a meaningful way (see Chapters 7-9).

Cities also contribute to climate change. But aside from an emissions trading scheme that has at best been patchy and weak, there has been little effort to mitigate urban impacts on the climate. “Zero carbon” amendments to the Climate Change Response Act have taken positive steps recently, but there is vast gap between the setting of strong targets/accountability frameworks under this legislation and the regulatory and funding settings to realise it in practice under other frameworks. The RMA, governing most regulatory decisions for land use, even explicitly prohibits the consideration of greenhouse gas emissions (although that will change once the latest round of RMA amendments come into force).⁷⁹ And there are only weak connections between the climate imperatives of the Climate Change Response Act and frameworks dealing with land transport funding and strategic planning.

The existing system does not address climate change mitigation and adaptation strongly enough.

4.11 Infrastructure

The resource management system is also directly responsible for the planning, funding and provision of essential public infrastructure and services in urban areas. It has not done a good enough job here. Institutional and funding arrangements and incentives at the local level have led, in some places, to chronic underinvestment in crucial inter-generational infrastructure and services (eg water). That failure is important not just for the quality of service people experience, but also for the human health and environmental impacts from drinking supply and wastewater failures.

The response to increased congestion in urban areas has also generally been to build more roads. It has not worked, and is not likely to work in the future. Without an efficient transport network to move workers and goods, urban agglomeration benefits like social connection and access to labour markets can be reduced. More broadly, there has been a failure to fund and deliver infrastructure to support urban growth in a timely way.

Some have also pointed out that the current system is oriented towards mitigating adverse effects of activities on the natural environment (albeit far from successfully), and has not had a sufficient focus on positive urban planning and design to create spaces where people and communities can thrive.⁸⁰ This is not a universal opinion; good urban planning practice has occurred under the RMA.

Yet it is valid to ask whether the system can do better. Problems like obesity, crime and mental health are not problems with the resource management system per se, and certainly cannot be solved by reforms to it. But many such statistics are worsening, and the system can contribute to solutions by, for example, providing for the mental health benefits of nature in cities; providing safe and accessible transport infrastructure and urban design

Whitianga



Local political imperatives, dominated by existing landowners, can therefore devalue the equally important interests of renters struggling to purchase a property, future residents, and future generations. It is a phenomenon that unduly impacts on the poor, locking them out of enjoying the benefits of urban living (eg access to jobs, social connection, and amenities). To some extent this has been overcome in Auckland through a Unitary Plan that took a holistic view of the city and now provides for considerable added density.⁸⁶

A broader range of political incentives can also constrain the ability of urban areas to grow *outwards*. While there are natural constraints in some areas – such as the need to protect landscapes around Queenstown and the natural geographical barriers around Wellington – there is evidence that strictly preventing outwards growth through planning provisions can increase the price of developable land (especially when coupled with restrictions on densification).

Furthermore, existing residents may perceive that they are subsidising the interests of future residents by funding expensive growth infrastructure through rates, or perceive that financing through high council debt levels threatens their future position.⁸⁷ Councillors frequently campaign on platforms of keeping rates low and being debt prudent. There are also legal and practical constraints on the extent to which growth can be financed by debt.⁸⁸

The result is that infrastructure expenditure is carefully rationed where growth is high, and cannot always keep up with rapidly increasing demand for serviced greenfield land. A residentially zoned section is not much use without connections to transport or water services. Outwards expansion is therefore constrained, and the price of existing properties goes up (which also encourages land banking and speculation, with landowner expectations of high capital gains). This is not at all to suggest that well-considered and responsive urban limits are an inherently undesirable thing – quite the opposite (see Chapter 6). It is simply to note that existing incentives from our infrastructure funding and financing system are not working as they should to allow growth where it is appropriate.

When combined, planning and practical restrictions on both outwards and upwards growth, and demand that outstrips supply, mean that prices for residential land increase. The resource management system needs to be responsive to that. Some have gone so far as to estimate that increasing land supply could reduce the cost of housing by 31 to 47 percent.⁸⁹

Yet rather than just increasing supply, we also need to think about what is driving demand. Of course, strong population growth in cities has been the underlying factor, and is not easily able to be controlled. If a city is popular or has available jobs, more people will want to go there. Growth is a sign of success. But that does not capture the full picture. Some have therefore pointed to, for example, “tax settings that have encouraged a generation of investors to see rental properties as a

uniquely desirable asset class” due to the potential for tax-free high capital gains in fast growth areas⁹⁰ and, perhaps, a cultural attachment to investment in land. People are not just bidding up properties for the purposes of living in them. In fact, some properties in Auckland are not inhabited at all (or even built on), and exist only as speculative land investments. Others have pointed to the perceived risks of investing in high density dwellings like apartment blocks, where a higher proportion of value is tied to a building that may fail (as opposed to land, which is much less risky).⁹¹ Changing tax settings alone may not increase actual physical housing stock (and is therefore not a substitute for resource management reform where supply needs to increase), but it could reduce the impact of bidding wars between investors and first home buyers and encourage investment in more productive assets.⁹² As we have seen, though, there is enormous entrenched political opposition to such tax changes.

Other factors also have a bearing on housing supply and affordability. Some have pointed to the way the construction sector is set up and struggles to realise economies of scale; roadblocks to large-scale development of high or medium density housing presented by fragmented land (Newtown in Wellington is often given as an example); interest rates and credit availability; incomes; the cost of other essential goods and services; subsidies for home ownership; overseas investment settings; land banking and a lack of competition in the market; direct government involvement in the development sector; and immigration policy.⁹³

This report does not stray into such questions. However, the key point is that contributors to housing affordability are complex. Land supply needs to be increased (particularly by allowing for greater density) to overcome the powerful underlying cause of scarcity, but it is disingenuous to claim that the RMA as a whole, including Part 2, a range of environmental protections, urban boundaries and “red tape”, is responsible and needs to be chucked in the bin.⁹⁴ The Resource Management Law Association has even said that “there is no credible evidence base that the RMA [itself] is the sole (or even a predominant) cause of such issues”,⁹⁵ and a 2010 urban technical advisory group report stressed that:⁹⁶

house and section prices are a product of many influences, including planning decisions and the regulatory regime of the RMA. In addition to construction costs, interest rates and the availability of credit are at least of equal or greater significance.

Furthermore, increasing the supply of land through the planning system does not always work without other supporting measures. Even under special housing area legislation (overriding aspects of the RMA),⁹⁷ actual houses were slow to be provided due to infrastructure funding issues and construction costs.⁹⁸

That is not to say that the resource management system should do nothing, only that an overall package of solutions should not focus *only* on removing planning restrictions. For example, if a compact urban form and

duplications and uncertainty in how outcomes are reached, and exacerbates issues with public understanding and accessibility. Coordination is vital: “managing the effects of individual activities is not enough on its own, we also need to manage urban systems and their interconnections.”¹¹⁵ The system lacks effective oversight and holistic stewardship.¹¹⁶

- While the system is not devoid of strategy, it does not provide an overall vision of what it wants to achieve in the future¹¹⁷ or the steps that need to be taken under multiple legal frameworks to get there. The RMA itself has been said to lack a future focus, and assumes an environment that is for the most part stable. That is unlikely to hold true in the future, not least because of climate change and the recognition that we need to actively make things better rather than just mitigate harm.

How the system operates is as important as the substantive outcomes it produces. At present, there are many issues with urban processes. There are concerns about the strength of input by Māori, future generations (and future residents) and central government. Processes are too slow to achieve timely outcomes. And the system as a whole has grown extremely complex, inaccessible and uncoordinated. This phenomenon has become worse over recent years, as legislative workarounds, new institutions and additional planning instruments are layered over the system.¹¹⁸

Above, we have identified a number of ways in which the current system is failing or underperforming in the urban context, or ways in which it might struggle in the future to cope with new challenges. In the Phase 1 work we also put these into a number of categories.

The most obvious is that the system has failed in a number of areas to do what it was always intended to do, including (especially with regard to the RMA) protecting the environment and enabling urbanites to provide for their wellbeing. Other issues are not “problems” per se, but require a careful balancing of competing interests that may change over time and need to be recalibrated under new circumstances (eg how and the extent to which the public can participate in planning processes). Still other problems are arguably a result of things that the system was not clearly designed to do in the first place, such as coordinate between land use and infrastructure provision in contexts of rapid urban growth, provide for explicit recognition of specifically-urban outcomes like urban design and housing affordability, address climate change, and drive environmental improvements. The system needs to expand its scope to deal with such things in a meaningful way.

Many issues have arisen from how the system has been implemented (through plans and other decisions), rather than being a problem with a particular statute. For example, someone looking at the RMA for the first time would be quite convinced that it imposes effective environmental bottom lines. Quite a few commentators have, with good reason, therefore defended the RMA itself, and pointed to the need to improve planning practice, strengthen national



changes. One measure that deserves particular emphasis is the government's establishment of an independent review panel led by Hon Tony Randerson QC, which has a broad terms of reference to investigate the future of the resource management system.¹³² While the panel's focus is on the RMA and that Act's connections to other legislation, rather than the broader system defined in this project,¹³³ urban matters are at the heart of its work. In particular, the relationship between the RMA, the Local Government Act and the Land Transport Management Act (crucial in managing urban growth), as well as spatial planning, are identified as relevant.¹³⁴ At the time of writing, the panel's recommendations are imminent, and we encourage readers to engage with the Panel's report alongside this one.

There is an active reform programme being pursued by the current government. Wider system reform will need to be cognisant of such measures. Of particular importance is the work of the government's independent review group to rethink the resource management system as a whole, which includes a mandate to explore urban-focused reforms.

The impact of some of these measures remains unclear, although some (particularly Auckland's Unitary Plan and a more ambitious set of national direction) show

promise. However, in our view there are still underlying, systemic issues with the current system that require a fundamental rethink.¹³⁵

In particular, a lot of the measures being taken are constrained by the existing legislative silos through which they are created and will not be able to achieve the integration or coordination we require. For example, a new NPS on Urban Development speaks rather hopefully of integrating land use and infrastructure, but as an RMA policy it has little legal influence over frameworks under which infrastructure is actually funded (see Chapter 10). Bespoke or workaround measures are also being pursued through new legislation and new institutions – as under the Urban Development Act – but while such things have positive features, their relationship with existing frameworks like the RMA tends to exacerbate the complexity and fragmentation we already have (see Chapter 11).¹³⁶ The overriding lesson is that more systemic fixes are required, and that these need to reduce the complexity that has grown up in recent times.

Over the remainder of the report, we present a vision for framework level reforms that in our view would better achieve a wide range of urban objectives. Central to that is reform of the RMA, and we begin by looking at a key question of legislative design: should we split up the Act?



Viaduct Basin, Auckland

- 58 NA Keath and RR Brown "Extreme events: Being prepared for the pitfalls with progressing sustainable urban water management" (2009) 59(7) *Water Science and Technology* 1271.
- 59 COVID-19 Recovery (Fast-track Consenting) Act 2020.
- 60 <www.stuff.co.nz/environment/climate-news/120969030/climate-change-commission-warns-dont-compound-covid19-with-climate-crisis>. See also a letter sent to the Minister for Climate Change by the Chair of the Climate Change Commission, concerning key principles for economic recovery (available at <https://ccc-production-media.s3.ap-southeast-2.amazonaws.com/public/Climate-Commission-advice-re-stimulus.pdf>)
- 61 Some have said that debt could rise to around 40 percent of GDP, or possibly higher.
- 62 P Gluckman and A Bardley *The future is now: Implications of Covid-19 for New Zealand* (Kōi Tū Centre for Informed Futures, April 2020) at 11.
- 63 Technological solutions have been floated, such as self-sanitising elevators and bathrooms.
- 64 P Gluckman and A Bardley *The future is now: Implications of Covid-19 for New Zealand* (Kōi Tū Centre for Informed Futures, April 2020) at 11.
- 65 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019), ch 4.
- 66 Including the existence of a unitary council, a bespoke planning process for merging existing RMA plans into a single combined plan, and a statutory requirement for a higher level strategic plan (the Auckland Plan). See Local Government (Auckland Council) Act 2009; Local Government (Auckland Transitional Provisions) Act 2010.
- 67 On the impact of Auckland's metropolitan urban limit, see New Zealand Productivity Commission *Using land for housing* (2015) at 311; A Grimes and Y Liang "Spatial determinants of land prices: Does Auckland's metropolitan urban limit have an effect?" (2009) 2 *Applied Spatial Analysis and Policy* 23.
- 68 See Chapter 8 on the concept of urban limits.
- 69 Reflected in the proposed NPS for Highly Productive Land. See New Zealand Government *Valuing highly productive land: A discussion document on a proposed national policy statement for highly productive land* (2019).
- 70 For example, through housing policies requiring a certain proportion of homes to be provided below a particular price point or floor area, or through well planned medium or high density housing areas.
- 71 See G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 *Wai L. Rev.*
- 72 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 73 See M Brown and others *Evaluating the environmental outcomes of the RMA* (EDS, 2016).
- 74 For example, higher greenhouse gas emissions, encroachment on ecologically sensitive areas and paving over productive soils.
- 75 *Environmental Defence Soc Inc v New Zealand King Salmon Co* [2014] NZSC 38, [2014] 1 NZLR 593; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283; *Environmental Defence Soc Inc v Otago Regional Council* [2019] NZHC 2278.
- 76 See M Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (EDS, 2017); Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019); M Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 77 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019) at 43; Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019).
- 78 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019) at 66, 107-109.
- 79 See Resource Management Amendment Act, ss 2(3)-(4); ss 19-20; ss 35-36.
- 80 See A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010); New Zealand Council for Infrastructure Development *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 81 New Zealand Productivity Commission *Local government insights* (2020) at 11.
- 82 See New Zealand Productivity Commission *Using land for housing* (2015); New Zealand Productivity Commission *Housing affordability inquiry* (2012).
- 83 See P Nunns "The consultation problem: Who submits on the plan?" (2 March 2016) <www.greatauckland.org.nz>; P Nunns "Zoning reform: Who submitted on the plan" (8 September 2016) <www.greatauckland.org.nz>; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 204.
- 84 Wide ranging density restrictions can increase the value of land in some cases (by restricting supply), but in other cases restrictions can decrease land value (because the ability to subdivide and develop would be profitable).
- 85 New Zealand Productivity Commission *Local Government Insights* (2020) at 10.
- 86 Although much will depend on the extent to which permitted density is actually taken up in practice.
- 87 New Zealand Productivity Commission *local government insights* (2020) at 13.
- 88 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019), ch 10.6; New Zealand Productivity Commission *Local government funding and financing* (2019); Local Government (Financial Reporting and Prudence) Regulations 2014. Some borrowing restrictions have recently been relaxed for a short period by the Local Government Funding Agency, to allow councils with a high credit rating to borrow up to 300 percent of their revenue (up from 250 percent) to respond to the Covid-19 fallout.
- 89 New Zealand Productivity Commission *Using land for housing* (2015) at 2.
- 90 <www.beehive.govt.nz/speech/speech-government-economics-network-2019-conference>. Others have concluded that tax settings are not a large cause of the problem: see New Zealand Productivity Commission *Housing affordability inquiry* (2012).
- 91 K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 31.
- 92 If land supply were increased (or additional supply were more responsive), there would no longer be a realistic expectation among investors for the rapid capital gains that have occurred in recent years; even so, however, it is not clear that housing would become less attractive than other assets or that tax settings would not have a distortionary effect.
- 93 See generally T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 158; A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 20.
- 94 See, for example, hyperbolic calls to get rid of the RMA in a "bonfire" of regulation: www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12315020
- 95 Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020) at [18].
- 96 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 1.
- 97 Housing Accords and Special Housing Areas Act 2013.
- 98 K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 55.
- 99 Inclusionary zoning is not a complete solution, and debate continues as to its effectiveness. Some have pointed to it making market-priced homes more expensive, operating essentially as a tax on development, and actually reducing overall supply of new housing. It is therefore not a replacement for mechanisms to increase supply of houses, including by increasing density and allowing mixed use neighbourhoods. However, others have supported its use as part of the picture in creating more affordable, socially integrated and economically diverse communities, particularly in high priced areas where affordable units would not otherwise be built.
- 100 SL Martin and DS Norman *An evidence-based approach: Does the rural urban boundary impose a price premium on land inside it?* (Auckland Council, Chief Economist Unit, February 2020).
- 101 See New Zealand Productivity Commission *Better urban planning* (2017); Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system* (2010).
- 102 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 103 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 4.
- 104 New Zealand Productivity Commission *Using land for housing* (2015) at 268.
- 105 Compare New Zealand Productivity Commission *Using land for housing* (2015) at 268.
- 106 S Elias *Righting environmental justice* (address to the Resource Management Law Association, 25 July 2013) at 2. Compare TM Lenihan and J Bartley *Review of Māori planning futures: Review of the Productivity Commission's "Better urban planning" draft report* (Nga Aho and Papa Pounamu, 2016) at 36.
- 107 For example, in the use of special housing areas under bespoke legislation (altering the application of Part 2 of the RMA), and in the removal of local government consideration of climate change mitigation.
- 108 For example, the idea of a development-oriented Government Policy Statement on Housing and Urban Development could jar with protective instruments under the RMA.
- 109 For example, in the streamlined and collaborative processes available as alternatives to the normal planning process.
- 110 See S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (2016) *Resource Management Journal* 1; S Berry S, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) *Resource Management Journal* 3.
- 111 New Zealand Planning Institute *Submission: RMA Review Panel issues and options paper* (2020) at 3.1.
- 112 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 11.
- 113 Compare New Zealand Productivity Commission *Using land for housing* (2015) at 268.

5. THE RMA AS A FRAMEWORK FOR “URBAN PLANNING”

5.1 Introduction

There have been calls to “get rid” of the RMA. A lot of them have been motivated by dissatisfaction with how the Act applies to urban issues, and many complaints are legitimate.¹ There is an understandable desire to clear the decks and start again. But if we got rid of the Act, we would need something fit for purpose to fill that void. We cannot just repeal the RMA and hope for the best.

In previous work we have explored a number of fundamental changes that are needed to the RMA but we concluded that the basic framework could remain. On reflection, though, it has become increasingly obvious that the extent of the change required – explored over the coming chapters – really means there needs to be something new, not just a deep round of amendments. We need to rebuild our core legislation from the ground up, on a new set of foundations.

But what should a replacement for the RMA look like? The biggest question here is one of legislative design. Should we arrange our legislation in fundamentally different ways? Should we, for example, split the RMA into two: an Environment Act and a Planning Act?

There are legitimate questions about what the RMA should deal with and what should, instead, be done under other, more targeted, statutory frameworks. In fact, our current resource management system is comprised of much targeted legislation already. For example, biosecurity, hazardous substances and the management of the conservation estate are already managed outside the RMA.² It would be unwieldy and confusing to have a

single, enormous, statute that deals with all aspects of the resource management system.³

So should an integrated statute like the RMA continue to be the place in which we manage our built or urban environments? Or do we need something more targeted for such things – like an Urban Planning Act? We devote a whole chapter to this question, given that it is a prominent and growing issue. Infrastructure New Zealand has proposed a separate act for planning, and the National Party has recently said that it intends, if elected to government, to carve out “planning” in a similar way.

Let us first revisit what we mean by urban, built and natural environments.⁴ As described in Chapter 2, these concepts, and therefore options for splitting the Act, are not easily disentangled in precise legal terms. The RMA protects what many think of as the “natural” environment (in the sense of common pool “resources”⁵ like water, air and flora and fauna) from a wide range of human activities. Because urban areas are by no means devoid of natural features, environmental legislation like the RMA is equally important in cities. If anything, the need to protect the environment in and around cities is *more* important, given the huge environmental pressures that come from dense agglomerations of people and activities.

But despite the fact it looks like an “environmental protection” statute in the traditional sense, the RMA is also the place in which the historically distinct concept of town and country planning occurs. It guides urban development, how cities grow or contract, and how urban neighbourhoods look and feel. This is often referred to as “urban planning”, although that is not a term that has a formal meaning under New Zealand’s system. To



A spotlight on a Planning Act

Infrastructure New Zealand and others have proposed a radical rethinking of what resource management legislation could look like in the future.¹⁴ There would be a separate “Development Act” alongside a specific statute designed to protect the biophysical environment: an “Environment Act”. Three core statutes – the RMA, Local Government Act and Land Transport Management Act (and potentially others)¹⁵ – would be rearranged along different lines to morph into these two new acts. The Development Act would be concerned with what is described as “planning”, and might alternatively be called a Planning Act.¹⁶ A new Environment Act, instead, would be concerned with environmental “sustainability”.

There would be a cascade of plans created under a Development/Planning Act at a national and regional level¹⁷ (including regional unitary plans, regional spatial plans, long-term plans, various targeted investment plans, infrastructure strategies, asset management plans and transport plans), which would be subject to national and regional environmental policies and regulations made under an Environment Act.¹⁸ Legislative redesign would address the fact that the:¹⁹

existing planning framework (the Land Transport Management Act, Local Government Act and RMA), requires separate plans without strong linkages between them. Where linkages do exist, these have different weightings and are often inconsistent between the statutes.

This results in a “complex maze of approvals” for development and a situation where there is “a lack of common purposes and goals across the planning framework and the hierarchy between the ... plans is unclear”.²⁰ There is also temporal misalignment to be fixed – plans under the different acts are made according to different timeframes and processes. The overall thrust is that land use and infrastructure planning and funding are not well aligned, and that this leads to confusion, complexity, and a lack of timely outcomes for development, particularly in fast-growing greenfield areas. Misalignment has serious implications for the supply of developable land, which in turn affects housing affordability.

There are two main concerns with the current urban system that this kind of proposal seeks to address: (1) the environmentally focused RMA itself is deficient as a statute for the quite different imperatives of urban planning, including housing supply; and (2) there is a lack of coordination or alignment between land use planning under the RMA and infrastructure provision under other legislation. Both are valid concerns and have led to very real problems (see Chapters 6 and 10).

Arguments have been made for splitting the RMA into separate statutes related to environmental protection and planning, and for infrastructure planning and funding legislation to be merged into a new Planning Act. This is designed to address a number of urban issues.

5.3 The potential benefits of splitting the RMA

Is splitting the RMA the right way forward? The question certainly requires close attention. In particular, the mechanics of separating the concepts of “environment” and “planning” need to be picked apart.

First, the positives. From an environmental perspective, there is a lot to be said for having this kind of split applying to cities, as long as planning/development legislation was firmly subordinate to “natural environment” legislation (in other words, “the Environment Act would put the environment first”).²¹ We have heard from some environmentalists, not just the development community, that such a strict separation could help to enshrine a clear hierarchy (one act trumps another) under firm and distinct environmental principles. It would therefore avoid the balancing approach that has for most of its history proved so damaging under an integrated RMA²² (or recurring efforts to create carve outs from it),²³ where the temptation is always to make trade-offs between protection and use.

It could also enable urban development decisions that do not really involve consideration of the natural environment to be subject to a less detailed and expensive assessment process, based on more “anthropocentric” concerns in a setting that is highly modified already.²⁴ For example, a subdivision may only have effects that relate to traffic safety and capacity, and the extension of a residential deck might have negligible impact on things like freshwater quality or native fauna.

In short, the idea is that an Environment Act would outline a biophysical envelope within which development can occur, and planning legislation would then facilitate (and, indeed, encourage) quality and timely development within it. Conceptually, it would not be too different to the context of minerals: the environmental effects of mining are subject to the RMA, but mining itself has been explicitly encouraged in separate legislation within those restrictions.²⁵

Furthermore, the idea of splitting the RMA is not *necessarily* inconsistent with integrated management. A common reaction is to think that legislative fragmentation is bad and to be resisted, and integrated management is a good thing to be retained. But the crucial question is more nuanced and finely weighted: *what* should we integrate? And *what* should we fragment? Targeted frameworks, with focused purposes and separate institutions, can be useful and more workable than an Act that tries to do too much.²⁶

However, this is far from clear cut. For one, the land use functions of territorial authorities are by no means limited to the built or urban environment. They span all land in a district, and involve many protective “environmental” considerations as well as development ones (such as biodiversity protection). Furthermore, regional councils have a variety of functions relating to land use, including land use in urban and built settings. Those are not just related to “natural” things like soil erosion, flood control or freshwater protection, but extend to decisions about regionally significant strategic land uses (eg the imposition of urban limits in regional policy statements). More specific regional and district functions overlap, too (eg in terms of biodiversity maintenance, and the provision of development capacity).

Perhaps most significantly, there is no *normative* distinction recognised in the RMA. In other words, there is no clear distinction in the concept of sustainable management between the principles that apply to land and the principles that apply to other domains, or between those that apply to built-up and other areas. This is for very good reason: sustainable management principles are often *all* relevant to some degree, irrespective of where an activity is taking place. Everything is connected.

A decision would also need to be made as to whether a Planning Act would be about land use only in urban areas (“town” planning) or everywhere (“town and country” planning). Making a firm legal distinction between laws applying only to urban areas or rural areas could be problematic; towns can expand and contract, and urban growth needs to be managed in an integrated and strategic way with surrounding land uses (eg productive land, landscapes, significant natural areas).³¹

From a purely technical standpoint, it would be possible to split the RMA into separate acts for planning and the environment. However, it would raise many complex questions, boundary issues and potential overlap.

5.5 The risks of splitting the RMA

There are also substantive risks to a Planning Act-Environment Act split. The crucial question, in our minds, is where the *stronger* (ie intra-statutory)³² connections are needed when making decisions in and around cities. Presently, both land and other natural resources are managed under a single Act with a single purpose and principles, while the funding and planning of infrastructure is managed under the Local Government Act and Land Transport Management Act. These have quite different purposes from the RMA.

A Planning Act-Environment Act split would bring land use and infrastructure planning closer together, but at the same time it could create a separation between land use and other aspects of the environment like water, air and soil. As we noted in the Phase 1 report:³³

The strength of connection needed ... between land and other domains under the RMA may mean that legislative separation between the RMA [and infrastructure legislation] remains desirable in a future system. Connections can [instead] be made through aligning planning processes under each. Some may, however, see the connection between infrastructure planning and land use as more significant. That could see the integration of the infrastructure and land use components of the ... acts within a single statute (such as a Planning or Development Act).



But where does decision making for land use fit? Within development-oriented legislation like a Planning Act? Or within protective environmental legislation concerned with sustainability and restoration?

Some have suggested that a Planning Act could encompass “land use patterns, distribution across space of activities and buildings that house the activities, transportation systems, physical infrastructure of roads and other service systems, and urban design”.⁴³ However, to us land use would really need to fit within both statutes, suggesting that an integrated Act remains most appropriate. The implication of an entirely separate statute for land use would be that its purpose and principles would be quite different from those applying to other domains. This seems to be the idea behind the Productivity Commission’s stance that that “a future planning system should clearly distinguish between the natural and built environments, and clearly outline how to manage the inter-relationship between the two”.⁴⁴ We are not convinced that a clear distinction between principles is possible even *within* legislation (eg a list for “built” and a list for “natural”). There is too much crossover. But even the Commission made it clear that using this as the basis for a legislative split “raises the risk of inadequately

recognising the interconnection between urban and environmental issues”.⁴⁵

By comparison, we might consider the coastal-marine context, which (like cities) looks very different to other settings. Yet we do not generally consider it necessary to put this into a different statute. Our oceans are too intertwined with other “environments” (eg the land and rivers that affect them) to treat them as legislative islands. Similarly, land use (urban, built, or otherwise) does not warrant a fundamentally different set of decision-making principles, even if it might warrant some *additional* ones that are conspicuously missing from the effects-based RMA (see Chapter 6). We therefore urge caution.

There are four key reasons we might want to pursue a Planning Act – Environment Act split: (1) to better coordinate land use with infrastructure provision; (2) to reflect completely different sets of legislative tools; (3) to provide one with faster processes; or (4) to provide a different set of principles under which decisions are made. Better coordination of land use and infrastructure is key, but can be achieved in different ways. We do not find the other reasons for splitting the RMA convincing, as underlying issues can be addressed better in other ways.



routes has implications for urban water quality that are not easy to mitigate later on;⁴⁸ and the absence of urban trees and permeable space can impact on a city's micro-climates and flooding. Urban land use decisions also have systemic implications over the long term for biodiversity (many of New Zealand's most threatened terrestrial environments are found within or close to urban centres),⁴⁹ soil and food production.

Often, how we manage land is crucial to a precautionary and preventative approach to environmental management more broadly, because permitted uses of the land generate cumulative (and usually poorly monitored) impacts. These decisions have significant long term "environmental" consequences. It is particularly difficult to reverse urban sprawl once it occurs – we are giving up many alternative land use choices (eg food production, nature conservation) when we concrete over soils, and are locking in transport modes (eg cars) in our choice of urban form. On the other hand, if it is done well, urban development can be positive (eg by recognising the value of and providing for urban biodiversity corridors). Of course, equally robust or even identical environmental principles *could* be built into a standalone Planning Act dealing only with land use. But if we did that, what would be the point of splitting up the RMA in the first place?⁵⁰

There are also important cross-cutting concepts like Te Mana o te Taiao, landscape, energy efficiency, ecosystem-based management, and catchment scale management that require a tightly integrated regime. How would these concepts be meaningfully provided for if land use planning were to be located under a different regime with different decision-makers and processes?⁵¹ It is by no means obvious what kinds of things should be in one act or another, and how they should relate.⁵² That extends to "environmental" impacts felt directly by people and communities, such as noise pollution, access to natural light, and the felling of mature trees. If we had a Planning Act and an Environment Act, where would such impacts be considered? In both?

Furthermore, how would fragmenting consideration of urban land use fit with te Ao Māori? We leave that question to Māori, but note that the Te Aranga principles stress that the notion of a cultural landscape connects "whānau and whenua, flora and fauna, through whakapapa. It does not disconnect urban from rural. It transcends the boundaries of 'land'scape into other 'scapes'; rivers, lakes, oceans and sky."⁵³

The environment is a holistic concept. Within this, land use decisions cannot easily be separated from other aspects of environmental wellbeing.

While a Planning Act could be made expressly "subject to" an Environment Act, this tends to assume that there are always hard and fast environmental rules in the latter with which the former could simply "comply" (eg

preventing further harm through discharge standards, protected areas etc). For some things, involving clearly defined spatial or performance-based limits, that will be the case. But what is also needed is an integrated approach where development and land use decisions actively pursue environmental goals alongside other aspects of human wellbeing, not just comply with bottom lines. For example, a Planning Act dealing with land use decisions would need to contemplate how urban form and design can be energy efficient, how to green our cities and enhance people's connection with nature, how to reduce greenhouse gas emissions, and how to improve water quality. Those are also things that would be at the heart of an Environment Act.

Splitting the RMA could also cause considerable confusion, overlap and inefficiency. There would likely be a need to either duplicate or cross-reference provisions concerning notification, public participation, timeframes for decisions, and other procedural matters. Endless questions would arise concerning relationships between different instruments and institutional responsibilities. It would risk extensive litigation to define boundaries.

We might even end up trading one enormous statute for two statutes that, when combined, would be even larger and more confusing. The Resource Management Law Association, for example, has said that a split would "introduce significant complexity and confusion as to how the new framework should be interpreted and applied in practice"⁵⁴ and highlighted that "environmental issues will always be relevant to urban planning – so how would they be required to be taken into account under the planning statute?".⁵⁵ We would go even further and suggest that urban planning *is* an environmental issue. It requires us to conceive of the environment for what it really is – the surroundings in which we live – not a series of separate domains that can be looked at separately.

Splitting the RMA would require many cross-references between the new statutes. There would likely be overlap, duplication and uncertainty.

All of this suggests the need for a single act concerned with land, water, air and so on. How land is used – irrespective of whether it is public or privately owned – is a crucial part of our environment, and strong connections need to be made between all aspects of the biosphere. Some have even called for the land use presumption in the RMA (that land can be used however one wishes unless expressly restricted) to be reversed, to be in line with "common pool" resources like water and air, especially since plans in practice tend to implement fairly blanket restrictions anyway.⁵⁶ We do not comment specifically on that, but emphasise that land is our common heritage as a nation, even if there are a defined set of property rights in it. It is not a world apart, and our statutes should recognise this.

ENDNOTES

- 1 See also MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (2017); MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018); M Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 2 See Biosecurity Act 1993; Hazardous Substances and New Organisms Act 1996; Conservation Act 1987 (among other conservation-oriented statutes).
- 3 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.
- 4 On potential distinctions between "urban" or "built" and "natural" environments, see New Zealand Productivity Commission *Better urban planning* (2017); New Zealand Government *Urban development authorities* (Discussion document, 2017); *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010); New Zealand National Party "New urban planning law for cities" (Press release, 4 September 2017).
- 5 We acknowledge that the term "resources" may not be the best one, and is an anthropocentric way to think about the environment.
- 6 Resource Management Act 1991, s 2.
- 7 Even though many aspects reside elsewhere (eg pest management, climate change, protected areas etc).
- 8 Many jurisdictions in Europe take this approach. On international approaches to resource management, see G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 1* (EDS, 2018).
- 9 In short, these principles can be described as: coherence, certainty, accessibility, integration, durability, being tailored to New Zealand circumstances, and efficiency.
- 10 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8. One option was for "bottom line" outcomes to be established and defended in one act (eg freshwater quality limits), and for the facilitation of trade-offs to occur in another (one might think of urban amenity concerns). That would reflect the idea that balancing equally weighted considerations does not belong in a truly protection-focused act, which must be uncompromising. While it makes some conceptual sense, this kind of hard split is not an immediately attractive option because of the complexity it would create. There would be a need for complicated links to be made between different statutes dealing with the same ecosystems and the same resources, where the distinctions between bottom lines and balance would not always be obvious (and may shift with time).
- 11 Albeit with complex links with the RMA and other legislation.
- 12 See Resource Management Act 1991, pt 4.
- 13 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 83.
- 14 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019). See also Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 41. Also see generally A McLeod "From scratch" (2012) 185 Planning Quarterly 10.
- 15 For example, heritage legislation.
- 16 It could also establish and provide for the wider functions of institutions, including local government.
- 17 A focus on regional planning is due to such proposals being sometimes accompanied by regional amalgamation of councils themselves. However, that is not a pre-requisite to legislative separation.
- 18 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 282-283 (Figure 14.4).
- 19 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 20 Ibid.
- 21 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 59.
- 22 See discussion in Chapter 6.
- 23 For example, under the Housing Accords and Special Housing Areas Act 2013.
- 24 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 83.
- 25 Obtaining a mining permit does not remove the need to obtain resource consent under the RMA.
- 26 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), chs 8-9.
- 27 As discussed in Chapter 9, part of the issue here is constraints on funding and financing of infrastructure (there is not enough money to service rapid growth in some places), not just the fact there are different processes under separate statutes that are not well aligned.
- 28 See generally New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 29 That is sometimes not made explicit. For example, Infrastructure New Zealand sees the role of an Environment Act as including the protection of "land" as something distinct from the "planning" of land use; see New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 77. But if both frameworks are intended to have a role in how land use decisions are made, is this more, or less, integrative than the RMA? Are there, instead, different reasons or trigger points when each Act would be expected to control land use? It may, alternatively, be that Environment Act protections are intended to refer to the protection of soil health rather than the spatial aspects of land use (what activities can go where relative to each other).
- 30 K Palmer *Separating regulation of the built and natural environments - legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 60.
- 31 The ability for urban land use to take precedence over rural or other land uses is a risk under the Urban Development Act 2020, where there are few constraints on the discretionary establishment of new urban areas. For more on this Act, see Chapter 11.
- 32 Which tend to be more certain, and can be managed more easily: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123.
- 33 Ibid.
- 34 K Palmer *Separating regulation of the built and natural environments - legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 5. See also J Harker, P Taylor, S Knight-Lenihan "The Government Policy Statement on Land Transport Funding and Ecological Sustainability" (2012) 16 NZJEL 319.
- 35 Although there are some interface questions; for example, provisions that control genetically modified organisms in district plans and some limited pest control where an activity regulated under the RMA would exacerbate it.
- 36 For example, the Building Code, the emissions trading scheme, product stewardship schemes, packaging, labelling and transport requirements for hazardous substances, and pest management plans.
- 37 Spatial planning would be a different tool, but that relates to the need to align land use with infrastructure (explained above), not a fundamentally different way of controlling land use itself. It would be in addition to regulatory controls, not a replacement.
- 38 Auckland as a region is, of course, not all urban.
- 39 Resource Management Act 1991, sch 1, pt 5.
- 40 See the proposed changes to plan-making for freshwater in the Resource Management Amendment Act. 2020, from s 23.
- 41 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) ch 8.
- 42 See *North Shore City Council v Auckland Regional Council* (1996) 2 ELRNZ 305 (EnvC) at 344-346. Contrast *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [24]; but compare aspects of *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283. On the turbulent history of Part 2 in the courts, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 43 K Palmer *Separating regulation of the built and natural environments - legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 35.
- 44 See New Zealand Productivity Commission *Better urban planning* (2017).
- 45 New Zealand Productivity Commission *Better urban planning* (Draft report, 2017) at 339.
- 46 Urban design has developed considerably since those days, to encompass things that are much more about enhancing a community's wellbeing in places where they live, play and work.
- 47 New Zealand National Party *Building NZ: RMA reform and housing* (2019) at 12.
- 48 Not just from construction, but from the use of the built environment in which effects can be concentrated (eg runoff from roads, heavy metal leaching from rooftops etc).
- 49 B Clarkson and C Kirby "Ecological restoration in urban environments in New Zealand" (2016) 17 Ecological Management & Restoration 180.
- 50 Duplication and overlap should be avoided unless there is good reason for it: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 125; Legislation Act 2012, s 3(e)(ii).
- 51 Such cross-cutting concepts would be even more pronounced if legislation were split along other lines, such as one for the "built" environment and another for the "natural environment"; or one for the "urban" environment and another for the "rural" environment.

6. THE PURPOSE AND PRINCIPLES OF THE RMA

6.1 Introduction

A new Environmental Stewardship and Planning Act would need to look different to the RMA in a number of systemic ways to make it fit for purpose in dealing with urban issues.¹ A good place to start is the purpose and principles of the legislation (Part 2 of the RMA). These need to be rewritten from the ground up.

Before considering the adequacy of the specific drafting of Part 2 itself, however, it is worth considering a deeper, underlying question about the RMA. What is the Act really there for? And what should this kind of legislation be used for in the future? The trite answer is “sustainable management of natural and physical resources”, as the Act’s purpose tells us. But the boundaries of this concept have never been made abundantly clear, particularly in the urban setting.

6.2 What is the rationale for intervention in the resource management system?

Some have criticised the RMA for allowing regulatory “overreach” – especially controls on land in and around cities that go beyond what is needed or desirable. Urban planning is often seen as a constraint on people’s freedom of action to make dynamic cities really work well, something that slows down development, and something that imposes significant unnecessary costs, especially when the imperative is to provide cheaper houses faster. Commentators have pointed to excessive controls on house extensions, the construction of residential decks, minimum apartment sizes, protections for heritage buildings, mandatory provision of balconies, and inappropriately strict urban limits.² In short, the RMA – and how it has been implemented – is said to allow planners to intrude too far into our freedoms. For example, some have said:

[controls] can get down to some questionable detail, e.g. where we put the water cylinder, colour of doors. Varies from building lay-out to position, size of garages, colours and type of fences³

rules designed to protect heritage streetscapes can result in consents being required for housing alterations on rear sites that are not visible from the street⁴

Design Guides tend to be filled with emotive, subjective language with no apparent empirical evidence supporting the design preferences in most cases... For example, “positive open spaces”, “visual appeal” and “quality of experience” mean different things to different people⁵



lot comes down to how one perceives the public interest. As we pointed out in the Phase 1 report, this may need to encompass, for example:²¹

a set of incentives to encourage the uptake of electric vehicles, funding for community-led environmental enhancement measures, or measures to transition land uses to those that are more sustainable for the country as a whole ... It embraces the principle of resilience, and could proactively shield people from external and non-attributable impacts (such as natural hazards, a changing climate, and global economic shocks). It also recognises that outcomes-based urban planning is not just about guarding against “bads” or providing public goods like infrastructure. It is also about creating a wide variety of future-focused strategies to enhance the wellbeing of communities and to move our collective human endeavour forwards – getting people on bikes, reducing criminal activity, encouraging social connection.

A broad view of urban planning also resonates with Māori perspectives, in that it is entirely artificial to “separate people and economics from the natural world and environmental, social and cultural wellbeings”²² and that land is not a “fiscal asset” to be considered within a “productivity paradigm”, but is tāonga tuku iho (a treasure handed down).²³ It is important to remember that most Māori are urban dwellers, and not just kaitiaki of Māori owned rural land.²⁴

None of this is a criticism of economics as a discipline – most economists nowadays strongly recognise the need to actively improve environmental wellbeing using economic and other tools. It is simply to emphasise that the foundations of a future system should be about more than internalising negative externalities or preventing further harm.

It is also not to suggest that regulatory overreach does not exist. Innovation should not be stifled, and regulation

needs constant review to ensure it does not create perverse outcomes and unintended consequences.²⁵ Economic instruments and markets can and should be used in the pursuit of public policy goals much more than they have been. But it cautions us against taking a strict neoliberal economic view of a planning system that is there to enhance urban spaces, improve the environment, and promote the public interest. Urban planning intervention is therefore, in our view, warranted in fairly broad circumstances – (1) where there is a public interest in how we interact with our environment and use resources (including land), and (2) where it is needed to implement the Crown's Treaty relationship.²⁶

While it is crucial, a strong role for planning and regulation (more than just addressing market failures) will still not be enough. As touched on in Chapter 13, a future system will also need to grapple with the enormous underlying economic and social incentives that drive people's private decisions and behaviours. Leaving the planning system to respond to these pressures (eg by declining consents, imposing conditions, or mitigating adverse effects) will be more than it can bear in the long-term. Alongside effective regulation, we need to create a regenerative economy and society by drawing on a range of tools and disciplines at our disposal (eg taxes, subsidies, regulations, education, behavioural incentives and social/cultural change).²⁷

We support a broad rationale for the resource management system, including in urban areas. Planning is about much more than internalising negative externalities and providing public goods like infrastructure. It needs to encompass much wider imperatives around achieving the public interest, giving effect to the principles of the Treaty, and securing the interests of future generations. Strong planning will also need to be accompanied by wider system reforms to change the underlying drivers for poor outcomes (eg the tax system and behavioural incentives).



Whanganui

former Town and Country Planning Act approach and requires revision.)

However, there is nothing in the RMA that *requires* a reactive focus on adverse effects. After all, effects to be considered in planning and consenting decisions include positive effects, not just negative ones. Some issues can equally be explained by the political incentives at play – like the disproportionate influence exercised by existing property owners in council decision-making, which can militate against urban change and densification – rather than any philosophical approach inherent in the Act itself.

Indeed, the RMA has not prevented a lot of good urban planning from occurring over the past 30 years, particularly through district plans. Many plans are not actually “effects” based in the sense that might have been envisaged in 1991, or in practice are a mix between effects-based and more prescriptive or activity-based plans. Furthermore, the Act explicitly highlights the importance of inter-generational equity, the importance of managing finite resources, and the need to enable people to provide for many aspects of their wellbeing now and in the future.⁴² The definition of the environment embraces people and communities, and physical (built) as well as natural resources; land can be zoned as “future urban”; plans can and do proactively provide for affordable housing;⁴³ and the Auckland Unitary Plan contains a multitude of objectives that go well beyond the management of adverse effects on the existing environment.⁴⁴

RMA instruments are also becoming more strategic, even if the underlying legal framework may seem an uneasy fit for them. For example, the NPS on Urban Development Capacity (and its replacement, the NPS on Urban Development) requires some councils to produce future development strategies that inform (albeit not bind) district plan changes, and to provide for the release of development capacity. The NPS for Freshwater Management requires targets to be set for water quality. And a future-facing lens is also being placed over measures to protect productive land around cities, to ensure that:

a simple economic argument that highly productive land is worth more as urban development does not outweigh the irreversible lost value of highly productive land for primary production. It is also to ensure local authorities take a strategic approach to considering private plan changes and resource consent applications on the highly productive land resource in their region or district, rather than focus on the best use of an individual land parcel(s)⁴⁵

and

less productive land may be available and better suited for urban use. This is preventing the use of this finite resource by future generations.⁴⁶

The idea of regulation determining the “better” use of land for “the benefit of New Zealand”⁴⁷ is a far cry from the market-led and effects-based ethos some see as fundamental to the RMA.⁴⁸ It is doing much more than just assessing the adverse effects of proposals: it is facilitating wise land use choices for the future.⁴⁹ Similarly, the philosophy of the RMA has not prevented the NPS on Urban Development from requiring councils to identify positive “development outcomes” for urban zones in their plans, and how policies and rules will support them.⁵⁰ All of this has led some to conclude that the stumbling block is not with the RMA per se, but rather with how the RMA interacts with other frameworks dealing with infrastructure.⁵¹ Even then, it is not obvious that a philosophical effects-based foundation of the Act is responsible for actually preventing most infrastructure development.⁵²

A problem, however, is that the strength of strategic planning under the RMA relies on strong political will rather than obvious principles in the legislation itself. This can ebb and flow, and vary in different parts of the country. For example, some councils protect productive land⁵³ while others do not, and urban limits are imposed for a wide variety of reasons, some strategic and some not.⁵⁴ RMA plans are often the product rather than the origin of strategic thinking (which is usually done outside of RMA processes, often under the general provisions of the Local Government Act).⁵⁵ The overall framework is still reactive to problems as they emerge, and is not clear about the outcomes sought. The Act is not really geared towards the need for change, and in particular does not provide a strong future vision for our cities. Some plans may look good but are poorly delivered; some may be substandard but are well managed in practice; and others can be a mix.⁵⁶ This is not ideal given the housing, environmental and climate challenges we face and the need for a high level of coordination.

An effects-based ethos also jars somewhat with te Ao Māori, and the Act gives little recognition of Māori urban perspectives specifically. An outcomes-based system would be more in tune with Māori world views.⁵⁷ However, we note that this requires not just a change in the purpose and principles of legislation; it is much more fundamentally about partnership, and the power and ability to collaborate in actual decision-making processes (see Chapters 7 and 8).

In the late 1980s, the RMA was forged in the dual crucibles of free market economics and the concerns of a budding environmental movement. And while it has not prevented much good urban planning from happening, its reactive, market-led and effects-based ethos is not an ideal foundation for the future of our cities. The RMA should be replaced by an Environmental Stewardship and Planning Act that is focused on the proactive pursuit of positive outcomes, including environmental enhancement.

There are two broad aspects of Part 2 that, in our view, are inadequate. First, the purpose and principles of a new Act would need to embrace principles of good urban planning/design and the importance of pursuing positive outcomes. Secondly, reforms must clarify and strengthen urban environmental bottom lines within which development is allowed to occur.

6.5 Urban matters in Part 2

Owing to its effects-based philosophy, some have said that Part 2 does not currently provide a solid foundation for making good urban planning decisions.⁶² Others have countered that implementation is the real issue, in that:⁶³

If there is a practice problem, it may be that some district plans stray into the dogma that avoiding, remedying or mitigating an adverse environmental effect is alone sufficient to promote sustainable management, or is inherently more important than enabling social, economic or cultural wellbeing (positive effects in simple terms). Such is not in our view a correct interpretation of the RMA.

That said, it is hard to ignore the fact that Part 2 has notable gaps when it comes to urban outcomes, despite it being the core set of criteria for urban land use and subdivision decisions. It has a strong emphasis on protecting the biophysical environment, on management rather than improvement, and on adverse effects rather than positive outcomes or resilience.⁶⁴ Other than in generalities (eg amenity effects), Part 2 does not speak of the importance of urban design, renewal, growth/change or sustainable urban development, including core design features that address issues like traffic congestion, unsustainable energy use, overloaded urban infrastructure, a lack of distinctive identity, social isolation, reduced physical activity and many others.⁶⁵ As Ken Palmer has said, a lack of clear strategic focus:⁶⁶

may not have been a problem with a relatively static population, but with populations in certain parts of the country increasing significantly, and likely to continue to increase at that rate for the foreseeable future, it is timely for the legislative purposes under the RMA to be re-defined.

We agree. It is anomalous that we are now seeing national direction on urban matters (eg “well-functioning” urban environments) being developed under an Act with a purpose and principles that have very little to say about them, aside from the need to address adverse effects and to consider “amenity” and the “efficient use” and “finite characteristics” of land.⁶⁷ New national direction on urban development seems to rely on the general “enabling” provisions of section 5 (enabling people to provide for their social, cultural and economic wellbeing) rather than any urban-specific provision or particular legislative objective.⁶⁸ So while there have been calls for the NPS on Urban Development Capacity to be tied more closely to the purpose of the RMA to avoid a “development at all costs” mentality, that is quite a hard thing to do given the current drafting of Part 2.⁶⁹

Furthermore, it is far from ideal that we now have an NPS being promulgated on the protection of productive soils from urban encroachment and fragmentation, largely on the vague and uninspiring Part 2 “hooks” of using resources “efficiently” or considering their “finite characteristics”.⁷⁰ Where is the reference in the RMA to the true issues and outcomes we are seeking – food security for future generations, social resilience, the vitality of rural communities, and the land uses (or controls on them) that will have the most benefit for society in a future besieged by uncertainty and risk?⁷¹ Martin Williams points to another important outcome missing here: the need to protect horticultural land “given that the significant expansion or transition from other land uses into horticulture is likely needed to achieve [New Zealand’s 2050 climate change target].”⁷²



6.6 Part 2 and the “natural” environment in cities

We are not proposing that a new purpose and principles section allows a range of matters to be balanced and traded off on a case by case basis. We should not return to the “overall broad judgment” approach so rightly put to bed by the Supreme Court.⁹⁴ It is therefore essential that the recognition of the benefits of good urban design, resilience and other social and economic factors recommended above is accompanied by a no-nonsense approach to environmental limits. Cities (1) rely on natural elements of the environment for their existence and wellbeing; (2) themselves contain significant natural elements to be protected; and (3) can have enormous impacts on the natural world both within and beyond their geographical footprints. Most importantly, we must resist the urge to treat legitimate environmental restrictions as a scapegoat for housing affordability or residential land supply issues (see Chapter 4), or to treat them as obstacles to overcome when pressures become too great. Many have expressed concern that inappropriate developments are being allowed under the RMA due to the predominance of economic drivers over environmental and cultural protections.⁹⁵ Environmental limits need to be much clearer under a new Act, and this needs to be specified in its purpose and principles.

Of course, what environmental limits might look like in cities could be different to elsewhere (just as what they look like in the marine environment is different to the terrestrial context). For example, an urban landscape is very different and often more dynamic than a rural landscape. But the principle is the same everywhere – just because an area is “urban” or even “future urban” should not excuse it from contributing to environmental outcomes. Why, for example, should sewage overflows on urban beaches be more acceptable than the discharge of nutrients from agricultural land? Why should we accept net biodiversity loss or food producing capacity from greenfields expansion? And why should we think that air pollution and related respiratory risks are acceptable simply because someone lives near transport routes?



Pumping station, Auckland

Climate change mitigation is a good example of a “bottom line” outcome that is almost completely missing in action in our urban planning framework (see the spotlight below), while even freshwater quality (urban or otherwise) is not explicitly included as a matter of national importance in the Act.⁹⁶ Soil conservation *is* singled out in the broad purpose of the Act in section 5 but, strangely, not in the more directive sections 6 or 7. Is this meant to make it more or less important? It is not particularly clear.

The importance of climate change in urban planning

Cities pose significant climate risks, not just because of today's urban emission sources (eg factories, vehicles, waste etc) but also because choices about urban form today – such as low density, car-dependent sprawl, high emissions infrastructure and the need to travel frequently across neighbourhoods – can lock in carbon-intensive activities for decades. So too can broader choices about land use around cities; for example, there is a clear imperative to increase horticultural activities on productive land for climate reasons rather than build houses over it. Yet although the RMA is the main vehicle through which urban land use choices are controlled, it originated before climate change was really in the public consciousness and still has very little to say about it.

This problem runs deeper than simple oversight or negligence. In 2004, local government was expressly prohibited from considering the effects of greenhouse gas discharges on climate change,⁹⁷ and the courts interpreted this in an extremely (and, perhaps, surprisingly) expansive way.⁹⁸ Not only could councils not impose conditions for specific emitting activities (or provide rules that restrict them), it has been unclear the extent to which impacts on climate change from urban form and design can be taken into account by councils when planning the growth or evolution of cities as a whole.⁹⁹ At the very least there has been no imperative or encouragement in the RMA to do so.

One of the key rationales for the RMA restrictions on local government jurisdiction was that there was no national level plan/policy in place to create consistency between regions or districts.¹⁰⁰ With targets, budgets, and emissions reduction plans under new zero carbon legislation, that will no longer be the case. Furthermore, there has never been good justification for preventing consideration of climate change in matters of urban design and broader land use change (eg a compact urban form);¹⁰¹ councils have always been well placed to tackle such issues by, for example, “planning for places where people can live, work and play and are able to limit their need to travel, or by making it easy to walk, cycle or take public transport to destinations.”¹⁰²

Considerable guidance for councils on climate-change adaptation already exists. But more is needed, and providing it through central, specialised sources of knowledge will be more cost-effective than each council inventing its own solution. Most councils will welcome guidance and find it helpful not only as advice but as backing for taking the difficult and unpopular decisions that will sometimes be necessary.

Aside from the almost complete absence of climate change, we can question whether the “passive” language in Part 2 that purports to impose other environmental bottom lines is good enough. “Recognising and providing for” in section 6 is a strong direction, but the descriptions of the things being recognised and provided for (“preservation” or “protection” of various matters) envisages a world in which we are stopping further decline rather than recognising we have already overshot badly in many areas – particularly in cities. The general direction to “avoid, remedy and mitigate” – especially “mitigate” – is a tacit invitation to make things worse, not better.¹¹⁸

Furthermore, Part 2 does not make a clear enough distinction between environmental bottom line outcomes and scenarios where balance or cost-benefit analysis is appropriate. That uncertainty can both lead to true bottom lines being eroded (eg sprawling developments undermining climate change targets), and things that require balance being treated inappropriately as inflexible lines in the sand (eg the amenity values of low density neighbourhoods preventing intensification).

In the principles of a new Act there needs to be a clearer distinction made between the kinds of outcomes that are true environmental bottom lines and require limits (eg freshwater quality, biodiversity) and aspects that are more inherently about trade-offs where there is a need to balance many interests (eg urban amenity, the efficient use of resources above bottom lines, economic wellbeing, efficient labour markets, employment opportunities).¹¹⁹ The Act’s purpose and principles should not be just a policy framework within which many value-based judgments are to be resolved¹²⁰ – some values need to be preeminent as

a matter of law.¹²¹ But where values are not preeminent, there also needs to be clearer guidance about what that means for how trade-offs are made, not just a laundry list of desirable things.¹²²

The difficulty, of course, is in distinguishing (and translating into actual drafting) what outcomes are “bottom lines” and what ones require balance and flexibility. That requires value judgements at the margins. However, it would in our view be useful to introduce and specifically define a term like “bottom line” in terms of a series of inflexible outcomes to be achieved or complied with.¹²³ These should cover minimum acceptable outcomes for:

- freshwater, both for flow levels and quality (including for different purposes, like drinking and discharges)
- soil health
- air quality
- quality of coastal water
- indigenous habitats/biodiversity
- the level of risk from natural hazards (particularly climate change)
- the contribution made by the RMA to climate change targets

There will no doubt be sub-categories of those things, and other potential “bottom lines” that require further debate (eg are urban landscapes or the protection of food producing land capable of having hard limits imposed? How should they be measured?). Other outcomes should be firmly “subject to” achieving such things. Consideration could be given to framing some “urban” bottom lines (or “urban” contributions to achieving broader bottom lines like those for biodiversity)¹²⁴ differently to overall bottom lines. But these outcomes should be more clearly specified in legislation and built on through national direction.

The *King Salmon* jurisprudence made important leaps forward in recognising environmental bottom lines under the RMA.¹²⁵ No longer is there blanket license to weigh up conflicting matters on a case by case basis. However, as we described in the Phase 1 report, it does not go far enough.



Alongside clearer environmental bottom lines, a new Act needs to recognise more specifically that things like urban amenity and character – how a city looks, feels and is experienced at the moment – are not aspects of the environment to be “protected” in the same way. Cities are dynamic, and change can provide net benefits if shaped in positive ways. There would also be benefit in having a wider range of principles concerning the resolution of what are essentially private disputes (eg the height of a fence) without reference to lofty principles of “environmental” wellbeing, although care would need to be taken here. There can be significant cumulative effects flowing from thousands of decisions that appear, when looked at individually, to be only about private conflicts.

A new Act should clearly distinguish between environmental bottom lines (which must not be infringed) and things like urban amenity and character (which may need to change over time).

6.7 The importance of pursuing synergies, not just preventing harm

An Environmental Stewardship and Planning Act should also be framed so it explicitly supports choices that have synergistic benefits for both urban development and environmental wellbeing. Environmental sustainability is not just about stopping things happening; it should encourage us to think laterally and embrace win-win situations. Synergies are more common than one might think,¹⁴⁰ but are not necessarily options pursued by the market alone. We can see synergistic benefits, for example, in the densification of neighbourhoods around

mass transit nodes, in the greening of urban space, in the energy efficiency and climate change benefits of compact urban form, in the provision of water and energy sensitive infrastructure, and so on.¹⁴¹ A discussion document on the proposed NPS for Indigenous Biodiversity notes that:

Increasing vegetative cover in urban and peri-urban areas can have a wide range of benefits, including:

- supporting mental health and wellbeing
- enhancing recreation opportunities
- carbon sequestration and climate amelioration
- improving water and air quality
- visitor and tourist attractions
- social, cultural, educational and health benefits
- social cohesion in working with a common purpose
- reconnecting urban dwellers to their natural environment
- developing a more liveable and aesthetically attractive urban centre

Some have persuasively suggested that the RMA should be more courageous in the urban outcomes it seeks to drive, including:¹⁴²

specific policy direction over urban growth and form to better secure or sustain efficient transport networks and maintain compact urban form.... [and] urban design (section, and street orientation and layout, to optimise solar warming/localised power generation and minimise reliance on centralised electricity generation and/or natural gas).



In a post-Covid world we will also need to be mindful of ways to ensure physical contact between people in denser settings can be limited when required, without compromising social connection and access to essential services (if anything, Covid-19 has reinforced the need to foster a sense of community further through walkable and inclusive neighbourhoods). Some measures have been taken, for example, to widen footpaths and cycle lanes and shut some non-essential roads to motor vehicles. And while some have seen mandatory balconies as an unnecessary cost in apartment developments, they provided important mechanisms for fresh air and social connection during lockdowns in dense urban areas like Milan.

Policy support for compact urban form also does not mean we adopt blunt and inflexible tools like urban limits to the extent that it contributes unduly to housing prices. Cities may still need to expand outwards, for many reasons dependent on local context (eg where it is appropriate to move noisy or constrained industrial activities and replace them with more efficient residential development,¹⁶² and because “New Zealand city dwellers may reject a level of urban density that would be perfectly acceptable in some Asian and European cities”).¹⁶³ Attempting to identify one type of urban form “as being more efficient than another would be overly simplistic” if too prescriptive.¹⁶⁴ There are also many tools other than regulatory urban limits that can be used to encourage effective density and ameliorate

the effects of sprawl, including incentives for infill, the creation of multi-nodal cities, relaxing building height limits in some places,¹⁶⁵ and strategic spatial planning to manage growth in a staggered way.¹⁶⁶

However, none of this means we should be agnostic about how cities grow. While land supply and housing affordability is crucial, we are not convinced that market forces should entirely dictate such choices at a big picture level, or that “what matters ultimately are the preferences of households” and “councils in our largest cities should be able to pursue the goal of a compact urban form if that is what their communities want”.¹⁶⁷ Public and inter-generational interests in compact urban form are not always well reflected by market preferences or the interests of existing residents. One option would be to devolve decisions about how to provide densification, by requiring neighbourhoods to accommodate some degree of growth and leave the “how” to them. But, in any case, it would be better for the planet if growing urban populations were encouraged to live in “cities built around the elevator, rather than in sprawling areas built around the car”.¹⁶⁸

Principles of a new Act should expressly support measures to achieve synergies between social, economic and environmental outcomes, which the market might not otherwise provide. In particular, they should provide legislative policy support for a compact urban form.





- 56 See generally J Dixon and others "Planning under a co-operative mandate: New plans for New Zealand" (1997) 40(5) *Journal of Environmental Planning and Management* 603.
- 57 Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 8.
- 58 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [151].
- 59 Of course, the *King Salmon* jurisprudence has, in a sense, reduced the direct effect of Part 2 in cases where subordinate instruments are clear on a matter, but those subordinate instruments themselves are only influential because they have been created to directly implement Part 2.
- 60 Many other discretionary decisions of a public nature are made in accordance with a prescribed process and guided by decision-making principles, but with legal challenge being done by way of general administrative law principles (reasonableness, relevance etc) rather than an extensive legal definition of a statute's purpose statement.
- 61 *Auckland City Council v John Woolley Trust* (2008) 14 ELRNZ 106 (HC) at [47].
- 62 Compare Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system – A discussion document* (2010); A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010).
- 63 See New Zealand Productivity Commission *Using land for housing* (2015) at 272, citing the submission of Munro and Beattie.
- 64 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 69, citing J Hunt *Urban design controls and city development in a New Zealand context: Reflections on recent experiences in Auckland's urban core* (Paper presented to the International Planning History Society international conference, 2008).
- 65 *New Zealand urban design protocol* (Ministry for the Environment, 2005) at 9.
- 66 New Zealand Productivity Commission *Better urban planning* (2017) at 6.
- 67 Resource Management Act 1991, s 7.
- 68 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 9.
- 69 On the inadequacy of Part 2 in urban planning see, for example, *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010) and New Zealand Productivity Commission *Better urban planning* (2017).
- 70 Resource Management Act 1991, ss 7(b), 7(g).
- 71 See New Zealand Government *Valuing highly productive land: A discussion document on a proposed national policy statement for highly productive land* (2019) at 28, where the possibility of changing Part 2 to include protection of productive soils was floated as something for wider reform.
- 72 M Williams "Flattening the climate change curve – Putting the RMA 'shoulder to the wheel'" (April 2020) RMJ 4 at 10.
- 73 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 1; New Zealand Productivity Commission *Using land for housing* (2015) at 273. Such references are common in other jurisdictions: see *Environmental Planning and Assessment Act 1979* (NSW); *Development Act 1993* (South Australia); *Planning and Development Act 2007* (ACT); *Environmental Management Act 2004*, *Local Government Act 1966* (British Columbia); *Town and Country Planning Act 1990*, *Planning and Compulsory Purchase Act 2004* (UK).
- 74 *New Zealand urban design protocol* (Ministry for the Environment, 2005).
- 75 Compare A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 74.
- 76 Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 21.
- 77 *Ibid* at 40.
- 78 See, for example, S Upton "The Stace Hammond Grace Lecture: Purpose and Principle in the Resource Management Act" [1995] 3 Wai L Rev 17 at 40.
- 79 Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020) at [20].
- 80 New Zealand Productivity Commission *Using land for housing* (2015) at 273.
- 81 For example, we do not say that specifically "coastal" principles apply only where someone seeks to do something in the coastal environment – they are there for wider consideration where the coastal environment is impacted or relevant.
- 82 K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017).
- 83 For example, green infrastructure, landscape, viewshafts, green walls, water sensitive design, energy efficient urban form, etc.
- 84 That will be dictated by the needs of the particular context, and can be constrained through (for example) using restricted discretionary activity status.
- 85 Ministry for the Environment *Proposed National Policy Statement for Renewable Electricity Generation: section 32 evaluation report* (2008) at 14.
- 86 New Zealand Productivity Commission *Better urban planning* (2017) at 3.
- 87 Compare R Peart *A place to stand: The protection of New Zealand's natural and coastal landscapes* (EDS, 2004), in which this was identified as an issue in the context of natural landscapes 15 years ago. The Act is not clear on what it is actually trying to achieve, other than ensuring the recognition of landscape.
- 88 Local Government New Zealand *Transforming the resource management system: Opportunities for change – Local Government New Zealand's submission on the issues and options paper* (February 2020) at 4.
- 89 M Foster and others *Report of the Minister for the Environment's Infrastructure Technical Advisory Group* (2010) at 23; compare A Dormer and others *Report of the Minister for the Environment's Technical Advisory Group* (February 2009) at 38.
- 90 See *Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991* (April 2012) at 13; *Wakatipu Environmental Society Inc v QLDC* [2000] NZRMA 259.
- 91 Section 7 tends to contain a more diverse mix of matters, but still remains fairly incoherent.
- 92 *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012).
- 93 *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC).
- 94 Although some questions are still being raised, and exceptions inappropriately pursued.
- 95 For example, see Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 9-10.
- 96 Resource Management Act 1991, s 6.
- 97 Resource Management (Energy and Climate Change) Amendment Act 2004, pt 2.
- 98 See *Greenpeace New Zealand Inc v Genesis Power Ltd* [2008] NZSC 112, [2009] 1 NZLR 730 at [49]; *West Coast ENT Inc v Buller Coal Ltd* [2013] NZSC 87, [2014] 1 NZLR 32.
- 99 See *Greenpeace New Zealand Inc v Genesis Power Ltd* [2008] NZSC 112, [2009] 1 NZLR 730; *West Coast ENT Inc v Buller Coal Ltd* [2013] NZSC 87, [2014] 1 NZLR 32; G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 Wai L Rev 117.
- 100 See generally *Environmental Defence Soc Inc v Auckland Regional Council* [2002] NZRMA 492 (EnvC); *Environmental Defence Society Inc v Taranaki Regional Council* EnvC Auckland A184/02, 6 September 2002.
- 101 Compare R Chapman and others *Submission by the NZ Centre for Sustainable Cities on the RMA issues and options paper, 'opportunities for change'* (2019) at 1.
- 102 Future Proof *Submission to the Resource Management Review Panel's 'Transforming the resource management system – Opportunities for change – Issues and options paper'* (December 2019) at 10.
- 103 In the form of an NES (the ability to promulgate an NPS is less clear, although arguably implicit given the policy intent of the 2004 amendments). See generally G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 Wai L Rev 117 at 133.
- 104 M Williams "Flattening the climate change curve – Putting the RMA 'shoulder to the wheel'" (April 2020) RMJ 4 at 10.
- 105 Resource Management Act 1991, ss 70A and 104E.
- 106 For example, provisions could still include reference to the desirability of taking a nationally consistent approach to mitigation measures.
- 107 Resource Management Amendment Act 2020, s 2(3)-(4).
- 108 That need not be just through a dedicated part on climate change. For example, it could usefully be embedded in other domain-based or sectoral provisions imposing standards or policy guidance – including ones concerning urban form and design.
- 109 See EDS's submission on the Climate Change Response (Zero Carbon) Amendment Bill 2019, available at www.eds.org.nz.
- 110 Lawyers for Climate Action New Zealand *Submission to issues and options paper: Transforming the resource management system* (February 2020).
- 111 M Williams "Flattening the climate change curve – Putting the RMA 'shoulder to the wheel'" (April 2020) RMJ 4 at 8.
- 112 New Zealand Productivity Commission *Low emissions economy* (2018) at 284.
- 113 S Knight Lenihan and K Scanlan "Climate compatible development in New Zealand" (2018) 14 *Policy Quarterly* 43 at 45.
- 114 Whether it can is a surprisingly complicated question. Under ss 70B and 104F, the RMA explicitly allows councils, when making decisions on rules and consent conditions, to consider the effects of greenhouse gas discharges only where an "NES" has been promulgated. It is silent as to the effect of an NPS on the making of objectives, policies, rules and consent conditions. However, it seems likely that the policy intent was to allow councils to consider such matters where authorised at a national level, including under an NPS. See G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 Wai L Rev 117.
- 115 See Resource Management Act 1991, s 7.
- 116 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 109, where we shone a spotlight on the Kāpiti experience with coastal hazard lines. See also R Peart *Castles in the sand: What's happening to the New Zealand coast?* (Craig Potton Publishing, 2009) at 174; *Coastal Ratepayers United Inc v Kāpiti Coast District Council* [2017] NZHC 2933 at [8]; *Kāpiti Coast District Council v Coastal Ratepayers United Inc* [2013] NZHC 3516.

7. NATIONAL DIRECTION FOR CITIES

7.1 Introduction

National direction under the RMA has been slow in coming. Although it is not inherent in the Act itself (national direction can be created for a wide variety of reasons), inappropriate central government interference in resource management during the Muldoon era has, in practice, cast a long shadow of distrust over central authority. There has been a strong assumption that resource management decisions should be largely local.¹ Therefore, aside from in the coastal environment, Ministers and ministries have been expected to exercise benign oversight rather than drive policy. That attitude has not produced good results. National interests in things like freshwater quality, housing and biodiversity decline have been underemphasised. In particular, there has traditionally been reluctance for central government to be involved in land use planning in cities. There is a feeling that this is how other countries do it, not New Zealand.

In recent years, this has started to change. We have lately had a flurry of instruments, ranging from several iterations of national policy on freshwater to a first real effort to implement nationwide protections for biodiversity and productive soils on private land. Even more instruments are in the works at the time of writing; after a drought, comes a flood.²

Over the course of our resource management system reform project, we have looked at national direction from a wider perspective, and many of the conclusions we reached there are equally relevant to cities. Urban matters are not just about development and zoning. For example, significant flora and fauna exists within and around cities, so national direction for indigenous biodiversity is an “urban” matter as well. Many cities are surrounded by and are expanding into land with rich soils, so an NPS on highly productive land is tightly linked to the future shape of our cities.

But the government has in the last decade or so also turned its attention to national direction on what it describes as specifically “urban” matters. In particular, we have a new NPS on Urban Development, which expands on a previous NPS targeted at the narrower imperatives of providing sufficient urban development capacity.

The provisions of specific pieces of national direction can be debated at length, and we touch on some relevant aspects below. But, more fundamentally, we are asking: is our legal framework for national direction sufficient? We do not think it is. A new approach is required to address urban issues.

In particular, we see a stronger and more coherent role for central government than has been the case in the past. The challenges of a post-Covid 19 recovery further emphasise the vital role of central government. Subject to robust checks and balances, ministers will need to take the reins to prevent urban problems arising and to increase our resilience to system shocks.

7.2 A more proactive role for central government in urban planning

Under the RMA the government has to a large extent only responded to urban issues rather than pre-empt them. Freshwater is a prime example of where we have had to play catchup, and urban water quality is an area in which we are very much still behind the eight ball.³ A failure to anticipate nationally significant issues around development capacity and housing is now being addressed not just through firm NPSs, but also by inappropriately wide ranging powers to override the RMA entirely under bespoke urban development legislation (see Chapter 11). Urban biodiversity is important, yet an NPS for Indigenous Biodiversity is only now, at the time of writing, progressing to its later stages. The same goes for peri-urban productive soils. A more general observation is that a strategic, future-focused lens has been missing.

In our view, central government needs to be both a system steward (providing oversight, and making sure the system as a whole is working well) and an active player (making decisions within the system based on the national interest). The RMA already allows it to be both of these things,⁴ but does not generally require it to be the latter. The only national direction that is mandated by the Act is the New Zealand Coastal Policy Statement, and Ministers generally have powers, rather than responsibilities, to intervene in urban RMA plans.⁵ In hindsight, it may have been naïve to expect a non-directive framework like the RMA to result in central government action, especially in light of the political and economic circumstances leading to its enactment (eg a reaction against central planning, faith in the wisdom of the market, and a drive to improve economic productivity).⁶ But it has left a significant gap, including in our cities.⁷

We recommend that there be a legal requirement for the government to create national direction in relation to all matters for which there is a reasonably foreseeable national interest, and for this national direction to take a precautionary, future-focused approach so that issues are anticipated before they manifest. Energy should not be thrown into solving one politically pressing problem quickly (eg housing provision) at the expense of creating others (eg impacts on the environment), which is a real risk under current settings. There is a much stronger national interest in urban planning policy than is currently recognised under the RMA. This can be seen in the nationally important implications that urban land use decisions have for housing, infrastructure, energy efficiency, climate change, economic performance and social welfare alongside problems of environmental degradation.

A more active central government raises difficult questions about the proper roles of central and local authorities. Where exactly does the national interest begin, and the local end? There is no bright line, and interests frequently overlap in cities. But the absence of clear principles

7.3 A more coherent role for central government in urban planning

At the time of writing, the government is in the process of promulgating several new NPSs and NESs and reviewing or reworking a number of existing ones.²¹ Many have direct implications for urban areas or issues, including those targeted at development capacity and well-functioning urban environments, protection of productive land, freshwater quality, climate change and indigenous biodiversity. It is generally a positive trend for the government to be taking a stronger leadership role in such issues.

However, mandatory national direction needs to form a coherent package, particularly in cities where trade-offs between interests can be particularly difficult, where policy predictability is important, and where things can change so rapidly. However, despite valiant efforts, coherence has not been the experience so far. The more separate pieces of national direction that are promulgated to target specific issues as they arise, the more complicated the relationships and cross-referencing between them (if any) become. Some aspects of national

direction are spatially-focused, such as much of the NPS on Urban Development Capacity (and now an NPS on Urban Development), many provisions of which apply to particular cities and how they grow. Others are domain-based and cut across spaces, such as the NPS for Freshwater Management and proposed NPS for Indigenous Biodiversity. Still others are sector-specific, such as national direction on electricity transmission. To exacerbate things further, many NPSs are characterised by fairly general wording, requiring extensive interpretation and mental gymnastics to figure out relationships and hierarchies. A lot is simply left to local government to figure out the hard way, including through time-consuming litigation on plans and consents.

Policies in NPSs can also pull in different directions, seeking to achieve quite different (and arguably not entirely compatible) things, a scenario that was reluctantly foreseen by the Supreme Court.²² Urban matters are particularly noticeable here. For example, there are real tensions between the New Zealand Coastal Policy Statement and the proposed NPS for Highly Productive Land on the one hand, and the NPS on Urban Development on the other.



NPS on Urban Development to identify “areas where evidence shows urban development must be avoided”.³⁰ There is an obvious question here, in that “evidence” alone cannot determine where or why development must be avoided in the absence of clear cross-references to protective policies contained in other NPSs.³¹ Evidence and data do not give normative guidance about what should happen as a result. There is a further problem, in that even strong directions in a future development strategy do not actually *have* to be given effect to in RMA plans.³² And the NPS on Urban Development, as gazetted, falls well short of even this approach. A future development strategy needs only to be “informed” by other national direction alongside any other government policy (eg for housing and development), and must only identify “any constraints on development” without specifying what those are or should be. Environmental wellbeing and sustainability are not mentioned as part of the purpose of such strategies, while development capacity and infrastructure are specifically highlighted.³³ A think piece released by the National Party has pointed to a much stronger model in South Australia, which involves a State Planning Commission issuing:³⁴

a direction that establishes food production and environment areas in Greater Adelaide. Once established, only Parliament can overturn the boundaries of an environment and food production area – and only after a report by the State Planning Commission. An environment and food production area designation precludes the subdivision of land for housing.

As a whole, the message to local government from the recent flurry of national direction seems to be to take more things into account, but not which things deserve relatively more weight on the ground. Of course, it is in the nature of much RMA policy to require tensions to be balanced and resolved in more specific contexts by councils, and it is true that:³⁵

local authorities should consider interactions between national policy statements when undertaking these functions. Even with consistent and well-integrated national direction, competing environmental priorities will need to be resolved by local authorities in their RMA planning processes.

This has led in some places to strong local protections, for example in relation to horticultural land around Napier and Hastings.³⁶ But pressure for urban development can be immense, local political dynamics can change quickly, and urban expansion is strongly supported by national direction. It is far from obvious to us that increasingly fragmented national direction is consistent, or that it embeds national policy priorities

at the highest levels. Instead, one gets the sense that synergies are being retrofitted, where possible, into a model where urban development capacity is still the main concern. The reality remains that the NPS on Urban Development provides for “bottom line” levels of housing development, and such directions are strongly worded relative to others.³⁷ If other things fit that narrative, they are welcomed into the fold.

Part of the issue is that, except for aspects of urban development capacity, national direction has remained high level and not really engaged with the much more specific national interests in particular places. For example, the protection of horticultural land in South Auckland may be much more significant from a national perspective than the protection of pasture in Taranaki. There has been reluctance to include any specific spatial element in national direction to target such areas.

Not only is there policy uncertainty in our ever-expanding package of national direction, there is also increasing complexity.³⁸ At the very least, every policy proposal for a new NPS now has to go to increasingly heroic lengths to try to outline the relationships with a large web of existing and proposed NPSs that have been created for very different reasons. Relationships can be reduced to somewhat hopeful statements that, for example, they “are intended to be compatible” and “should be complementary”.³⁹ The format and structure of different pieces of national direction can also look very different, adding to confusion for councils expected to give effect to them across different timeframes.

Fragmentation becomes even more problematic where national direction requires the creation of completely new “quasi-RMA” documents like future development strategies⁴⁰ and biodiversity strategies⁴¹ that attempt to influence multiple statutory frameworks beyond the Act, and which do not speak well to each other. A future development strategy, for instance, is expressly able to be subsumed within non-statutory documents, or within instruments prepared under other legislation.⁴² Its tendrils try to extend well beyond the RMA (eg attempts to influence infrastructure funding decisions under the Local Government Act). But future development strategies do not themselves have the weight of the NPS that required their creation, and thus do not have to be given effect to in regulatory RMA instruments like district plans – there is only an obligation to have regard to them.⁴³ Nor do they have to be given effect to under other statutory frameworks like the Local Government Act and Land Transport Management Act. Instead, councils are “strongly encouraged” to use them to inform things like infrastructure strategies and regional land transport plans.

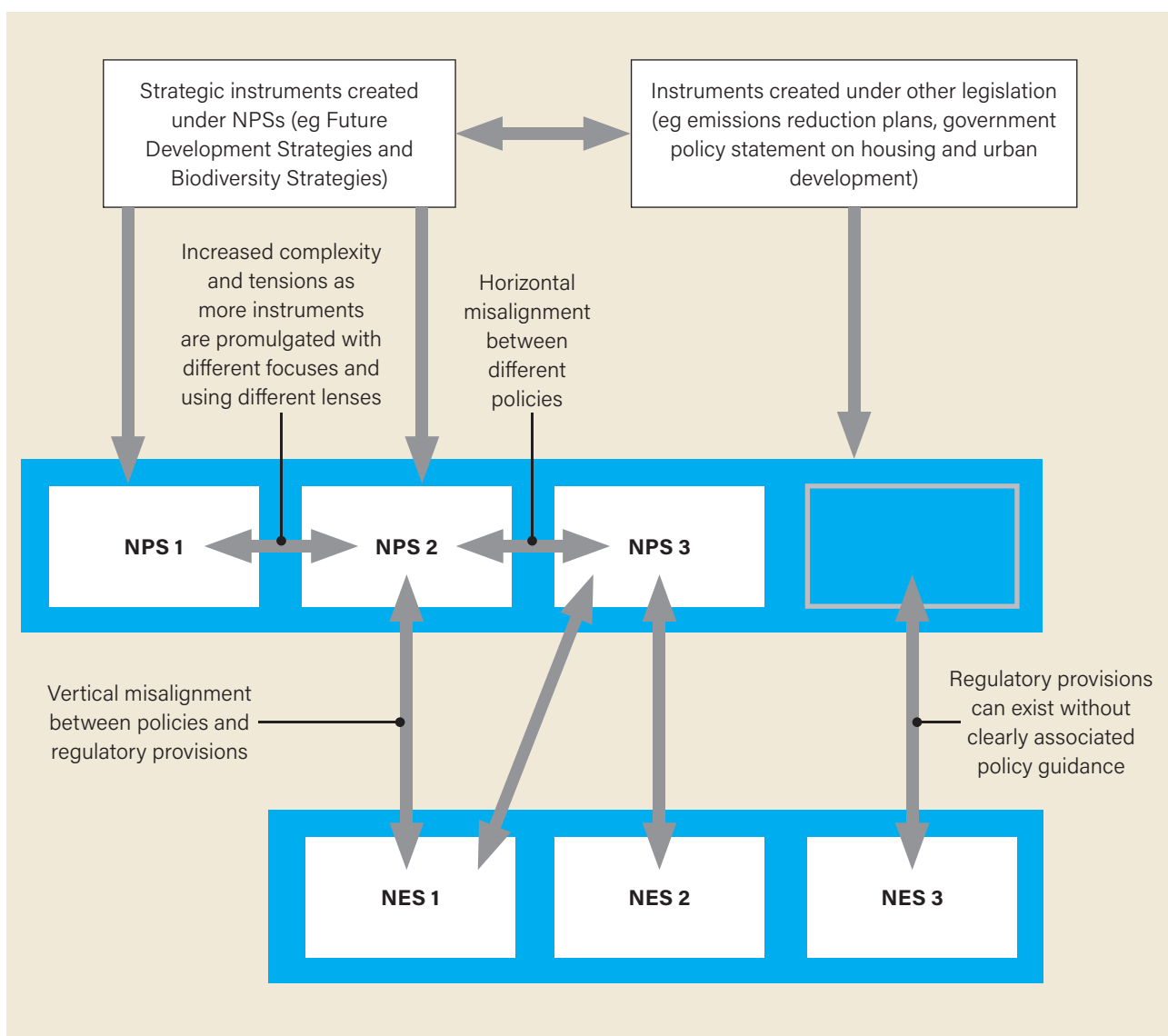


Figure 71: Potential for misalignment between multiple pieces of national direction in the current system



- (3) a regional strategic spatial planning framework that integrates the increasingly fractured range of strategies originating within and outside the RMA (see Chapter 10).

Having a single National Environmental Plan would encourage consistency in the structure and format of national direction. At present, NPSs and NESs are created through a variety of lenses (eg spatial like the NPS on Urban Development Capacity, sectoral like the NES for Plantation Forestry and domain-based like the NPS for Freshwater Management) and can be structured quite differently. National planning standards could usefully apply to both national direction and council plans, to make it easier to translate one to the other.

Changes could, of course, be made to a National Environment Plan once in place. It would need to be agile. But such changes would not be able to target particular domains or sectors – such as facilitating urban development – without considering the impact on the instrument as a whole, particularly environmental protections and objectives. At present, changes to an NPS under the RMA can be pursued largely independently of changes to others (or the development of new NPSs).⁶¹

To make them abundantly clear, environmental limits should be spelt out in a National Environmental Plan on a comprehensive domain by domain basis (eg a section on freshwater, a section on biodiversity etc) and then translated into sectoral or spatially targeted provisions where required (including how those limits apply in and around urban areas, or to the three waters sector). These provisions would have higher legal status than other national direction (eg requiring “compliance”). It is crucial that in the future we avoid complex interpretive arguments about whether or not a generally worded policy (eg one requiring “avoidance” of some effects as in the NZCPS discussed in *King Salmon*),⁶² requires strict compliance or not. Clear, national level, biophysical thresholds or indicators would be required to be established that, if breached, would trigger a legal obligation for the government to investigate and take corrective action.⁶³

We also see a case for a beefed-up⁶⁴ arm’s length EPA to translate policy bottom lines to actual regulatory restrictions, or at least for the establishment of criteria for when powers to do so could/must be transferred from ministers to the EPA. For example, it would be possible and probably desirable for the EPA to take charge of setting minimum, science-based standards for urban wastewater discharges, within a policy framework set by ministers.



Wastewater plant, Nelson

There has been an ever-expanding range of targeted NPSs and NESs under the RMA, many of which are relevant to urban areas. These have been created through quite different lenses, and it is increasingly unclear how they are intended to work together as a package. A single piece of integrated national direction – a National Environment Plan – would much better address potential conflicts and uncertainty. This plan should specifically identify the environmental limits required under a new Act's purpose and principles, including how they are to apply in urban areas. Provisions setting out environmental limits should have a different (dominant) status to others.

There is a strong case for a strengthened EPA (or other independent agency) to have a role in translating policy provisions for environmental bottom lines to regulatory rules and standards. This includes provisions regulating drinking water, wastewater and stormwater.

There needs to be a strong link between national direction and the aspirations for climate change mitigation and adaptation embedded in the Climate Change Response Act.

7.4 A more strategic approach to national direction

A National Environment Plan would be oriented towards urban change and improvement, not just the reactive management of resources. In the words of one commentator, it would be about "anticipatory governance".⁷⁹ In this sense, the Plan would be an "action plan" (a way to get from A to B)⁸⁰ as well as a "regulatory" plan (a framework for making decisions about what is and is not allowed). It would reflect the change in outlook embedded in a new Act's purpose and principles, and the direction in which NPSs have been increasingly heading in recent years.

Central to that would be the mandatory establishment of targets for nationally important indicators. These would be especially important to achieve environmental bottom lines where they have already been infringed and require improvement over time (eg minimum levels of urban water quality). Targets are not alien to the RMA – we have had them for freshwater for some time – but they are not required by the Act. As mentioned earlier, it is anomalous that our preeminent statute for the natural environment has required clear targets for development (through the NPS on Urban Development Capacity)⁸¹ but not for the enhancement of things like biodiversity.⁸² Why do we assume cities are *only* about development targets? Why is it that regional councils, with clear functions relating to biodiversity, do not have to set minimum targets relating to that in their plans but they do have to set targets for development capacity (despite not having a clear mandate

under the RMA for urban development or housing)? This anomaly should hopefully be corrected in proposed national direction on biodiversity (which contains targets),⁸³ but it remains unclear how biodiversity targets and development targets are to work together – especially since development targets have now been recast by the NPS on Urban Development as "bottom lines".

Targets should also include other positive measures – for example, targets for affordable housing, the contribution of urban planning to greenhouse gas emissions, and measures of community health and wellbeing. This would provide an outcomes-based, future-focused and dynamic framework that would much better reflect the concept of urban planning than the current management-based system. Requiring legislative targets – even if they were not legally enforceable in a court of law – would be a form of commitment device,⁸⁴ elevating the status of the outcome and ensuring a long-term view is taken.⁸⁵ For example, for a more holistic approach, we could look to the Swedish approach. There, an All-Party Committee on Environmental Objectives, which works with experts, stakeholders and local government, has been established to pursue a range of mandatory environmental targets.⁸⁶

Mandatory targets – and not just for development capacity – should be embedded into a National Environment Plan. This would reflect the orientation of a new Act which would be future-focused and geared towards achieving change, not just managing adverse effects.



have a co-development role alongside central government in setting the agenda for national direction and on designing the tools that express that direction.”⁸⁷

Thirdly, there would be a key role for a new, independent, standing institution: a Futures Commission. This would exist either alongside, or incorporating, a Tikanga Commission. The Commission(s) would take the place of ad hoc boards of inquiry in the current process for creating national direction, recognising the importance of truly independent assessment and an institutional repository of knowledge. This would counteract the risk that short-term political cycles make long-term, future-focused decisions less likely. The Commission(s) would have a firm mandate to defend the interests of future generations.

The Commission's role would not be to make final decisions but rather to provide a fully independent assessment and recommendations to an elected government. While it would not have a purely urban planning role, we envisage it would have urban expertise and might even have one or more dedicated urban planning commissioners (or a “Chief Planning Commissioner”)⁸⁸ within it. We looked at a Futures Commission in more depth in the Phase 2 report,⁸⁹ and the idea of a truly independent, standing body to review national direction to ensure compliance with the Act's purpose and principles has since been echoed by others.⁹⁰ In particular, “to maintain cohesion, there must be trust and transparency in the decision-making institutions”⁹¹ and a Futures Commission would enhance that.

Of course, there is already the ability for a robustly independent institution – the Parliamentary Commissioner for the Environment – to participate in proceedings under the RMA. It performs a crucial role in the system. However, there have generally been “inadequate staffing levels of the office to participate in any planning application or related plan change matter”⁹² and the Commissioner acts primarily in a policy watchdog and educational role rather than an active intervenor in plans and consents. Thus “the potential of the Commissioner as a systems guardian has not been achieved”.⁹³ We consider that the Parliamentary

Commissioner for the Environment could be expanded or morph into a broader, better resourced Futures Commission with a more structured role in decision-making processes.

The process for developing a National Environment Plan should involve a collaborative approach between central government, local government and Māori. There would be a crucial review role for a new independent Futures Commission (and a Tikanga Commission/commissioners)

There is a pressing need for central government to get more involved in the *implementation* of national direction, not just in creating it. That is particularly important in cities. For one, there needs to be a clear, at least partially independent, central agency (potentially an expanded EPA) tasked with supporting councils to achieve stricter environmental standards for water, including in urban areas where sub-standard wastewater infrastructure can imperil water quality.⁹⁴ The inquiry into the Mangawhai Community Wastewater Scheme noted, for example, that when regulatory standards are set by central government:⁹⁵

local authorities must then build and maintain infrastructure assets to meet those standards. The risk is that the standards set by one part of government cannot be delivered by another.

Revisiting our infrastructure funding model is also crucial to this (see Chapter 9), as is the structure of local government itself. Many urban issues facing New Zealand are of a scale or complexity that could prove challenging for councils to address, particularly those with few resources or a small rating base.

Central government should be required to support and monitor the implementation of a National Environment Plan. This should include funding, advice and operational assistance to councils where necessary. The Plan should flag where the funds for implementation are expected to come from.



Orewa, Auckland

to expand its scope somewhat by supporting “well-functioning” urban environments. That concept includes access to jobs, housing, community services, active transport and natural spaces, as well as recognition of Māori cultural values and the reduction of greenhouse gases. That is a big improvement. The idea is that growth and density cannot be facilitated without at the same time thinking about what those urban environments should look like. But should we embrace broader concepts like good urban design? Some have seen them as too subjective, with an NPS on urban design being “too broad a concept for an NPS and ... result[ing] in a ‘one size-fits-all’ approach”.¹⁰³ Proposals for an urban design NPS in 2008 were shelved. Yet many others have supported a broader instrument focusing on urban form, ecologically sensitive urban design, green cities and creating liveable communities.¹⁰⁴ We tend to agree with the latter view, in line with the broader range of matters that should be addressed in a revamped purpose and principles.

A National Environment Plan should also more explicitly provide policy support for positive urban outcomes having environmental ramifications.¹⁰⁵ This needs to go well beyond the notion of protecting urban “amenity” that has, in practice, tended to protect the status quo in urban RMA decision-making rather than thinking about what a future neighbourhood *could* look like.¹⁰⁶ It is positive that the NPS on Urban Development clarifies that not all change to urban amenity is an adverse effect, and that we need to be thinking about the preferences of future generations and residents.¹⁰⁷ However, in a way this is just stating the obvious, and does not address the importance of political dynamics in big picture council decision-making. Decisions can be weighted in favour of the lower-density preferences of current (and wealthier, property owning) residents, because they are more likely to vote and be engaged in planning processes.

More visionary objectives and policies in a National Environment Plan could include ones about compact urban form, relationships with nature, facilitating social connection, affordable housing, vibrant centres, resilience to environmental change, attractive public space, ease and efficiency of mobility, safety, water and energy efficiency, climate sensitivity, human health (including mental health), and enhancement of urban biodiversity. These are all things that should be common to our cities, even if they would need to be expressed differently in different locations.¹⁰⁸ And they are not just abstract concepts. For example, they could drive tangible changes in how we position and design rest homes to support social and inter-generational connection and community cohesion; to support development of the “20 minute city”; to pedestrianise large tracts of urban centres; or to deploy green walls and roofs across our cities.

Reflecting the scope and orientation of a new Act’s purpose and principles, a National Environment Plan should provide for a much wider range of good urban planning principles and synergies between social, economic and environmental wellbeing.

Thirdly, there are questions about how prescriptive local rules should be. Some can add to the cost of development (especially housing). Should national direction override the ability to impose such things? We need to proceed with caution here. Despite their costs,¹⁰⁹ there can be good reason for requirements to include things like balconies in dense developments, and to impose minimum floor areas. Hong Kong’s micro-apartments show the significant mental, social and health costs that a lack of space can have on residents desperate for affordable central city living, while Italian balconies in Covid-19 lockdowns have shown the lifeline that such measures can provide for people living in high density environments. Despite some talk of it doing so, the NPS on Urban Development refrained from stepping in on these matters, and instead focuses mainly on facilitating urban density.

For other things, there is a stronger case to move with the times. For example, some have pointed to “the sheer inefficiency of devoting so much of our scarce and expensive urban real estate to cars (and parking)”,¹¹⁰ exacerbated by a sprawling urban form reliant on the use of private motor vehicles (eg greenhouse gas emissions).¹¹¹ So much parking in our larger cities is particularly wasteful if we think about a future in which we have efficient and reliable mass transit systems, walkable and self-sufficient neighbourhoods, and autonomous or hired vehicles.¹¹² On-street car parking is essentially a subsidy for car owners.¹¹³ It is positive that the NPS on Urban Development has removed the ability of councils to set minimum car parking requirements in new developments.¹¹⁴

But what if we think about such issues, not from a development or efficiency perspective (how can we fit more houses in), but rather a synergistic and inter-generational perspective? That might see the system revisit the best use of both new and existing car parking space. For example, perhaps in exchange for greater building height limits, areas/corridors of indigenous planting and habitat could be required or incentivised where equivalent space would otherwise have been required for car parking. This could provide biodiversity gains while also improving visual amenity, enhancing resilience to a changing climate, filtering runoff from roads and reducing stormwater loads (and therefore costs, potentially reducing targeted rates to homeowners).¹¹⁵ Areas of planting could even be provided on rooftops or building walls. This would be one fast way to “green” a city.¹¹⁶

We need to take care that national direction does not prevent council plans from taking appropriate measures to ensure good urban planning, or responding to the local context, just because some requirements can add cost to developments. Robust and context-specific cost-benefit analysis is required that includes close consideration of the interests of future residents and generations. However, there is an opportunity to transform cities by removing minimum car parking requirements but replacing that, at least in part, with requirements for indigenous planting.

ENDNOTES

- 1 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.
- 2 See <www.mfe.govt.nz/rma/national-direction>.
- 3 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 4 Resource Management Act 1991, s 24; Environment Act 1986, s 31.
- 5 See Resource Management Act 1991, ss 24A-25B. That said, the Department of Conservation has, under separate legislation, an obligation to advocate for natural and historic resources, which in practice results in an important litigation role under the RMA (see Conservation Act 1987, s 6). Also, the Minister of Conservation has stronger powers in relation to regional coastal plans, which are relevant to coastal urban areas.
- 6 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2.
- 7 Compare M Williams "Flattening the climate change curve – Putting the RMA 'shoulder to the wheel'" (April 2020) RMJ 4 at 9.
- 8 For example, in the case of urban tree cover or the climate change implications of urban form. Compare generally MA Brown and others *Evaluating the environmental outcomes of the RMA* (EDS, 2016), where it was pointed out that a lack of national direction has limited the potential of the system to effectively and efficiently achieve its environmental goals.
- 9 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 167. Compare Productivity Commission *Local government insights* (2020) at 14.
- 10 Compare M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32.
- 11 M Foster and others *Report of the Minister for the Environment's Infrastructure Technical Advisory Group* (2010) at 37.
- 12 New Zealand Productivity Commission *Local government funding and financing* (2019) at 203.
- 13 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 16, citing C Miller *Implementing sustainability: The New Zealand experience* (Routledge, 2011).
- 14 Although an arm's length government urban development authority is increasingly seen as having a legitimate role in doing so: see Chapter 11 on the urban development authority model.
- 15 Productivity Commission *Local government insights* (2020) at 16.
- 16 Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39.
- 17 For example, air quality, contaminated land, the protection of drinking water sources, even the concept of "swimmability" for freshwater are about human health. See also the spotlight in Chapter 6 on health in the resource management system.
- 18 For example, urban development, electricity transmission, and renewable energy development.
- 19 Although that is being progressed through work on an NES and through the government's ongoing review of the three waters sector. We note that the introduction of a new Water Services Bill to the House is pending at the time of writing.
- 20 New Zealand Planning Institute *Submission: RMA Review Panel issues and options paper* (2020) at 2.
- 21 See <www.mfe.govt.nz/rma/rma-legislative-tools>
- 22 In *Environmental Defence Soc Inc v New Zealand King Salmon Co* [2014] NZSC 38, [2014] 1 NZLR 593.
- 23 There are often sections in discussion documents on such relationships, but these are often fairly vague and are no substitute for cross referencing between actual legal instruments. See, for example, New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) from 57.
- 24 Objective suite A.
- 25 Ministry for the Environment *He Kura Koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 91.
- 26 Ibid.
- 27 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 58.
- 28 Ibid.
- 29 It is somewhat hopeful that "guidance would address how councils should manage interactions between the proposed NPS for Indigenous Biodiversity and other major pieces of national direction": Ministry for the Environment *He Kura Koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 90.
- 30 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 23.
- 31 For example, that SNAs are presumed to be absolutely protected under the NPS for Indigenous Biodiversity.
- 32 The obligation is to have regard to them: see NPS on Urban Development at 20.
- 33 NPS on Urban Development at 18-19.
- 34 New Zealand National Party *Building NZ: RMA reform and housing* (2019) at 10.
- 35 Ministry for the Environment *He Kura Koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 90.
- 36 <www.stuff.co.nz/business/300020066/appeals-to-subdivide-land-at-haumoana-dismissed-by-environment-court>
- 37 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 38 See S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (2016) Resource Management Journal 1; S Berry, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) Resource Management Journal 3.
- 39 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 57-58. Compare M Williams "Flattening the climate change curve – Putting the RMA 'shoulder to the wheel'" (April 2020) RMJ 4 at 9.
- 40 Under the NPS on Urban Development Capacity and proposed NPS on Urban Development.
- 41 Ministry for the Environment *He Kura Koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 75.
- 42 To allow for existing strategic growth plans to essentially "be" future development strategies.
- 43 Development that is not in accordance with a future development strategy could be allowed under the NPS on Urban Development as long as it (according to an example policy) would not, among other things, have adverse effects on protected areas or areas identified for restoration. See New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 39.
- 44 Ministry for the Environment *He Kura Koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 75.
- 45 Except in specified development areas designated under the Urban Development Act, where there is a firm direction to give effect to the government policy statement on housing and urban development and only a weaker direction that plans be consistent with national direction under the RMA. For more on this, see Chapter 11.
- 46 G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 100.
- 47 See New Zealand Productivity Commission *Low emissions economy* (2018). Horticultural land is particularly vulnerable to urban encroachment due to its generally flat topography: New Zealand Government *Valuing highly productive land: A discussion document on a proposed national policy statement for highly productive land* (2019) at 24.
- 48 Resource Management Amendment Act 2020, ss 17-18, 21.
- 49 As mentioned earlier, this only refers to the ability to make an NES, but the policy intent likely extends to the creation of an NPS too. See G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 Wai L Rev 117.
- 50 "Planning decision" is defined as including decisions on resource consents, designations and other kinds of decision under the RMA.
- 51 Compare New Zealand Productivity Commission *Local government funding and financing* (2019) at 237, which notes that "[M]ost regional councils have been reluctant to use their statutory powers for constraining land use. District plans that have attempted to change hazard zones to prepare for climate change have been successfully challenged in the courts".
- 52 See *ibid* at 231; J Boston and J Lawrence "Funding climate change adaptation" (2018) 14(2) Policy Quarterly 10 at 24.
- 53 S Knight Lenihan and K Scanlan "Climate compatible development in New Zealand" (2018) 14 Policy Quarterly 43 at 47. Such legal obligations should be obvious to purchasers and tenants alike, including through notations on titles. See generally New Zealand Productivity Commission *Local government funding and financing* (2019), ch 9.
- 54 Such as the Land Transfer Act.
- 55 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100. Compare M Williams "Flattening the climate change curve – Putting the RMA 'shoulder to the wheel'" (April 2020) RMJ 4 at 9.
- 56 Compare also the United Kingdom National Policy Planning Framework, which was created to align fragmented and conflicting planning policies. See Ministry of Housing, Communities and Local Government (UK) *National Planning Policy Framework* (July 2018).
- 57 R Schofield *Alternative perspectives: The future for planning in New Zealand - A discussion for the profession* (commissioned by the New Zealand Planning Institute, 2007), cited in Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options*

8. COUNCIL PLANNING UNDER THE RMA

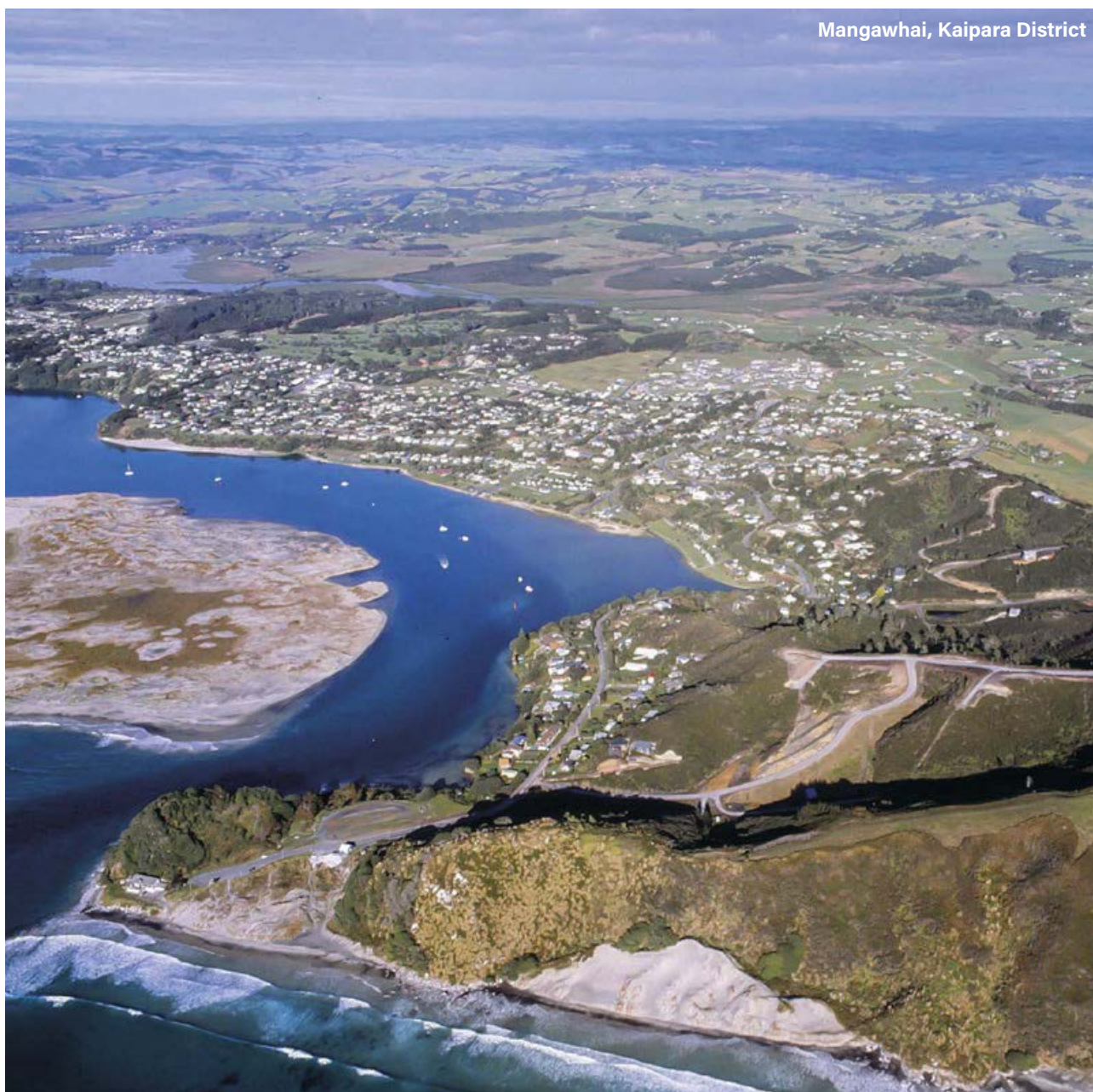
8.1 Introduction

In some countries (including Australia and across Europe), the nationally important status of large cities has seen strong and direct central intervention. In New Zealand, things have tended to progress in a more ad hoc way, with a strong undercurrent of devolution.¹ But despite our recommendations for a stronger urban policy role for central government through a comprehensive National Environment Plan, we envisage that most decisions – particularly relating to urban land use – would still need to be taken by local government. Central government agencies should not micro-manage urban communities to which they are not themselves close,² and a future system should define roles more clearly by articulating a more comprehensive range of nationally

important outcomes for which the government can (and must) intervene.³ Because councils would retain a strong role, it is important to consider how local planning processes in a new Act could be reformed.

8.2 Local government structural reform

Looming above this question, however, is a much bigger institutional one: should we restructure local government in a fundamental way? Many calls have been made to do so, prompted in part by a desire to address urban problems.⁴ Of course, the implications of reforming local government go well beyond the resource management system as a whole, because councils have a wide range of functions.⁵ Yet the question is of vital importance, and we see it as one of the next big reform questions to face New Zealand.



Mangawhai, Kaipara District

thing in our minds is to test where particular functions should be exercised, allow for those to shift according to context,¹⁸ and to build institutional arrangements around them. For example, we see merit in having regional unitary authorities for things requiring scale, consistency and a holistic view (eg urban form, environmental protections, infrastructure provision), and for those to be complemented by local boards with clearer local functions and more secure budgets.¹⁹ The earlier suggestion that the system have a clearer definition of subsidiarity should apply to different aspects of local government as much as it does to the relationship between central and local government. The conversation should focus first on what functions should lie where, not where existing council boundaries should be drawn.

A regional lens will be crucial to achieving good urban outcomes in a future system. Local government functions around land use and infrastructure should, over time, be shifted to a regional level. While local structures (eg boards) would remain important, this would mean a shift over time to regional unitary authorities.

8.3 RMA planning processes

When people speak of urban planning, the central instrument in the current system is the district plan. This controls land use and subdivision,²⁰ and has regulatory effect. In other words, it tells people what they can and cannot do with land, including through zoning. However, as we have stressed elsewhere, resource management in cities is much wider, even under the RMA. Regional plans provide crucial environmental safeguards including for land use, and regional policy statements can have a significant role to play not just in protecting the natural environment but also in shaping broader land use patterns.

A number of reform measures have been taken in recent years to address real and perceived issues with council

planning under the RMA (eg special housing areas under bespoke legislation,²¹ an NPS on Urban Development Capacity, the Auckland Unitary Plan process, an urban development authority model,²² and a streamlined planning process).²³ A lot of this has been about reducing constraints on urban development and speeding up decision-making processes.

The jury is still out in terms of how effective some of these measures have been (or will be). However, they are ultimately band aids, and in our view more fundamental reforms are needed to the planning process. This is in two key senses. The first is the need for more *coordinated* decision-making at a regional scale. This need for coordination cuts across multiple statutes – not just the RMA – and is discussed in Chapter 10.

The second is for more *timely* decision-making (including, but not limited to, land use change in areas of high growth).²⁴ While some see less reason for concern,²⁵ we have heard many complaints that the current planning process under Schedule 1 of the RMA is costly, time-consuming, and almost inevitably results in appeals that can drag on interminably, particularly in urban areas where change is highly visible and many people have an interest.²⁶ Plans can take many years (from notification to resolution of final appeals) to become fully operative, just in time for another review, although in recent years timeframes seem to have been shorter. An average timeframe of four to five years for a plan change is far from ideal.²⁷

Timeliness of outcome is a concern not just for plan changes facilitating urban development, or where there are high growth pressures.²⁸ It is equally important for changes designed to protect and enhance natural elements of the environment in urban areas and beyond. It is also an issue when it comes to time lags for implementing national direction. Years of development for an NPS can be followed by many more years before it is expected to be actually reflected in plans.²⁹ Timeliness of outcome was one of the key drivers behind the bespoke process for developing the Auckland Unitary Plan.



Ōwhiro Bay, Wellington

Cities change rapidly. A new planning process under an Environmental Stewardship and Planning Act needs to be more agile, in order to respond to a rapidly changing biophysical and social context. There should be a shift to a largely single stage hearings process. However, this should be done in a way that still provides for robust decision-making and meaningful public participation.

We are persuaded that, as in the Auckland Unitary Plan model, reducing the current two-stage process for plan making to (largely) a single stage is the right direction of travel for a future system.³⁸ However, we propose two

different processes. The first, closely resembling the Auckland process, would be for “resetting” existing plans in their entirety across a region. The second, which would be quite different, would be for ongoing plan changes.

These reforms would be designed to address many complaints that arise from the urban or built context (notably a lack of agility in providing for growth).³⁹ But we also envisage that it would apply to all council planning under a new Act (eg for freshwater, air, biodiversity and land use in non-urban areas). It would be extremely difficult, and unnecessary, to have entirely different planning processes for “urban” and “non-urban” matters while retaining truly integrated management of the environment.⁴⁰



Takapuna, Auckland

appeals are then constrained.⁴³ However, there would also be significant differences to the Auckland Unitary Plan process.

We described this process in the Phase 2 report, and refer readers there for more detail.⁴⁴ In short:

- A combined regional plan would be developed in a collaborative way. This could be between a regional council, territorial authorities, and iwi/hapū, each consulting with their respective communities.⁴⁵ Effectively, this would be the compulsory use of what the RMA already provides for as “combined regional and district documents”.⁴⁶ Depending on the timing of associated local government reforms (see earlier), regional unitary authorities would take the place of regional councils and territorial authorities, and would develop unitary plans in collaboration with local boards and mana whenua. This would make the process simpler, as well as providing for fewer plans.⁴⁷
- Central government would be required to have early input, so that from the outset plans developed in a way that gave effect to national direction and linked well to other statutory plans as well as with the national resourcing required for implementation.⁴⁸ Alternatively, the Ministry for the Environment and Ministry for Housing and Urban Development could be required to provide comment on a draft developed by councils prior to notification, although we think earlier input (eg through co-designing key elements) would be preferable. There could even be provision for relevant national direction to form a chapter within a combined plan, and for cross references to be made to it.⁴⁹ In any case, the government needs to embrace a more active role, as it was intended to have at the genesis of the RMA.
- We also see a case for regional branches of a strengthened, independent EPA to work alongside councils to develop some regulatory components of a plan, at least to the extent needed to implement environmental limits (which would be flagged in a new purpose and principles and expanded on in a National Environment Plan).⁵⁰ Councils could still have jurisdiction to set⁵¹ objectives and policies for environmental bottom lines, but the EPA would then be responsible for translating those to rules and standards necessary to achieve them. This would protect against some of the political tensions faced by councils that are currently tasked with environmental regulation as well as economic development in and around cities,⁵² and mitigate the risks of merging regional councils (which some see as “environmental” regulators) with territorial authorities into unitary bodies. Councils should also be *able* to transfer jurisdiction to the EPA where there are genuine resourcing issues or where necessary to give effect to national direction.⁵³
- After public notification of a combined plan and the receipt of submissions, the standing “Futures Commission” and “Tikanga Commission” (or commissioners) described in Chapter 7 would be tasked with reviewing the notified plan, section 32 analysis, and submissions.
- The Commission(s) would hold hearings, which would be in two stages.⁵⁴ The first would be to set the strategic policy framework (including, where relevant, targets), and the second would be to consider more detailed matters (including site specific zoning and regulatory provisions).⁵⁵
- The Commission(s) would make recommendations to the council, and only to the extent they were rejected would there be the opportunity for merits



A spotlight on urban design panels

A new Act's purpose and principles and national direction need to engage much more with good urban design than they currently do (see Chapter 6). We need to build institutional arrangements around that. A non-statutory urban design panel has been operating in Auckland for some time, and major building projects are referred to it on a voluntary basis. Similar models have been used in Nelson, Wellington, Queenstown and Christchurch.⁶⁷ While some see design considerations as too subjective and not an appropriate basis for regulation, the model has worked reasonably well in facilitating collaboration between the private sector and council, and resulted in constructive changes.⁶⁸

However, "while urban design panels can offer many benefits, they do not give statutory direction, and do not ensure that key objectives will be considered" in RMA decision-making.⁶⁹ We therefore agree that for a review "undertaken by an urban design panel to be effective, it should be with reference to accepted objectives or criteria, and these concerns should be explicitly recognised" by a new Act.⁷⁰ Furthermore, urban design is valuable not just for individual buildings or projects (for which panels are mostly used), but also for city-shaping at a grander scale.

Some have suggested the establishment of a national urban design panel, to be deployed for complex, large or controversial planning issues.⁷¹ But to avoid a proliferation of institutions and complexity, we instead suggest that the Futures Commission have dedicated urban design expertise embedded within it, perhaps as one standing commissioner (similar to an independent version of a government architect or chief planning advisor) supported by robust capability in its supporting secretariat.⁷² That way, independent design expertise can be married up with other skills (eg environmental protection) to encourage synergistic thinking when making recommendations on regional combined plans.

A balance between independence and accountability in plan making will be important. A Futures Commission would play a key role in reviewing regional combined plans. It should have strong urban design expertise to play the role of an independent urban design panel.

8.6 The importance of localism in plan-making

Combined plans should not just be imposed from the top down, especially where their point is to shape neighbourhoods. There needs to be meaningful input and co-creation by increasingly diverse communities – a sense of ownership and durability – rather than a system that relies on post-notification submissions and litigation.⁷³ As the New Zealand Initiative has pointed out, "when people get a chance to see how their efforts actually make a difference to the outcome, their level of interest in the discussions increases."⁷⁴ Community collaboration builds social capital and trust.⁷⁵ There is much information that is known only to those who live or work in a place, which needs to be built into system design from the start.⁷⁶ We see citizens' assemblies as a particularly valuable tool to feed into regional level plans, especially in urban areas where interests can clash and where common ground needs to be found at a personal and collaborative level rather than in a formal and litigious manner.

Of course, "participation and collaboration is not a simple panacea for solving urban planning problems".⁷⁷ Tensions will always remain within communities, and decision-making power needs to be located at a broader spatial scale when managing urban areas as a whole (eg to address systemic environmental issues, growth, and problems like Nimbyism). It is also hard, or even impossible, to identify those representing the voice of future residents or of future generations. But tensions can be minimised by allowing communities to come together, contribute a vision for what they want their community to look like, and understand different points of view. Successful cities "build a strong sense of community, and encourage people to participate in making decisions that affect them."⁷⁸



8.7 A different process for plan changes

As in Auckland, a “reset” process would be needed to create integrated, regional combined plans that reflected a new Act’s purpose and principles and which eased the path to local government structural reform.⁸⁵ This process could also be used to conduct whole of plan reviews periodically (eg every ten years) in order to prevent the integrity of plans being lost through piecemeal public and private plan changes.⁸⁶ Furthermore, it should be able to be used where a plan change was called in by either the Minister or Futures Commission based on its significance. At the same time, the current board of inquiry processes for plan changes would be removed.

However, there is a valid distinction to be drawn between an in-depth process that “resets” entire plans and one that represents an ongoing process by which parts of plans are then changed. Many plan changes to the Auckland Unitary Plan are largely progressing in the normal way,⁸⁷ and site-specific zoning decisions are seeing a large number of appeals in some urban areas like Queenstown. A different process is needed to provide agility, particularly

in the urban context, to safeguard the environment as well as facilitate changes in land use where appropriate (see Figure 8.2 below).⁸⁸

We described this proposal in the Phase 2 report, and it is not limited to the urban context. To have separate processes for urban and non-urban planning would not be in keeping with the integrated management central to the RMA. In short:⁸⁹

- As with a plan “reset” process, council plan changes would be developed in a collaborative way with Māori, and there would be input from many sources, including citizens’ assemblies and local boards.
- Central government would have a specific mandate to provide input on council plan changes at an early stage, to ensure (1) that the proposal gave effect to national direction and (2) that associated funding implications for central institutions, such as the NZTA, were identified and addressed. Furthermore, the EPA could have a mandate to initiate plan changes to give effect to environmental limits required under national direction, including in urban areas.

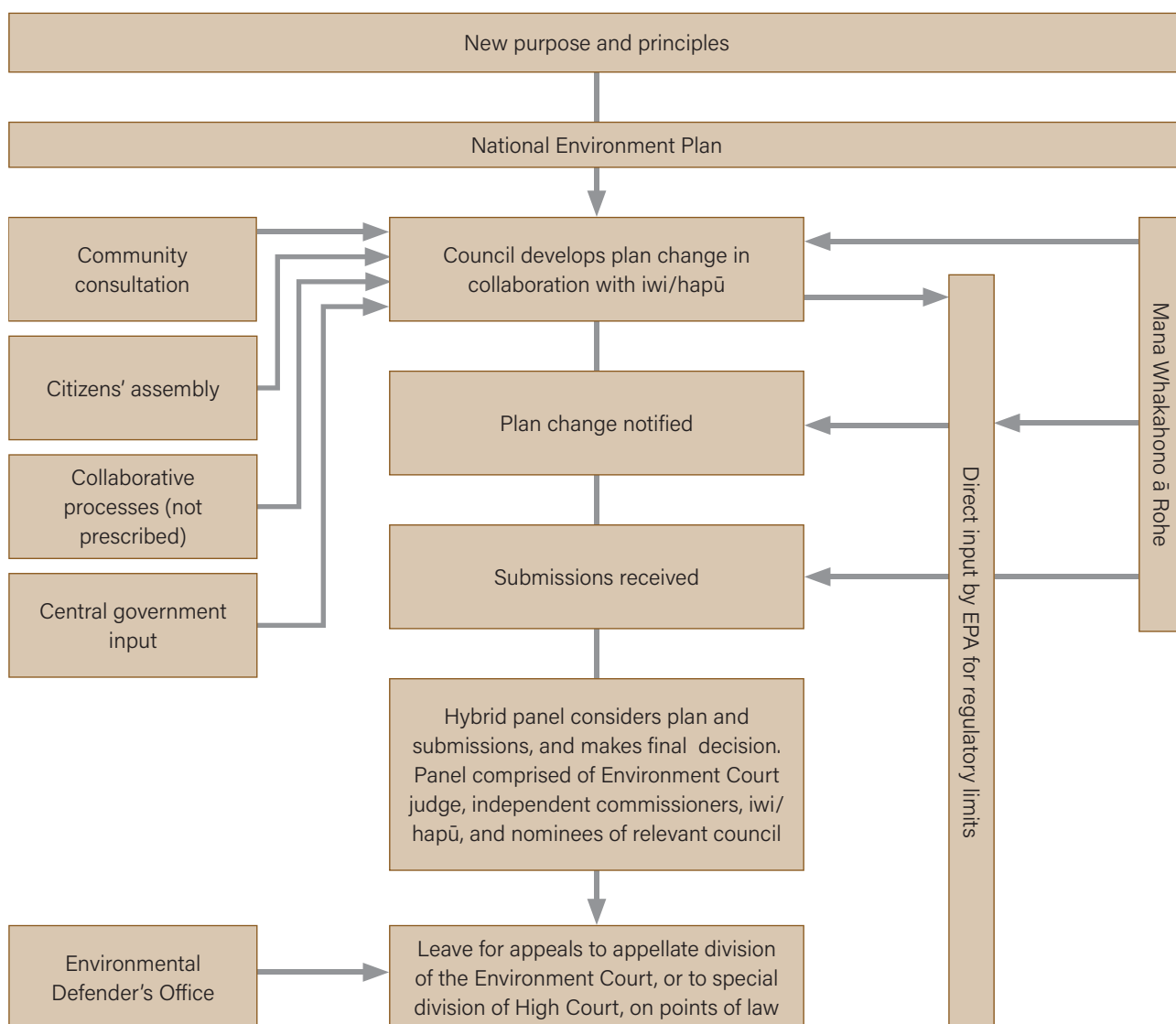


Figure 8.2: A new process for plan changes

A spotlight on mixed-membership panels for private plan changes

Increasingly, decisions on private plan changes under the RMA are being handled by entirely independent hearings panels.⁹⁸ Those panels then report back to the relevant council with recommendations, which are either accepted or rejected. Other panels have included a blend of independent and councillor membership,⁹⁹ with a similar reporting and recommendatory function.

This trend is not so different in principle from what is being floated above, in that there would be a mix of independent and accountable decision-makers in a single institution. The key difference is that this would be formalised in legislation, and that the independent element would integrate the appellate function of the Environment Court with the first-instance hearing function of independent commissioners into a single stage. There would also be a more permanent place for mana whenua, and appeals from the panel's decisions would be limited to points of law.

It would be important to ensure an appropriate balance is struck between the independent and elected members of a decision-making panel. Such questions will no doubt prove controversial, and are open to allegations of undermining local democracy.¹⁰⁰ However, it is important to remember that the current system is already strongly defined by an (ultimately) independent decision-making power (in the Environment Court), even if merits decisions are limited by the scope of appeals. An institution with a preponderance of independent members – which we would recommend as a crucial safeguard in the absence of merit appeals – would therefore not necessarily be “less” democratic than what we now have. It would simply be independent and accountable in a different way. Council involvement would remain vital to ensure that close consideration was given to associated matters within the preserve of elected members, such as fiscal constraints and the ability to provide supporting infrastructure.

We envisage a different process for plan changes, following regional level “resets” of existing plans. Decisions on plan changes would generally involve a hybrid decision-making panel chaired by an Environment Court judge, and comprised of independent commissioners, representatives from the relevant council(s), and mana whenua. There would be a preponderance of independent members. Central government could have observer status. The EPA would be tasked with initiating plan changes required to give effect to environmental limits in national direction.

There may also be issues over the extent to which iwi/hapū should be represented relative to the community more broadly (or whether other democratic mechanisms, like Māori wards for council elections, would be more appropriate), and how decisions are to be made in the event of intractable conflicts between members of the panel.

A spotlight on Māori as gatekeepers in urban planning

There are significant questions to be asked in the local planning context about the role of Māori, especially in light of strengthened Treaty obligations in a new Act's purpose and principles. Much of the literature concerns the role of Māori in managing and protecting natural resources like water and the coast, but the principles of the Treaty apply equally to land use planning, the built components of urban areas, and the ability of urban Māori to shape not only their ancestral lands but also the places in which they live and work.

Should iwi and hapū as “representative” groups be treated as gatekeepers (ie final decision-makers, alongside others) at the system-wide level,¹⁰¹ not just as co-designers in plan production or “expert” advisors on Māori issues or tikanga/mātauranga? Is a strengthening or greater resourcing of Mana Whakahono ā Rohe agreements the way forward, to allow those questions to be tailored and negotiated up front between councils and Māori?¹⁰² Do they need to be brokered more actively by the Crown as Treaty partner?¹⁰³

In the model described above, there is provision for co-production of plans by mana whenua¹⁰⁴ and independent review by a Tikanga Commission/ commissioners. This recognises that Māori are not just passive “objects” of the system to be protected or recognised in legislative principles,¹⁰⁵ but also active Treaty partners whose voices must be heard and contribute positively to plan development.¹⁰⁶ For example, this might see the active planning of communal or connected housing developments, which have particular resonance for Māori.

Partnership is more than just “consultation”,¹⁰⁷ and should ensure that sites and landscapes of particular significance to Māori are identified in plans, preventing the kinds of issues that arose in relation to the non-notified consenting of earthworks on Te Mata Peak.¹⁰⁸ It also goes further than suggestions that led to the NPS on Urban Development, which speak of the need to “take into account [hapu and whanau] aspirations for urban development on whenua Māori within their rohe” after providing opportunities to identify them.¹⁰⁹ The system should recognise the importance of Māori culture in our urban spaces,¹¹⁰ not just protect particular sites and cultural artifacts.

Court than as part of the notified proposed plan change. This results in the first merit assessment being less well informed than the second. Stronger incentives on the promoter and participants to inform the merit assessment of first instances are highly desirable, in order to lay the basis for a more effective and efficient merits assessment at the first step.

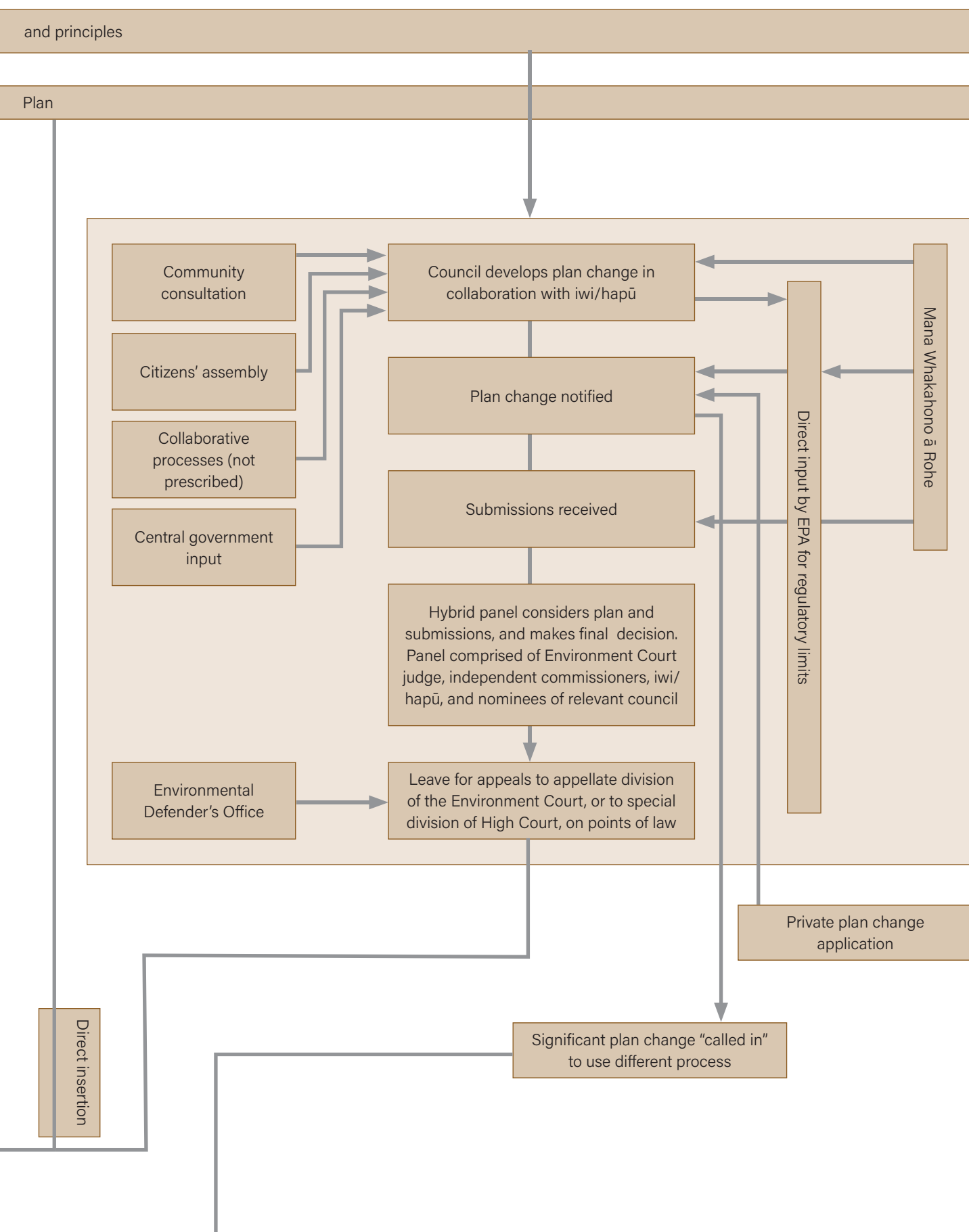
It may be possible to pre-empt urban issues in a future system, thereby increasing agility even further, by using the process to determine the content of future plan changes *in advance*. Thus, plans could “incorporate the current set of planning controls, the set of controls that would replace them, and the trigger that would be used to switch from one set to the next”.¹²⁴ While there are risks in determining detailed, context-dependent decisions well into the future (after all, things can change in the meantime), especially where they are based on narrow triggers rather than holistic assessment (eg price differentials between urban

and rural land) this more dynamic approach is interesting. Most suggestions for this concept have been driven by the need for rapid release of residential land where prices are rising, but pre-prepared “backup plans” could also automatically kick in when urban environmental triggers were breached (eg a threshold for reduced urban biodiversity).¹²⁵ That may be necessary if our system is going to be more strategic and future-focused. Of course, this requires a more robust approach to monitoring, reporting and evaluation to provide clear trigger points, and we have discussed that in more detail in the Phase 2 report as well as earlier EDS reports.¹²⁶

It would also be desirable to provide greater consistency across plans through further work on national planning standards. They should be structured in a common way that can easily give effect to a National Environment Plan while still being able to respond to local context.¹²⁷



Whitford, Auckland



A spotlight on urban boundaries

The housing crisis in recent years has sparked something of a crusade against urban limits from both sides of the political divide. It has been said that this tool, which allows development on one side of a line but not on the other, rations the supply of land and has been largely responsible for skyrocketing land prices and unaffordable housing. In response, there have been calls from some to abolish the rural-urban boundary in Auckland to flood the housing market with supply.¹³⁵ While few seem to support the wholesale removal of planning restrictions on growth, some calls have had echoes of the free market thought that defined much of the 1980s:¹³⁶

In 1989, the NZ Treasury advanced a radical view that the RMA should not proceed and all development location should be left to the free market with no formal regulation.

An urban boundary can be used to achieve several policy goals (eg providing a predictable pipeline of public infrastructure requiring funding). Central to it, however, is a legitimate desire for a compact urban form. In Chapter 6, we suggested that a future system needs to be more direct in its support for compact and efficient cities, given the synergistic benefits they can have (and the corresponding risks of car-dependent sprawl), including:¹³⁷ more efficient use of infrastructure (especially where there is spare existing capacity);¹³⁸ more viable public transport and consequently reduced emissions and congestion; protection of the natural environment and productive land around cities; more vibrant town centres; and increased opportunity for social and economic interaction.¹³⁹ Indeed, the preference of local government in high growth areas like Auckland has tended to be towards more compact urban development in recent times.¹⁴⁰

In our view, blame for housing unaffordability should not be placed solely at the doorstep of urban limits. The causes of housing affordability are many and complex, and other measures need to be taken.¹⁴¹ While there are other views, Professor Tim Hazledine has pointed out that it is often the expensive services provided to urban land that account for most of the price differential with rural land, not a planning boundary, so direct comparisons may not always be appropriate.¹⁴² And even to the extent that urban limits *do* have an impact, the issue is not with the tool but how it is used.

Many studies concerning the impact of urban limits on affordable housing have focused on the pre-Unitary Plan metropolitan urban limit in Auckland. One 2016 report pointed to the price of land inside the limit as being nearly 10 times more than land outside,

with an alarming growth in that disparity over the course of a decade.¹⁴³ The logical conclusion has been that the council “has enforced and maintained its metropolitan urban limit to such an extent that the future supply of land for greenfields development has become sorely limited”¹⁴⁴ and that rising demand created an artificial scarcity of land.¹⁴⁵

However, a significant part of the issue was that the compact urban form envisaged by the metropolitan urban limit was not made possible due to additional restrictions on height and density within the city.¹⁴⁶ Growth could occur neither up nor out, driving prices up. Overall, increasing land supply was estimated to be able to reduce the cost of housing by up to 23 percent across New Zealand, and even more in Auckland.¹⁴⁷

The new rural-urban boundary embedded in Auckland’s Unitary Plan has changed the situation. The plan provides for more greenfields growth (with sequenced release over time),¹⁴⁸ as well as enabling greater density. While it has generated a lot of debate, a recent report by Auckland Council found that, once other factors are taken into account (eg the value added to urban land by infrastructure and services), the price differential between urban and non-urban land is now relatively small. It concluded:¹⁴⁹

the boundary is likely to add a price premium of at most 5.2% to developed residential land inside the boundary compared to farmland outside, and at most 4.2% compared to lifestyle land outside. These premiums are substantially lower than estimates in previous studies, and are before accounting for any social costs of more expansive development not included in market prices, such as increased congestion or emissions.

Only time will tell whether the supply (and actual development) of land envisaged for Auckland is sufficiently responsive to reduce prices to affordable levels relative to incomes, and whether the rural-urban boundary needs further amendment. However, the broader point is that the public interest benefits of compact urban form are far from negligible, even if they may be hard to quantify. The relevant public policy question, then, is not how to ensure that limits have “no causal impact on land prices,”¹⁵⁰ but rather: are those benefits worth the impact that they have, and if so how could we address that impact in other ways? We would suggest that benefits are well worth pursuing – as long as they continue to form part of a coherent package of measures supporting the benefits of compact urban form rather than just constraining the supply of land for other reasons (eg the cost of infrastructure).

While the public interest benefits of urban limits are not always given the weight they deserve, free market calls to remove barriers to urban sprawl also

8.8 Consenting

We note that while the planning framework will be crucial in a future urban resource management system, consenting will also be important. Plans cannot account for every single scenario. Complaints abound as to consenting delays for urban development, and the regime has been seen as too complex, uncertain and costly. A number of suggestions have been put forward to revamp our consenting framework.¹⁶⁶ Most recently, the government has put in place a mechanism to fast-track consenting for projects deemed essential for post-Covid economic recovery.¹⁶⁷ We agree that the current regime requires change, but we should not throw the baby out with the bathwater.

For one, it should be more obvious in a plan what development is allowed and not allowed and in which places,¹⁶⁸ providing greater predictability of outcome for developers as well as firm and transparent environmental limits.¹⁶⁹ Over-reliance on a series of site-specific or activity-specific consenting decisions, within a planning landscape defined by general (and sometimes conflicting) policies, has contributed to unacceptable cumulative impacts over many years, as well as extensive complaints from applicants who do not know whether a consent will be granted or not.¹⁷⁰ In the Phase 1 report, for example, we noted that it is “alarming that the imposition of bottom lines in the landmark *King Salmon* decision relied on an extensive argument and interpretation of a “rule-like” policy ... Where were the actual rules?”¹⁷¹ It is odd that “policies” in regional policy statements can effectively be a form of inflexible “rule” in consenting in some circumstances, like the imposition of urban boundaries.¹⁷² Vagueness, uncertainty, discretion and political wrangling are not conducive to good outcomes for either developers or environmental interests.¹⁷³ A number of commentators have pointed to efforts to reduce reliance on consent processes in order to make outcomes from plans more predictable,¹⁷⁴ noting that:

in the event that an application is challenged, proceedings can drag out for years with the ultimate outcome hard to predict except that it will be expensive.

There are different ways in which we could move our emphasis away from consenting and towards planning. One would see greater use of permitted activity status in plans, for which there is already considerable pressure on local authorities to do.¹⁷⁶ In other words, if people met minimum standards, which would be prescribed in much more detail, no consent would be required. This may be appropriate in some cases, such as small scale and largely similar activities like deck extensions.¹⁷⁷ It would be difficult to legislate for this, although greater guidance on activity status could be provided through national direction.

Even where permitted activity status is not appropriate, many urban consenting issues are essentially about private disputes (eg impacts on neighbours), not lofty questions of public interest or environmental principles. These could be properly dealt with through mediation or other alternative dispute resolution processes.

Some have suggested that this would be a much more efficient way to proceed,¹⁷⁸ although we note that the line between private dispute and public interest is by no means always a clear one. The Environment Court has become adept at directing disputes to private resolution, and could potentially act as a kind of sorting house to determine which track consenting disputes went down – private mediation and arbitration or a decision by public authorities (council decision and appeals). That might need to see the insertion of more specific dispute resolution principles in a new Act alongside more lofty concepts like sustainability, and for a new Environmental Defender’s Office to have standing in both consenting tracks as a safeguard for the public interest.

A spotlight on dispute resolution

The Environment Court has established an effective process for narrowing issues in dispute, directing (as much as possible) parties towards resolution, and timely and effective decisions. Participation in alternative dispute resolution is now mandatory.¹⁷⁹ Other alternative measures, such as “charettes” or facilitated meetings held by one division of the Environment Court with parties and counsel present, are used to narrow legal issues (such as scope) before a hearing. Expert conferencing can be extremely valuable in focusing experts on technical points of agreement. The much more hands-on approach to case management at the Environment Court level means that we do not see the sorts of time and cost blowouts of the past.

Many (although by no means all)¹⁸⁰ of these measures are about dispute resolution between parties, but (as discussed in the Phase 1 report), the distinct role of “private” dispute resolution often cannot easily be separated from the “public” decision-making in which those tensions arise.¹⁸¹ Private settlements do not remove the need for decision-makers to consider all relevant issues under the Act where the public interest is at stake.¹⁸²

However, we do not think reforms should travel down the permitted activity or private resolution pathways wholesale. Controls need to be proportionate and reasonable¹⁸³ (as well as precautionary), but it is a bit of a stretch to assume that a 99.7 percent rate of applications being granted (the vast majority being non-notified) means that a large number of those should have proceeded without consent in the first place.¹⁸⁴ The consenting process, even if non-notified, provides a valuable check, and allows targeted conditions to be imposed. It also allows for monitoring to occur or at least for authorities to be aware of the activity, ensuring a better knowledge base for resource management decisions across the board.¹⁸⁵ Cumulative effects of what seem like minor private disputes in isolation can still be significant for the public interest when magnified across a city, such as the decline in vegetative cover.

public in urban consenting, particularly through appeals. There may be some grounds for private appeals to be curtailed if we were to have an effective, robustly independent and adequately resourced Environmental Defender's Office to take on public interest litigation under a firm advocacy mandate.¹⁹² Constraining merits appeals in this way might even then allow for greater public notification of consent applications (because notification would no longer be automatically linked to hearing or appeal rights).¹⁹³ This would enhance both communities' and decision-makers' understanding of what is happening in their environment and reduce developer pressure for applications to be non-notified.¹⁹⁴

However, we need to think carefully about whether appeal rights are truly worth giving up in the context of all urban consents. While red tape is a common complaint, the Environment Court has developed effective case management and dispute resolution mechanisms over the years, and the fact remains that the vast majority of consent applications remain non-notified.¹⁹⁵ Where notification does occur, there is generally good reason for potential appeal rights to follow. And while complaints about abuse of process are legitimate, and have been counteracted through various reforms (eg restrictions on vexatious litigation and trade competition arguments), the fact remains that less than 0.5 per cent of consent decisions are appealed,¹⁹⁶ most of those on legitimate grounds. Providing greater clarity in plans about what is permitted and prohibited, and whether consent is likely to be granted or not, should reduce developer concerns.

An alternative would be for prospective appellants to be required to prove a *prima facie* case or discharge some form of evidential burden and allow the Environment Court to grant or decline leave for merits appeals. However, that raises issues of access to justice, especially for those appellants representing environmental interests that are often less well-resourced than consent applicants.¹⁹⁷ We do not recommend it.

Appeal rights to the Environment Court in the consenting context provide valuable independent oversight of first instance decision-making. In our view, the risks of removing appeal rights outweigh the benefits. We also see a strengthened role for the EPA in consenting where there is a national interest.

It is worth exploring the need for more independent oversight of notification decisions. These have enormous significance, in that the notification status of an application determines who has rights to submit and appeal. Presently, people may not be aware an application has even been made; if they are, their only recourse is judicial review. Reform on this front *could* involve introducing new appeal rights to the Environment Court in relation to council notification decisions, an idea that has been seriously floated for a while now.¹⁹⁸

However, that would add an additional step to an urban consenting process that many want to be more streamlined. A sensible alternative would be to require

councils to send all information on applications and notification decisions to a new Environmental Defender's Office, which could then determine whether to exercise appeal rights over notification decisions for reasons of public interest. This would enable the creation of an independently managed national consenting database. There should also be more national guidance provided on making notification decisions, including for urban developments.¹⁹⁹ At present, notification tests are open to wide interpretation.

A new notification status could also be introduced: where a proposal is notified and submissions invited, but where there are no associated appeal rights. That would allow for valuable information to be received by councils (reducing the risk of a situation like the Te Mata Peak walkway occurring, where consent was granted and construction was commenced before iwi and the public knew about the proposal),²⁰⁰ and for residents to feel in touch with what is happening in their communities. We could even move towards a system where *all* applications were publicly notified (electronically) by default, but where appeal rights do not automatically flow. This would enhance transparency and increase the information available to decision-makers, but at the same time avoid perverse incentives on developers (to ensure their development is non-notified and thus not subject to appeal, which can lead to applications that are less innovative and progressive from a design perspective).

An independent, publicly funded Environmental Defender's Office should have standing to appeal councils' notification decisions to the Environment Court. A new notification status should be introduced whereby applications are notified and submissions invited, but where hearing and appeal rights do not follow automatically.

Permits for activities in urban areas can be required under multiple frameworks, not just the RMA. A proliferation of tracks has introduced complexity. We have previously highlighted that:²⁰¹

For consents, we have direct referral to the Environment Court and call-in procedures where council decisions can be bypassed, and a separate designations regime... we also have separate ... permitting processes under multiple conservation statutes, mining legislation, marine and coastal legislation, and the Building Act. Is this too complex? Is it time to rationalise, or at least connect these ... processes even if we do not integrate statutory frameworks themselves?

A future system should align processes. There are undoubtedly many ways to do so. But we see particular merit in the idea of an integrated "project consent", especially in urban areas.²⁰² This would be for complicated projects requiring multiple authorisations across statutes or institutions,²⁰³ and would be used to align decisions in a procedural sense. An application could be lodged with the EPA, which would oversee the process.²⁰⁴ However,

8.9 Designations

Reforms may also be desirable to our system for designations. This exists in parallel with the resource consenting process, and allows requiring authorities (public authorities or private entities approved by the Minister for, among other things, network infrastructure like roads, water pipes and telecommunications) to make their own decisions on notices of requirement for designation. These are then incorporated in RMA plans and negate the need for land use consent. Given the prevalence of infrastructure supporting urban areas and its importance for managing growth and essential services, this system is particularly significant in and around cities.

There have been calls to extend the five-year expiry date on designations under the RMA to allow for a longer lapse period. Large scale projects scheduled within a council's long term plan or infrastructure strategy require longer timeframes, particularly where approval is subject to funding availability.²¹⁸ Allowing such designations to run for longer periods, even up to 20-30 years, would also align them more with the timeframes set out in regional transport strategies and documents such as the Auckland spatial plan²¹⁹ (especially important where the requiring authority is a council or the NZTA involved in those decisions). Others, however, have pointed out that the RMA allows requiring authorities to seek longer lapse periods, which tend to be used when needed. The

solution may simply be removing default lapse periods altogether,²²⁰ and targeting them to the circumstances of a particular project.

However, perhaps more significantly:²²¹

The designation system does not promote an ethic of cooperation between infrastructure providers ... [who] are not encouraged to work together to find least-cost, least disruption solutions, such as creating integrated infrastructure corridors or to coordinate plans for upgrading existing infrastructure to minimise disruption.

To us, this speaks not so much to the need for reform to the RMA, but rather to the need for an overarching spatial planning framework to influence that Act and many others. A range of requiring authorities are necessary to deliver urban objectives, and their early input into spatial planning alongside councils and the government are crucial to address issues of coordination. Spatial planning is discussed in Chapter 10.

While some improvements to the regime for designations may be possible (such as removing default lapse periods) we see most merit in pursuing a regional spatial planning framework to address complaints about poor coordination of land use and infrastructure decision-making.



State Highway 20 construction

ENDNOTES

- 1 For example, central government created a legislative framing for the development of the Auckland Plan and Auckland Unitary Plan, but detailed development was largely left at a local level.
- 2 On the benefits of localism, see B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019).
- 3 As mentioned in Chapter 7, a clearer definition of subsidiarity (on what grounds national direction is possible or required) should help define roles better. This could itself form a "principle" in a new Act's purpose and principles, but would probably be more suited to parts in the Act dealing with the functions of various levels of government (currently contained in Part 4 of the RMA).
- 4 See, for example, Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 5 See Local Government Act 2002.
- 6 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) from 11.
- 7 See *ibid*; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019); G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 248.
- 8 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 17; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 167.
- 9 New Zealand Productivity Commission *Local government insights* (2020) at 15.
- 10 See New Zealand Productivity Commission *Local government funding and financing* (2019) at 7, where it is pointed out that stagnating incomes in some districts have meant that rates as a proportion of income – to maintain adequate levels of service – have increased markedly compared to other districts.
- 11 See, for example, <www.newsroom.co.nz/2020/06/03/1216651/aucklands-budget-cuts-a-half-billion-too-far?>. See also Controller and Auditor General *Insights into local government* (2020).
- 12 Resource Management Act 1991, s 80.
- 13 *Ibid*, s 80.
- 14 See generally New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 50–51; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 15 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 16 The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative's visit to Switzerland* (2017).
- 17 See R Crawford *What can complexity theory tell us about urban planning?* (research note 2016/2 for the Productivity Commission's *Better Urban Planning* inquiry, 2016) at 10; see also B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019).
- 18 For example, in providing escalation pathways for particularly complex or difficult regulatory functions (eg climate change adaptation measures). Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39.
- 19 These could even continue to be called "councils" or "territorial authorities".
- 20 Although regional councils can also impose regulatory controls on land for reasons relating to their functions.
- 21 Housing Accords and Special Housing Areas Act 2013.
- 22 Urban Development Act 2020 (see Chapter 11).
- 23 See Resource Management Amendment Bill 2019.
- 24 As in the Auckland Unitary Plan model.
- 25 New Zealand Productivity Commission *Using land for housing* (2015) at 6.
- 26 See generally B Devlin *Analysis of timeframes for the development of policy statements and plans under the Resource Management Act 1991* (Brown & Pemberton, 2008).
- 27 Ministry for the Environment *Resource Management Act 1991 National Monitoring System selected findings 2014/15* (2016); New Zealand Productivity Commission *Better urban planning* (2017) at 216; B Devlin *Analysis of timeframes for the development of policy statements and plans under the Resource Management Act 1991* (Brown & Pemberton, 2008).
- 28 Some have suggested that process changes could be targeted at places where there are growth issues: see S Shepherd *Proposed modifications to urban plan-making: A report to the Productivity Commission* (Sapere research group, 2016) at viii.
- 29 Future Proof *Submission to the Resource Management Review Panel's 'Transforming the resource management system – Opportunities for change – Issues and options paper'* (December 2019).
- 30 Acknowledgement: Aidan Cameron, barrister.
- 31 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 226.
- 32 Extensive mediation and expert conferencing was held for each topic, facilitated by Panel members and other experienced practitioners, in an attempt to refine matters and/or resolve submission points prior to hearing.
- 33 The champion of the process was the Panel Administrator, who co-ordinated hearing time with numerous parties and juggled various and often difficult requests.
- 34 Aided by legislative changes, the Panel met its brief by reducing its quorum from three to two for the final topics, allowing three additional members to be appointed, clarifying that it could hold concurrent sessions with alternative Chairs, and by enabling the delivery of its recommendations in stages.
- 35 Just weeks before the rezoning hearings were due to be held.
- 36 The Panel was required to give non-binding "interim guidance" to assist submitters in giving evidence on other topics of the Auckland Unitary Plan, which relied on higher-order direction.
- 37 See New Zealand Productivity Commission *Using land for housing* (2015) at 299.
- 38 Compare Local Government New Zealand *Transforming the resource management system: Opportunities for change – Local Government New Zealand's submission on the issues and options paper* (February 2020) at 8: "The single change that can transform the pace of resource management policy making is to remove recourse to the Environment Court on policy matters". Contrast, however, other commentators who are "not persuaded by arguments that removing or significantly limiting the access to appeals would improve the quality of District Plans or land use regulations": New Zealand Productivity Commission *Using land for housing* (2015) at 6.
- 39 For completeness, we also consider there would no longer be a need for a separate "streamlined" planning process in the RMA.
- 40 For example, would it be feasible for freshwater that flows through a city to be subject to a different planning process?
- 41 This would not be instant, and would need to be sensitive to context (eg recognising the enormous cost and effort of the Auckland Unitary Plan process that has yet to bed in fully).
- 42 On the benefits of combined plans for integrated management, compare K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 10; S Shepherd *Proposed modifications to urban plan-making: A report to the Productivity Commission* (Sapere research group, 2016). What a "regional" scale would look like would not necessarily reflect existing regional council boundaries.
- 43 See also the alternative proposed by the Productivity Commission: New Zealand Productivity Commission *Better urban planning* (2017) from 389.
- 44 G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 119–125.
- 45 Compare Ministry for the Environment *Improving our resource management system: A discussion document* (2013) at 42; S Shepherd *Proposed modifications to urban plan-making: A report to the Productivity Commission* (Sapere research group, 2016).
- 46 Resource Management Act 1991, s 80.
- 47 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 35.
- 48 Currently, there is a fairly reactive approach to ensuring national direction is implemented, in that there is no obligation to work with councils in actual plan development. Some have gone so far as to say that "the Crown has taken almost no interest in local plans" (New Zealand Productivity Commission *Using land for housing* (2015) at 272) and that "the Ministry has virtually withdrawn from this role altogether" (A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 12, 16). See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176. In California, non-voting members from government agencies are involved in the work of the Coastal Commission to ensure it links well to other initiatives.
- 49 Compare Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system* (2010) at 30.
- 50 To avoid the EPA taking over the making of regulations relating to local matters like detailed questions of zoning.
- 51 Which is not the same thing as having final decision-making power. That would be a role for the more nuanced processes already described. On the tension between council and judicial roles in planning, see M Williams "Resource management system: Reform or transform?" (April 2018) *Resource Management Journal* 3 at 9.
- 52 On the dangers of this, see New Zealand Productivity Commission *Local Government Insights* (2020) at 16.
- 53 Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39; Resource Management Act 1991, s 33 (which allows for agreements to be reached on the transfer of functions and powers, including to "statutory authorities", but could not require the EPA to take on a function).

- 109 See New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 51.
- 110 Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 7.
- 111 Compare M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 112 Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 15.
- 113 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 34; Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report), 2019; Waitangi Tribunal *Ko Aotearoa tenei: A report into claims concerning New Zealand law and policy affecting Māori culture* (Wai 262, 2011) at 266.
- 114 For example, it could develop through Mana Whakahoā ā Rohe participation agreements on a council by council basis, which have been described as a promising way forward if resourced properly. Generally, see R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 35.
- 115 Compare Local Government Act 2002, ss 14(1)(d) and 81, which requires councils to foster the ability of Māori to contribute to local government processes. On the need for capacity building within iwi authorities and councils, see Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report, 2019).
- 116 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 33.
- 117 This is a bespoke institution, with planning and consenting powers under the RMA, established under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010. See the spotlight on the Authority in G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 189. On suggestions to roll out this model more broadly, see Office of the Auditor-General "Appendix 1: About the Waikato River Authority" <www.oag.govt.nz>
- 118 Compare Waitangi Tribunal *Ko Aotearoa tenei* (Wai 262, 2011).
- 119 See Resource Management Act 1991, s 33; Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 17; J Williams "The Harkness Henry Lecture: Lex Aotearoa – an heroic attempt to map the Māori dimension in modern New Zealand law" (2013) 21 Wai L Rev.
- 120 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 121 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 26.
- 122 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 191.
- 123 S Shepherd *Proposed modifications to urban plan-making: A report to the Productivity Commission* (Sapere research group, 2016).
- 124 See submission by Hill Young Cooper, cited in New Zealand Productivity Commission *Using land for housing* (2015) at 291.
- 125 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 283.
- 126 See *ibid*, at 278-285.
- 127 For example, the Productivity Commission has pointed to Australian experiences with standardising or reducing the number of urban zones, which resulted in outcomes not sensitive to the needs of the area, including lower density (New Zealand Productivity Commission *Using land for housing* (2015) at 147).
- 128 Ministry for the Environment *He kura koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 71.
- 129 *Ibid*, at 71; Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019) at 23.
- 130 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019) at 23.
- 131 See Resource Management Amendment Act 2013, amending s 76 of the RMA.
- 132 Ministry for the Environment *He kura koiora i hokia: A discussion document on a proposed National Policy Statement for Indigenous Biodiversity* (2019) at 71.
- 133 Environment Bill 2020 (UK), Part 6.
- 134 Contrast RMA, ss 76(4A)–76(4D).
- 135 <www.beehive.govt.nz/speech/speech-government-economics-network-2019-conference>
- 136 K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 12. Compare New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 14; A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 50.
- 137 Benefits include agglomeration economies that increase productivity. Population density has been a strong predictor of economic performance in European countries: See R Ahrend and A Schumann *Does regional economic growth depend on proximity to urban centres?* (OECD regional development working paper 2014/7, 2014); G Ahlfeldt and others *Demystifying compact urban growth: Evidence from 300 studies from across the world* (OECD regional development working paper 2018/03, 2018).
- 138 New Zealand Productivity Commission *Using land for housing* (2015) at 333.
- 139 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 49; see also *New Zealand urban design protocol* (Ministry for the Environment, 2005).
- 140 A compact urban form does not mean a prohibition on outwards growth. It simply means that land is used efficiently and density is provided for where appropriate.
- 141 For example, some have pointed to the relaxation of regulatory restrictions under special housing area legislation, noting that actual development has not always followed in a timely way due to factors like funding problems, land banking and construction costs.
- 142 see T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 158. See also SL Martin and DS Norman *An evidence-based approach: Does the rural urban boundary impose a price premium on land inside it?* (Auckland Council, Chief Economist Unit, February 2020).
- 143 New Zealand Productivity Commission *Using land for housing* (2015) at 12, 313. Compare also A Grimes and Y Liang "Spatial determinants of land prices: Does Auckland's metropolitan urban limit have an effect?" (2009) 2 Applied Spatial Analysis and Policy 23.
- 144 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 16.
- 145 <www.beehive.govt.nz/speech/speech-government-economics-network-2019-conference>
- 146 New Zealand Productivity Commission *Using land for housing* (2015) at 328.
- 147 New Zealand Productivity Commission *Local government insights* (2020) at 31.
- 148 Sequencing of land release can create its own set of problems to be addressed, such as land banking or monopoly owners drip feeding supply to the market. Some have suggested imposing a tax on undeveloped land (where appropriately zoned) to incentivise actual development.
- 149 SL Martin and DS Norman *An evidence-based approach: Does the rural urban boundary impose a price premium on land inside it?* (Auckland Council, Chief Economist Unit, February 2020) at 3.
- 150 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010).
- 151 Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020) at [22].
- 152 New Zealand Government *Valuing highly productive land: A discussion document on a proposed national policy statement for highly productive land* (2019) at 6.
- 153 R Chapman and others *Submission by the NZ Centre for Sustainable Cities on the RMA issues and options paper, 'opportunities for change'* (2019) at 4.
- 154 Urban limits are often criticised as removing people's ability to choose to live in detached housing: see A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 50.
- 155 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019) at 42.
- 156 Potentially threatening the resilience of New Zealand as a whole in the face of a sharp financial shock, such as that induced by Covid-19.
- 157 Compare K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 8.
- 158 In Auckland, nine out of ten commutes are by car: see A Barker *Improving well-being through better housing policy* (OECD Economics Department working papers 1565, 2019).
- 159 Such a basic policy choice should not be left just to continual political compromise, as has been the case in Auckland. This is because it is easy to enable a dispersed urban form, but much harder to undo it – it is a one-way effect.
- 160 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 52.
- 161 *Ibid* at 3; New Zealand Productivity Commission *Using land for housing* (2015) at 5.
- 162 See Auckland Council submission to New Zealand Productivity Commission *Using land for housing: Issues paper* (2015) at 5. Again, sequenced land release requires incentives to prevent land banking.
- 163 Glaeser has pointed out that many incentives pushing people out of urban centres to the suburbs are not about the inherent undesirability of cities, but include complex sets of public policies including tax settings and funding for various public services. See E Glaeser *Triumph of the city* (Pan, 2011) at 195-196.

9. INFRASTRUCTURE PLANNING AND FUNDING

9.1 Introduction

A new Environmental Stewardship and Planning Act would be central to resource management in urban areas, both for planning sustainable land use and protecting and enhancing elements of the natural environment like water, air and soil. But the timely provision of good quality infrastructure for transport and three waters is also vital to enable land (eg newly zoned residential land) to actually be used for its intended purpose; a house is not much use if a person cannot access transport links or have water connections.¹ That is particularly important where there is rapid growth. Quality infrastructure is also essential to the broader economic and social wellbeing of existing urban dwellers, and in some cases to address environmental impacts (eg from wastewater). Currently, infrastructure is planned, funded and delivered largely through the Local Government Act and the Land Transport Management Act, not the RMA.

Although infrastructure and associated issues are by no means confined to urban settings, it makes sense for transport and water infrastructure to be provided by public authorities in cities, because it can be hard to exclude people from them (eg roads), there is an ethical expectation of free or low cost access (eg drinking water and sewerage), population densities make public provision efficient, and network coordination challenges demand holistic, city-wide planning. Planning and investment also need to be inter-generational in outlook, and there

needs to be confidence that responsible institutions will exist over long periods of time. Of course, other types of essential urban infrastructure exist and are provided both publicly and privately, including for electricity, telecommunications, ports and airports as well as social infrastructure like public parks, libraries and museums. But these have not tended to raise the same kinds of issues and we do not focus on them here.²

The consequence of transport and water infrastructure being publicly provided is that a robust legal and institutional framework is required around its funding and delivery. Infrastructure needs to be planned, delivered and funded by public entities in a way that is effective (it achieves its goals), timely, fair, transparent and accountable. In contrast to the expenditure of private money, public expenditure needs to have a firm legal basis.

A number of infrastructure problems and challenges were identified in Chapter 4. There are two broad kinds of issues in play. First, the RMA (especially its role in planning for land use change and urban growth) is not well *coordinated* with frameworks for deploying the infrastructure necessary for land use change to actually happen in practice. Coordination issues, and the potential solution of spatial planning, are explored in Chapter 10.

The second set of issues – and the focus of this chapter – is that our frameworks for funding and planning infrastructure are themselves in need of improvement. There are many aspects to this.



A future system needs to have the ability to raise sufficient money, and the incentive to spend it in a timely way, for essential infrastructure supporting urban growth, the needs of existing communities, and the challenges posed by a changing climate. Infrastructure choices made today will also cast a long shadow over our ability to improve environmental and climate outcomes. Those choices need to be carefully considered.

There are four key types of system reforms we are floating in this chapter: legislative design, normative change, institutional reform, and funding reform. Institutional and funding reforms are intimately related and are in our view of most importance.

9.2 Legislative design and normative change: A Local Government and Infrastructure Act

In our view, it would be appropriate for infrastructure funding legislation to continue to remain separate from a new Environmental Stewardship and Planning Act, just as the Local Government Act and Land Transport Management Act are separate from the RMA at present. This approach would better ringfence environmental bottom lines,⁶ and reflect the fact that the regulatory and funding processes under each type of statute look quite different and are there for quite different reasons.

However, as signalled earlier, we see merit in a simpler, more integrated statute dealing with both local government and infrastructure, which would subsume the Local Government Act and Land Transport Management Act (and potentially others, such as a proposed Water Services Act). This more integrated statute – we could call it a Local Government and Infrastructure Act – would be particularly appropriate if central government were to take a more active role in the planning and funding of a wider range of urban infrastructure (eg for water services). As explored further below in terms of institutional reform, a greater role for the Crown seems likely (and appropriate) given constraints and shortcomings of some councils and the imperatives of a post-Covid New Zealand.

A Local Government and Infrastructure Act would not be any less about local government, but it would more strongly recognise the intimate connection between the infrastructure funding responsibilities of central and local government for both transport and water. An integrated partnership across levels of government is needed. A single statute could also simplify the planning environment. Fewer cross-references would need to be made between an Environmental Stewardship and Planning Act and other acts (the Local Government Act, the Land Transport Management Act, a proposed Water Services Act⁷ and the recently enacted Infrastructure Funding and Financing Act, among others), reversing the

trend of legislative fragmentation and complexity we have seen in recent times.⁸

We see merit in integrating the Local Government Act, Land Transport Management Act, and other infrastructure-focused legislation into a single Local Government and Infrastructure Act.

The purpose and principles of a Local Government and Infrastructure Act would need to be considered closely. The broad focus of councils on community wellbeing that was recently inserted back into the Local Government Act – not just the provision of core infrastructure – would remain central to an integrated Act.⁹ A lot of that is beyond the scope of the resource management system. But while considerations of sustainability and climate change are already present in the Local Government Act and Land Transport Management Act, we see potential for them to be made much more directive (eg with respect to the importance of deploying green and climate sensitive infrastructure),¹⁰ rather than relying on discretionary policy direction in subordinate instruments to set the tone. For example, while the government policy statement on land transport speaks of climate change, the purpose of the Land Transport Management Act under which it is made and changed seems unambitious and non-committal in its focus on “an effective, efficient, and safe land transport system in the public interest”.¹¹ Where is the recognition that infrastructure funding choices have substantial implications for specific objectives around climate change and environmental wellbeing, including our ability to meet international climate targets? And where is the specific link to the firm targets and budgets envisaged in the Climate Change Response Act?

In particular, climate change *adaptation* measures need to be strongly expressed in legislative principles guiding investment choices for new urban infrastructure (eg in Long Term and Annual Plans, a National Land Transport Programme, and other frameworks for the expenditure of public funds).¹² Simply put, the system should not allocate funding for new public infrastructure in vulnerable places (unless it can be easily relocated and where that is an actively planned feature of its design), just as we should not allow new activities to be established in places where there is any expectation of public support for compensation or relocation.¹³ If we fail to address this, we will be locking in additional risk for decades to come, and it is far more expensive and disruptive to change things in the future than it will be to address them in advance.¹⁴ Furthermore, the fact that so much ageing infrastructure is now in need of renewal or replacement is an opportunity to future-proof it against a changing climate (eg so it is able to cope with more extreme weather events). For all infrastructure funding decisions, there needs to be a strong link to the national risk assessment and adaptation plan developed under the Climate Change Response Act as well as new national direction under an Environmental Stewardship and Planning Act.

be expected to influence it in order to steer us towards common goals that are not politicised. Future generations have a strong interest in us doing the "right project", not just "doing the project right".²³ We have an historic opportunity to kick start a plan for fixing our infrastructure deficit and creating a modern, low carbon economy that delivers essential services for all New Zealanders. In future, we need more than just the investment predictability provided by a pipeline of projects and construction accords, or platitudes about the public interest. We should demand strong normative provisions in legislation about what features those projects should have. While the position is untested, some have even gone so far as to claim an existing legal obligation on the government to spend stimulus money in a way that takes into account climate change.²⁴ If it does not already, a future system will need to do that and more.

A spotlight on electric vehicle infrastructure²⁵

A future system needs to actively support a change towards an urban vision for something better, rather than just focusing on preventing harmful activities. That will require money. Among other things, public investment in the electrification of our vehicle fleet – including public transport – provides an opportunity to achieve many synergistic benefits. Air quality would be a winner. The transport sector also produces around one-fifth of New Zealand's total greenhouse gas emissions and almost half of our carbon dioxide emissions. In fact, as the Productivity Commission notes:²⁶

Transport has been by far the biggest contributor to the rise in New Zealand's gross emissions since 1990. As a result, CO₂ emissions have risen much more than other gases. Between 1990 and 2016, transport emissions increased by about 70%. Over this period, New Zealand's vehicle fleet increased in size by 1.5 million vehicles. New Zealand's vehicle fleet is among the oldest (and lowest in terms of fuel efficiency) in the developed world, therefore exacerbating the emissions impact of having additional vehicles on the road.

The successful deployment of electric vehicles in Norway shows how a suite of supportive incentives – both carrots and sticks – is critical. Norway's incentives are underpinned by the rationale that "it should always be economically beneficial to choose zero and low emission cars over high emission cars".²⁷ Investment in well-organised charging infrastructure, including fast charging stations, has been substantial, with the government itself financing the establishment of at least two multi-standard fast charging stations every 50 kilometres on all main roads. But this is only one part of a wider package. Drivers of electric vehicles have enjoyed the following carrots:²⁸

- No purchase/import taxes (from 1990) and an exemption from the country's 25 percent VAT on purchase (from 2001)
- No annual road tax (since 1996) and no charges on toll roads or ferries (1997–2017)



Electric vehicles, Norway

9.4 Institutional arrangements for three waters

The government is continuing to undertake an extensive review of the three waters sector, both in terms of (1) how it is regulated for its health and environmental risks³⁴ and (2) how services are delivered to people. We discussed the first aspect in Chapter 7, noting our support for strengthened, nationally consistent regulatory standards for drinking water, wastewater and stormwater, and for the establishment of a dedicated water regulator.³⁵ There have been suggestions that a lack of enforcement has been down to regulatory capture by local government suppliers – a “fox guarding the henhouse” argument – so an independent regulator is a positive step.³⁶ We now have that in the form of Taumata Arowai.³⁷ Further legislation is pending at the time of writing that will address strengthened regulatory arrangements (at least for drinking water).

It is worth reiterating, however, that the practical ability to meet stricter environmental and health regulatory standards (eg making sure infrastructure will not fail, or cause sewage overflow on our beaches) is intimately linked to institutional and funding arrangements for service delivery – who plans it and how they pay for it. The simple act of creating, or even enforcing, regulation is not enough to ensure compliance, nor is the establishment of a separate water regulator to oversee and enforce when failures occur. Concrete measures are required to create, upgrade or replace infrastructure, which will require significant sums of money. Institutional and funding settings will be crucial so that suppliers can actually achieve this, because:³⁸

often water crises are water governance crises: managing water risks of too much, too little, and too polluted water is all the more challenging if the roles and responsibilities are not clearly allocated, stakeholders are not engaged, information is not shared and the capacities are not adequate to anticipate and tackle the risks.

On the question of water services delivery – who plans, funds, builds, maintains and operates the pipes, treatment plants, pumps etc – the government’s thinking is ongoing. Most concede that the existing system is in need of change. However, it has been signalled that, at least in the short term, this will see increased Crown funding for infrastructure upgrades being conditional on councils agreeing to some form of regionalisation of water providers, as well as encouragement for councils to work together across district boundaries.

We think a more fundamental shift is needed. Various suggestions have been put forward. Should we have national, regional or local providers of water services? Should there be a separation of regulatory, funding and operational tasks? What degree of subject focus is appropriate (an institution for all three waters or separate ones for drinking water, wastewater, and/or

stormwater)? And how independently should service providers operate from accountable institutions like councils or ministers? We shone a spotlight on such questions in the Phase 1 report.³⁹

In short, there are compelling reasons for institutional change, which have been traversed by a number of reports already. For example, the Productivity Commission has pointed out that independence and expert management is necessary for water services, noting that:⁴⁰

Except for Watercare and Wellington Water, the governance of drinking water and wastewater suppliers is carried out directly by elected councillors and their officials. In many instances, this will be compromising supplier performance and muddying their accountability to councils.

The sector also lends itself to economies of scale and coordinated investment that have not been realised across most of New Zealand.⁴¹ A fragmented system, in which responsibility rests with 67 councils of vastly varying size and capacity, has meant the dilution of a limited pool of technical expertise. As Infrastructure New Zealand has pointed out, “larger organisations can employ, diversify and develop deeper expertise across everything from technical proficiency to project procurement, financial management and environmental mitigation.”⁴² The trend throughout the OECD has been for fewer but bigger operators,⁴³ but in New Zealand few councils even elect to “work across boundaries to manage their water assets, despite the benefits from scale that this could bring, such as access to specialist expertise”.⁴⁴

Of even greater concern has been the institutional incentives to underfund core inter-generational water infrastructure (including spending less than the money specifically budgeted for the purpose), which is now at risk of failure and requires significant sums to replace or upgrade. Part of the reason has been a lack of capacity and capability, but a lack of accountability has also been highlighted.⁴⁵ Substantial costs are also associated, in some places, with providing three waters infrastructure to service new urban growth.

More conceptually, we can genuinely ask whether there is actually an identifiably *local* community of interest, or any value-based question to be answered, in the quality and delivery of water services to the public. It is a core part of what councils have always done at a local level, but is there a compelling reason for that to be the case in a future beset with different challenges? Consistency across the country would not be a bad thing.

We need to fundamentally rethink our institutional arrangements for three waters service delivery.

9.5 A new model

There are many lessons to take from the Scottish experience (notably the benefits of embracing scale, operational independence, and a focused mandate), although it should be applied carefully to the New Zealand context. For example, the Productivity Commission has pointed out that overseas “mergers have not always resulted in increased performance or efficiency. This points to the need for a careful assessment of costs and benefits before undertaking any merger”.⁵³ That said, the benefits of some scale are compelling when compared to the status quo. For example, Watercare, as a regional water entity, has been able to socialise costs effectively and enable investments to be made in areas that otherwise may not have been funded.⁵⁴

We see most merit in a model for three waters service delivery based not on a single national provider, but on one adopting jointly owned, regional level council/Crown controlled organisations.⁵⁵ In some ways, this would be broadly reflective of the existing Wellington Water model (where councils jointly own a CCO), although over time this would become compulsory rather than voluntary.⁵⁶ The model should build on, rather than undermine, the good work that many councils are already doing; not all areas are experiencing the same challenges.⁵⁷

We do not make specific recommendations as to whether such entities should be asset owning or only asset managing,⁵⁸ or whether they would encompass the management of stormwater as well as drinking water and wastewater. That question of scope might be something that requires further discussion on a region by region basis, although on balance it seems that stormwater management and flood control would be functions more suited to remain with councils.⁵⁹ Furthermore, “regional” water entities would not necessarily have to align with the catchment-based jurisdictions of existing regional *councils* (or future unitary authorities). They could, instead, be focused on the boundaries that make most sense in the context of service delivery, which may be broader than regional council boundaries or cut across them.⁶⁰ Existing cores of expertise could be leveraged by expanding and modifying existing entities like Watercare or Wellington Water.

Regional water suppliers would still have a significant degree of accountability to the communities which they served. They would be publicly owned, and continue to respect the role of local government in the three waters sector.⁶¹ However, they would be able to achieve efficiencies through economies of scale, would be able to socialise costs across a reasonably wide area, would have a commercial footing (albeit constrained by elements of the public interest),⁶² and would have operational independence. They would recognise that there is not *just* a local community of interest in drinking water and wastewater services, but also a regional and national one (highlighted by the imposition of national standards for both).

A balance between independence and accountability would be crucial.⁶³ Water services are public goods

(even if users are charged, or partially charged, for them) so decision-makers ultimately need to be answerable to users and communities. The expenditure of public funds also requires strong accountability to those who pay – potentially taxpayers and ratepayers, if CCOs were to be funded in this way (rather than just reliant on user-charging).⁶⁴ Complaints over accountability seem to be one reason that Auckland Council has instigated an independent review of its CCOs (including Watercare).⁶⁵

However, on the other hand, water utilities require significant independence. This is because, in our view, there are relatively few value judgements here to be made on behalf of communities.⁶⁶ The relevant value judgements really occur when water quality bottom lines are set at the national level.⁶⁷ We should not allow drinking or wastewater standards to imperil people’s health just because they are in one part of the country rather than another, and levels of service should also not vary wildly. The purpose of water providers is to meet those standards and service expectations, not to revisit questions about community values and trade-offs. As pointed out in the Phase 1 report, greater independence is valuable where an institution is implementing values rather than setting them.⁶⁸ Provisions relating to CCOs in reformed local government legislation could usefully be amended to provide a more specific set of objectives for these institutions.

Others have pointed to the need for independence so that water suppliers can manage debt off council balance sheets, and take a long-term view of investment. Periodically there are calls for CCO activities to be brought back within direct council control (especially in Auckland), due to dissatisfaction with performance. CCOs are by no means always perfect. However, such criticisms often seem to be a kneejerk reaction to performance issues that could be dealt with in other ways. A CCO model offers valuable arm’s length decision-making on inter-generational issues, while still being accountable politically, and the organisations can be directed to pursue public interest outcomes alongside commercial efficiency.

Entities responsible for the provision water services need to be accountable to the public. However, this needs to be balanced with a strong imperative for independent management. This can be provided by a regional level CCO model.

We think that a key difference from a pure CCO model, however, should be direct involvement by the Crown, as a partner alongside councils.⁶⁹ We see value in hybrid institutions where different levels of government come together in formal partnership, rather than in entirely separate institutions that interact (and can conflict) with each other.⁷⁰ For example, the government could have a right to appoint members to a single board.⁷¹ Furthermore, a regional CCO’s statement of intent should outline how its activities would contribute to the

The use of this model for land transport would not mean that a transport CCO would be self-funding (as is Watercare), or act entirely independently. Councils would still be required to fund transport directly (costs cannot, realistically, be fully recovered by a CCO through direct user charging, so more general sources like rates are needed),⁸⁰ alongside contributions from the NZTA through the national Land Transport Fund. Councils would therefore need to have the corresponding ability to appoint and remove directors, issue statements of expectation, and review performance. Compared to water services, investment in transport infrastructure is often a highly political subject.⁸¹ So, while operational independence is desirable, there will need to be a higher degree of democratic accountability to constituents for the value-based choices being made.

It makes most sense to manage land transport infrastructure (excluding the national network of state highways) through a regional lens, and that already occurs in a structured, albeit reasonably complex, way through regional transport committees. However, as with drinking water and wastewater, the interest in an effective and sustainable transport network is not just about the regional interest. There is a strong national interest as well.⁸² As the Productivity Commission has explained:⁸³

The rationale [for central government involvement] is that the state highway network interconnects with local roads to form a secondary part of the national roading system. While most use of local roads is by local people, out-of-district people and businesses also use them.

We therefore consider that it is appropriate for central government, through the NZTA,⁸⁴ to continue to have a role in transport infrastructure planning, alongside regional CCOs. At the very least, active oversight by central government is crucial, and (in contrast to the three waters experience) is encouraged in the transport sector through a model that requires the NZTA to pay close attention to the details of investment choices at a local level.⁸⁵

That said, the relative *degree* to which effective control is exercised by central and local levels of government should, we think, be revisited in light of a clearer definition of subsidiarity in a future system.⁸⁶ For example, there could usefully be a review of which revenue raising tools should feed into the Land Transport Fund or, instead, go directly to councils/CCOs.⁸⁷ One study of European best practice, for example, found that regional or metropolitan authorities with their own budgets were most successful in delivering integrated transport, and that councils need substantial financial autonomy for reforms to be most effective.⁸⁸ That deserves closer attention in a New Zealand context.

The future should also see the development of more bespoke partnership mechanisms between central and local government to deal with significant land transport investments. For example, while fraught in some ways,

the Auckland Transport Alignment Project has been positive in bringing together various arms of central and local government to create a forum for the long-term planning and funding of Auckland's transport needs. This begs the question whether broader frameworks like this should be formalised for deployment elsewhere, implementing lessons learnt from the Auckland experience. As explored in Chapter 10, a strategic spatial planning framework, where there is greater predictability of funding, may fulfil this role.

A spotlight on the Auckland Transport Alignment Project

In 2016, in order to bridge the gap between central and local government, the Auckland Transport Alignment Project was initiated. This was an effort by the Auckland Council and the government to create a bundle of priority transport projects for the region, and brought many relevant entities together.⁸⁹ A revised deal was made in 2018 with the Labour-led government, resulting in additional funding and an agreed shift in priorities to focus more on public transport.

However, while funding is now committed, Auckland Transport must still apply for it, project by project. Lengthy delays in individual funding approvals remain common even where broad consensus and agreement has been reached.⁹⁰ There has been an inability to obtain agreement on projects in advance or simultaneously with the planning process, and funding pressures remain. Some of that pressure has come from a mismatch in timing for longer running projects.⁹¹ And there can be considerable competition for national level funds between state highway proposals and local roading/public transport projects.⁹² To some extent the project highlights how issues can emerge from having multiple levels of government, each with their own democratic mandates and policy priorities, controlling land transport investment and planning. But it also points to the value of moving towards a more formal, coordinated and predictable partnership model.

A future system should see a continuation of a partnership approach for land transport between central government (particularly the NZTA) and councils (to be regional unitary authorities). The arm's length decision-making of the NZTA could usefully be mirrored by a move towards CCOs for land transport at the regional level (as is the case for Auckland Transport already).

It would be worth further investigating whether a greater proportion of funding levers (eg those currently going into the Land Transport Fund) should be directed towards regional rather than national control.

A spotlight on funding three waters

Above, we have suggested the rolling out of a model that would see three waters service delivery performed by regional CCOs. But the funding model associated with these entities should also be reformed. That would be in three key senses.

First, user-charging would be embraced more, including through (1) encouraging or requiring the use of volumetric charging and (2) fully internalising the cost of trunk infrastructure upgrades on new developers that cause increased load (through development contributions and connection charges). That would have the effect of driving the efficient use of what can often be a scarce water resource (brought into sharp relief by Auckland's ongoing drought), as well as a fair distribution of costs. Some have pointed to poor outcomes generated by "under-recovery of costs and funding from council rates rather than water service charges and development fees" and that "those who benefit from, or cause the need for, a service should pay for its costs".¹⁰⁵

There is also a possibility to charge "users" indirectly for stormwater services, through a property-level fee for stormwater management rather than provision through general or targeted (eg neighbourhood level) rates.¹⁰⁶ This could help pay for infrastructure, but also encourage innovation by giving people incentives to manage stormwater onsite in innovative ways that can have water security, ecological, pollution-prevention, and other co-benefits (for example through the use of rain gardens, rooftop gardens or rainwater collection facilities where a site allows). In Germany, fees have been high enough to encourage residents to invest in rainwater harvesting facilities, both for new builds and for existing properties.¹⁰⁷

Messaging around user-charging is crucial for political and community buy in. In particular, there could be resentment from urban dwellers if they were charged for water services and yet much larger water takes for irrigation or bottling were not. Of course, the charge is for the infrastructure and services involved in water supply and removal rather than the water itself, but perception counts. We have elsewhere suggested that modest and scalable water rentals should be rolled out across New Zealand.¹⁰⁸

That said, we should not get carried away with an over-zealous approach to economic efficiency. User-charging should not be excessive or unduly burdensome, and water is still an essential public good that should be accessible to all. Thus despite concerns from some about a lack of full cost recovery,¹⁰⁹ we still see a case for services to be subsidised, where necessary, by more general sources of revenue like rates and central government

grants. That reflects a broader community (or national) responsibility to provide essential services for vulnerable groups.¹¹⁰ An economic regulator would play an important role in ensuring that user charges were not excessive, the use of more general sources of funding were transparent and justified, and overall investment was sufficient for achieving inter-generational outcomes.

A second key funding reform would be for the Crown to contribute in a structured and predictable way. This would recognise the national community of interest in the environmental and health outcomes that are influenced by funding and investment in water services, as well as the enormity of the costs faced.¹¹¹ As in other areas of the resource management system (eg freshwater quality), this recognises that national level standards need to be met by a corresponding commitment by central government to actual implementation. Local government is not just a dumping ground for additional functions without the means to implement them.

A central government funding contribution could be linked to, and be proportionate with, representation on the board of a CCO (see earlier), and even targeted to the needs of particular regions. An interesting parallel can be drawn with the membership of catchment boards prior to the local government reforms of the late 1980s. These both had locally elected members and appointees of the Crown, and received significant central funding for erosion and flood control works.

We should not, however, treat central government funding in an ad hoc way through the creation of specific funds (eg a Housing Infrastructure Fund),¹¹² or only for particular purposes (eg supporting urban growth but neglecting the renewal of failing assets).¹¹³ The need is more systemic and ongoing, and should be linked clearly to prioritisations to achieve health and environmental outcomes (targets) as well as deliver more housing and other forms of development. For example, the Productivity Commission has suggested that central government funding for water be deployed in a comparable way to transport – including applying criteria based on need and the ability of councils to fund in other ways (eg through rates).¹¹⁴ Earlier, we suggested a similar thing in relation to the government's shorter-term Covid-19 infrastructure spend, which needs to be based on clear and transparent criteria rather than pork-barrel politics. These should be based on legislated principles in a revamped Local Government and Infrastructure Act, and the adequacy of both local and central funding for maintaining essential services needs to be overseen by an independent economic regulator (see earlier).

Type of funding or financing pressure	Issues to be addressed	Tool(s) required to respond
Rapid urban growth requires the timely provision of new infrastructure and/or upgrades to existing infrastructure.	Some councils are approaching their debt ceilings, ¹²⁵ so cannot use this to finance infrastructure in a way that spreads its costs over future residents or generations. ¹²⁶ Councils also take significant risks in making large capital investments up front based on growth forecasts that may underestimate or overestimate actual growth, and may ration the supply of infrastructure to minimise this risk. ¹²⁷	Create “special purpose vehicles” to remove debt from the balance sheets of debt constrained councils and allow for greater private financing of infrastructure. These entities would be able to impose levies to recoup the costs of development over time. At the time of writing, legislation has just been enacted to achieve this (the Infrastructure Funding and Financing Act 2020).
		Greater use of user-charging mechanisms (eg volumetric charging for wastewater, road congestion charges) and targeted rates to reflect that those who benefit should be those who pay. ¹²⁸
		The ability to capture value uplift (increased property values resulting from public investment in infrastructure or services, eg a new mass transit system). ¹²⁹
		Structured contributions from central government transparently linked to demand or need.
		A centralised urban development authority - Kāinga Ora – could play a greater role in funding and financing new developments, ¹³⁰ de-risking large scale developments for councils.
The renewal and replacement of ageing or failing infrastructure.	Significant (and ultimately unknown) amounts of infrastructure are ageing and at risk of failure, particularly in the three waters sector.	Again, the use of “special purpose vehicles” to remove debt from the balance sheets of debt constrained councils. ¹³¹
		Greater use of targeted rates to reflect that those who benefit from upgrades should be those who pay.
		Need-based or principle-based contributions from central government to address large capital works.
Climate change adaptation	There are significant costs involved in moving, upgrading or increasing the resilience of existing infrastructure in light of climate impacts (eg rising sea levels, more frequent and severe weather events).	Some cost sharing mechanism between central and local government in the form of a dedicated fund, which could be capitalised in various ways. See the discussion further below.

Figure 9.1: New funding and financing measures suggested by the Productivity Commission for infrastructure

incentives that core funding tools can have on both raising money and spending it appropriately.¹³³ At the core of this issue are questions about council rates as a revenue raising tool.

Perhaps the most alarming example of poor incentives can be seen in the systemic underinvestment in the maintenance and renewal of inter-generational urban goods like water infrastructure. Infrastructure New Zealand has highlighted an unacceptable backlog of investment starting at \$2 billion, and echoing similar sentiments we have pointed out previously that:¹³⁴

Due to political constraints on rates increases and constraints on borrowing, there may be a temptation for some councils to prioritise spending on things the community wants at the expense of the renewal of some kinds of essential infrastructure – notably water infrastructure. Some councils have adopted a “run to fail” approach for underground assets, not investing in upgrades until there are problems (such as sewage overflows or public health problems such as with inadequate treatment of potable water).

This may seem puzzling, as communities have failed to invest in assets that directly benefit themselves; they are not just reluctant to fund assets that will benefit others (eg new growth infrastructure for future residents). Although the issue is by no means ubiquitous throughout the country, it highlights the risks of leaving decision-making and prioritisations on inter-generational issues by those accountable through three yearly election cycles, especially if failures only become visible to the public years after they should have been pre-empted (as with underground and unmonitored assets like water).¹³⁵ As such, we have suggested a degree of institutional reform above (through a regionalised CCO model and close independent oversight for investment and pricing) as well as funding reform (including central government grants, starting with a large capital injection as part of the Covid-19 response).

Incentives to underinvest in three waters infrastructure should, following a large capital injection from central government, be addressed through institutional reforms (regionalised CCOs and an economic regulator).

9.10 Incentives to fund urban growth

A more explicable situation in which councils have lacked adequate incentives is where there is a need to pay for the infrastructure required to service rapid urban growth. Here, there is an argument that they have incentives to provide it on a “just in time” (or, indeed, too late) basis. This is particularly obvious for large scale greenfields expansion. New suburbs are expensive and investment in them is of little direct benefit to existing residents, yet they are perceived to be subsidised through rates or imprudent levels of debt.¹³⁶ As we have pointed out previously:¹³⁷

there can be strong political incentives on councils not to increase rates, especially if they are being used

to service new development and the benefits are not apparent to existing residents who are paying for it (and who are the ones voting in local elections). This ... can lead to an institutional bias in councils against growth, and therefore resistance to the timely and proactive provision of serviced land for [affordable] residential development.

The Productivity Commission agrees that there is at least a *perception* among ratepayers/voters that the community as a whole does not obtain net benefit from growth and yet is obliged to fund it.¹³⁸ It describes this as an issue of political economy (as opposed to an economic reality). But it is the perception among constituents that ultimately matters in local decisions, because those people are the ones that establish political mandates for councillors.

The phenomenon also applies to infill and brownfields developments, in which case funding constraints – a reluctance of ratepayers to pay for new or upgraded infrastructure that benefits only some – can reinforce existing residents’ preference for amenity values associated with low density (preserving leafy green streets). Why pay for things that you think not only fail to benefit you, but also which you actively oppose? Furthermore, where urban growth pressures are large, significant financial risks need to be borne by local government, in that:¹³⁹

Councils that install new infrastructure ahead of housing demand may find themselves facing high borrowing and depreciation costs, particularly if growth occurs at a slower rate than anticipated. For this reason, many councils tightly control the supply of new infrastructure.

While it would be wrong to paint all councils negatively as being “risk averse” by nature, there are understandable political and financial incentives for prudence that may not produce the best overall outcomes. This has been described as “a broken system for financing infrastructure that delays or prevents developments going ahead”¹⁴⁰ and a “serious social and economic problem” contributing to the housing crisis.¹⁴¹ We need to keep this firmly in mind when we hear hyperbolic suggestions that environmental protections in the RMA are to blame for housing unaffordability and must be removed.

According to Infrastructure New Zealand, the same basic problem underpins all of these phenomena: there is misalignment as to where the benefits and costs of investment fall. That may still be the case even if users were able to be charged fully for the services they use (ie if the costs were internalised), because there would still be little prospect of *benefit* for councils and therefore weak incentives (they would be neutral at best, and the risk burden would remain if cost-recovery had to happen after investments were made). For example, it is understandable that councils are reluctant to pay for rapid urban growth, because its presumed benefits (in the form of increased economic activity)¹⁴² accrue mainly to

not. Some have pointed out, for example, that “without a revenue stream linked to value creation, councils are ... disincentivised from investing in [economically] productive activities” more generally.¹⁵⁷

That said, we do not see a local GST as a viable replacement for rates as a core funding tool. Increases in spending – and therefore GST revenue – would not correlate with the need to fund all public goods and services. In particular, we need to remember that funding is also about ensuring a sustainable standard of living for communities declining in population or economic activity. While declining urban areas are to be commended for efforts to attract more residents and visitors (and Covid-19 may see that succeed in some places), a decline is often due to factors beyond the control of communities (eg the attractions of a larger city). Managed decline may be needed in many cases to adapt to change rather than fight it.¹⁵⁸

Yet the basic health and wellbeing of those remaining in a community (especially dependent on the quality of water and transport infrastructure), should not depend only on what people can spend. That can also vary considerably from year to year and make long-term planning challenging. Rates, fixed to an unchanging amount of land in an area, provide reasonable predictability of service because they are based on an assessment of community need rather than predictions of economic performance. This concern may be reduced in the event of local government structural reform (a move towards larger regional entities), and the ability to subsidise some parts of a region from greater economic activity in others. Yet even with the restructuring of local government, over-reliance on local GST may still mean that fluctuations in the economic performance of different regions may unacceptably disadvantage some over others; one might think of urban centres in Northland or the West Coast as being particularly at risk.

Wholesale change in our funding model may also be “costly, disruptive and of uncertain benefit”¹⁵⁹ and one needs to seriously question whether central government would have an appetite to voluntarily give up some of its own revenue raising capability.

Overall, we agree that the way forward is to expand our toolbox, not replace it. We see merit in including a local GST within that toolbox, among other things that spread costs more equitably, raise sufficient revenue in a timely way, address pressing short-term deficits, and provide systemic incentives to invest appropriately across all levels of government. The need for systemic institutional and funding reforms for infrastructure provision can be seen in the cautionary tale of the Mangawhai Community Wastewater Scheme. This highlights that urban infrastructure issues are not limited to large or rapidly growing centres, and that issues are often more to do with funding and institutional arrangements rather than RMA processes.

A spotlight on the Mangawhai wastewater scheme

A small community in Northland, Mangawhai historically had no centralised wastewater scheme. Instead, it relied on the use of septic tanks, package plants or long drop toilets. Aware of growing water quality issues, Kaipara District Council proposed a range of communally based wastewater schemes throughout the 1980s. However, residents consistently rejected all schemes, questioning the need for them and complaining that the costs were too high. Matters came to a head when the Council notified its District Plan in 1996 and the continuing lack of provision for wastewater was contested by the Minister of Conservation. More restrictive land use controls were sought in the Environment Court due to the adverse environmental effects that urban development was having on the Mangawhai Harbour. A study confirmed that reliance on septic tanks presented an increasing health risk, and was causing both groundwater and coastal contamination.

The Council identified three options, and it was decided that a centralised reticulated wastewater scheme was needed. Council funds were, however, constrained. There was limited ability to take on higher levels of debt (for every one dollar of debt, the council needed \$2.50 of income under regulations at the time).¹⁶⁰ The Council looked to the private sector for a solution, through the formation of public private partnership.

After an initial bidding round, the Council awarded Simon Engineering “preferred proponent status” in 2002, on the basis of a proposed contract they had negotiated with the company. The arrangement envisaged that Simon Engineering would build the wastewater plant and then operate and maintain it for a 25 year period, after which the asset would be transferred back to public control for no charge. The Council would be obliged to make annual payments during that period (“toll payments”), to cover the capital costs of construction (with a maximum total payment of \$13.5 million), as well as the operating and maintenance costs for the scheme. A pricing structure was calculated on this basis. However the proposed arrangement proved problematic.¹⁶¹

- In December 2002, before an agreement was finalised, the Local Government Act changed the rules in play by specifying that arrangements with the private sector could last for up to a term of 15 years. This meant that the private partner would no longer be able to take advantage of taxation benefits from owning the assets over the anticipated 25 year period, so negotiations continued and the Council contribution had to be increased (alongside new public consultation).

The incentives provided by the current system of funding infrastructure in the context of urban growth and renewal require correction. Targeted measures to shift the costs of infrastructure onto those who benefit will help. In particular, the Crown should be responsible for a much larger proportion of the costs (and control) of drinking water and wastewater infrastructure.

However, we also see merit in allowing councils to levy a local form of GST, which provides incentives for funding growth while allowing communities more control over their own destiny. That cannot be a replacement for rates, but would be a useful addition to the toolbox.

More bespoke funding arrangements may be required for particular projects over time, but ad hoc agreements between councils and Crown should not form the basis of funding for a base level of essential services. They should also be guided by a cooperative vision in a spatial plan (see Chapter 10).

9.11 Reducing pressure on infrastructure, and the importance of synergistic outcomes

A future system will not just be about planning and funding new and replacement infrastructure (supply). Infrastructure also needs to be used efficiently and responsibly, and we need to think about managing demand better.

Greater application of user-charging has been mentioned above as a way to equitably spread the costs of funding infrastructure. This cannot be absolute, as water and

transport are public goods vital to the dignity of life for all.¹⁶⁶ But some degree of user charging also provides incentives for people to make more efficient use of services, so that both monetary and environmental costs are minimised.¹⁶⁷ It is a good example of economic efficiency approaches being used in the service of broader public policy goals, rather than being adopted for their own sake. In the Phase 1 report, we shone a spotlight on the merits of volumetric charging for drinking water. This approach has been very effective in driving more efficient use (which is increasingly important in light of Auckland's water security issues and the looming threat of climate change),¹⁶⁸ and we see a case for allowing volumetric charging for wastewater outside of Auckland as well as congestion charging.¹⁶⁹

Earlier, we also mentioned the incentives that charging for stormwater services could have, causing people to reduce the burden on public infrastructure by internalising their impacts onsite (eg through rain gardens, rooftop gardens, impermeable surfaces, or rainwater harvesting systems) where that could be done in an economic and healthy way. This iterative change could be an efficient way to reduce the need for massive trunk infrastructure upgrades, and to make systems more resilient to more extreme weather events as climate change becomes more apparent. Incentives for onsite stormwater management could also have significant co-benefits if rolled out across an urban area, in terms of amenity, urban cooling, pollution-prevention, biodiversity and climate change. It would complement the outcomes sought by the RMA's regulatory regime (eg targets for urban biodiversity) and climate change legislation (both adaptation and mitigation). Recycling rainwater and greywater rather than drawing on potable water (which in many parts of the country may become scarcer) for some activities – like watering the garden – makes a great deal of sense from both an economic and ethical standpoint.

State Highway 16 upgrade, Auckland



tools. We require a more systemic and forward-thinking approach by central government. We cannot take the same reactive and inconsistent approach that has been taken with other natural disasters.¹⁷⁹ We know the threat, and now is the time to do something about it.

The most obvious step is to not make our risk exposure greater. To complement land use decisions made under a new Environmental Stewardship and Planning Act (see Chapter 6), a Local Government and Infrastructure Act needs to contain clear principles that new public infrastructure investments should not occur in places where risk is too great. A precautionary approach is needed, and a strong and directive link between the Act and an adaptation plan and independently developed risk assessment under the Climate Change Response Act. That is lacking at present. Even where risk is acceptable, a Local Government and Infrastructure Act must require new infrastructure to be resilient to future threats (eg increased capacity to deal with extreme weather events).

Even more difficult will be addressing challenges that already exist. That may prove to be by far the most expensive and daunting prospect of adaptation, especially in coastal cities containing dense populations and infrastructure assets. Some such challenges are faced by central government (eg in the need to relocate nationally owned assets), while most others are faced by councils (eg the need to strengthen flood protection measures or move three waters infrastructure). Others are shared (eg the need to reduce risks to the roading network).

We will have to be extremely wary about trying to “fight” rather than “adapt” to climate change by funding expensive but ultimately futile measures like seawalls and hard flood protection structures. We are not the Netherlands, where it makes a great deal more sense to construct substantial hard infrastructure to keep the floodwaters out,¹⁸⁰ and risks are constantly changing and need to be managed

adaptively.¹⁸¹ If we lock in short-term, path dependent choices, we may then “feel reluctant to abandon a policy ... in which we have already invested heavily”.¹⁸²

There will be a role for protective measures during a transition, but the focus needs to be on measures that work flexibly with environmental change over the long term, like managed retreat and support for changing industries. For example, the Productivity Commission has suggested taking measures to “make room” for rivers rather than seeking to control them,¹⁸³ and Judy Lawrence warns against creating public expectations of ongoing protection through increasingly expensive infrastructure.¹⁸⁴

A spotlight on Awatarariki

In 2005, an intense storm triggered a huge debris flow down the Awatarariki Stream catchment at Matatā, in the Bay of Plenty. Twenty-seven houses were destroyed and 30 percent of the properties in the township were damaged. The likely return period for a storm of that size was initially thought to be around 200 to 500 years. Between 2005 and 2012 the council investigated a range of options for mitigating further such events, and residents were given permission to repair and rebuild their homes in the same location.

By 2012, the Whakatane District Council had invested \$7 million in building new retaining walls above affected properties and another \$55 million had been set aside for improving stormwater drains over the following 10 years. The Council estimated the recovery costs would be \$10 million, with around one third coming from Government.¹⁸⁵ A new rail bridge and underpass were constructed and around \$5.2 million was earmarked for a debris dam and flood channel.



Adapting to climate change in and around urban areas poses an enormous challenge from a funding perspective. We should not be investing in new infrastructure in vulnerable places, and there needs to be a clear link between a national adaptation plan, land use controls under an Environmental Stewardship and Planning Act, and infrastructure frameworks.

Even more difficult will be questions about how to fund the movement of existing infrastructure and people. We need a new funding mechanism in the form of a national adaptation fund, to be deployed according to clear and transparent principles and through collaboration between central and local government. There are different models for how that could operate and be capitalised.

9.13 The Building Act

A Local Government and Infrastructure Act would (among other things) provide a framework within which core urban infrastructure would be planned, funded and delivered. But a holistic view of urban resource management should not make a sharp distinction between (1) publicly funded infrastructure, (2) other built elements to which it connects, such as private homes and offices, and (3) broader land use patterns. In particular, we need to consider the role of the Building Act in a future system. Should it be doing more to support urban objectives? All aspects of urban sustainability need to be looked at, not just those within the scope of a regulatory framework like the RMA.²⁰⁰ We note with support recent indications from the government that the Building Act will be reviewed with sustainability and climate change in mind.

At present, the Building Act (and Code) governs how buildings themselves are constructed, rather than their impacts on the surrounding environment. It is designed, primarily, to ensure people can use buildings safely and without endangering their health, and it has no real spatial element (which things should go where). That said, while the Building Act recognises that buildings should have attributes contributing to the wellbeing of people, it also seeks that “buildings are designed, constructed, and able to be used in ways that promote sustainable development”.²⁰¹

The Act requires building consents to be obtained, meaning that often the development of land requires authorisation under both the RMA and the Building Act. Misalignment can lead to delays and bureaucratic churn, and these processes could usefully be better aligned. The idea of an integrated project consent could assist here (see Chapter 8). But there are more fundamental questions about where RMA style tools should stop and Building Act tools begin. In the Phase 1 report we noted that there is overlap:²⁰²

the RMA is also concerned with the potential impacts of activities on people’s health and safety, and restricts the use of land (including for building) partly for this

purpose. Local government plays a significant role in decision-making and implementation under both. Sustainable development is also one component of the Building Act’s purpose. This, as well as the preservation of heritage, are key principles of the Act. In short, the conceptual distinction between the acts is by no means a clear-cut one... [and] attempts by local councils to control the design of building interiors under the RMA has been seen by some to be crossing a firm philosophical line.

Managing questions of aesthetics – how interiors look and feel, ceiling heights, balconies and such – show tensions and overlap between the acts. But far more important are the potential environmental impacts that stem from building design and material choices. In particular, there is room for debate as to whether the environmentally-focused RMA (and its replacement) can or should be used to require stronger “green” measures than under the Building Act.²⁰³ The latter specifically states that building work is not required to achieve performance beyond compliance with the Building Code, in the absence of any express provision to the contrary.²⁰⁴

Yet if the RMA has a legitimate role to play in greening construction standards, its current purpose, principles and plan provisions do not really target that kind of thing and are currently ill suited to the task.²⁰⁵ The frameworks are meant to complement each other, not fill gaps where the other has failed.

It would be possible, but ultimately (we think) undesirable, for the two frameworks to be merged. A new Environmental Stewardship and Planning Act would be about urban design and form (which are inherently spatial) and the impacts of buildings on the environment, not about construction standards. In our view, the Building Act is the more appropriate place to tackle such questions directly.²⁰⁶

However, the Building Act should be aligned with the norms of an Environmental Stewardship and Planning Act.²⁰⁷ Instead of asking how we mitigate adverse effects from buildings, we really need to be asking how the built environment can proactively help to fix problems we are already facing, and pursue synergistic benefits. For example, the close relationship between questions of urban form under the RMA and building standards can be seen in the fact that “solar orientation for passive heating of homes depends on how streets and lots are laid out”.²⁰⁸ One commentator has also pointed out that:²⁰⁹

Ideally, all local authorities should implement practices that will promote sustainable construction and the interface between the [RMA and Building Act] in order to magnify the level of sustainability that might be achieved. There are no specific or clear statutory criteria presently in existence to achieve this aim.

...

Issues of design and spatial planning, water management, community heating systems such as local combined heat and power generation, waste

In most cases, this further “greening” of the Act should not be prescriptive, in keeping with the performance-based ethos of the Building Act. We do not want to stifle innovation, a lot of which is happening anyway. However, the outcomes being sought could be much clearer and specific, especially in urban contexts. The Act seems a world away from the ambitions outlined in strategic plans like Auckland’s climate action framework, where there is a push not just for low impact homes but for specific outcomes like decentralised, renewable energy (eg rooftop solar). Climate change mitigation and resilience needs to be much more prominent in our decision-making criteria (eg to address flooding and urban heating),²¹⁶ as do biodiversity outcomes. As with all other regimes, there needs to be a strong link between building standards and emissions reduction plans and adaptation plans made under the Climate Change Response Act.

Furthermore, recognising that people often take the easiest option,²¹⁷ there should be active effort to develop more “acceptable solutions” (ie measures that are deemed to comply with the Building Code) that embrace new green technology. That could drive voluntary uptake of such measures. But if there are market barriers, Covid stimulus funding provides a chance to subsidise them, and for their benefit to be made more apparent to consumers over time. After all, crises present opportunities “for the trialling and innovation of new technologies and processes that are not ... supported by the traditional regime”.²¹⁸ An active public programme for retrofitting existing housing stock – for environmental and resilience purposes as well as health reasons – should be planned for.

There could also be measures to make the regulatory pathway easier (where appropriate) for green innovation. Some have pointed out that consenting process can be a barrier to better outcomes,²¹⁹ and persuasively called for fast-track consenting measures and the implementation of stronger financial incentives (eg tax rebates, reduced development contributions).²²⁰ While we need to take care that fast tracking for some projects or methods does not turn into sectoral propaganda (eg a competition between forestry vs concrete to see who can shout the loudest), there are also bigger questions to consider here about what materials we should be using, and why. Timber construction, for example, has considerable environmental and climate benefits and could be encouraged where appropriate.

Policies made under a new Environmental Stewardship and Planning Act (eg in national direction) could even expressly recognise the benefit of complying with stronger green construction standards, thereby making higher performance a positive consideration (to which weight needs to be given) in consenting decisions about associated land use. That would not *require* higher standards than the Building Act or directly penalise those that failed to meet them, but could give policy incentives to developers to do so voluntarily.²²¹ The RMA is no stranger to this approach, where the positive impacts of an activity (eg renewable electricity benefits for climate

change) can be considered, but the negative impacts of an alternative (eg climate impacts of fossil fuels) cannot.

Formal performance standards under the Building Act could also be linked to, or gradually adopt, the more stringent certification requirements of the Green Building Council (eg in its Homestar or Green Star rating).²²² Subsidies could usefully be deployed in a more systematic way as a “carrot” to support regulatory “sticks” for green building technologies, as they have been for other building performance measures.²²³

A spotlight on building certification

The Homestar rating tool was developed by the New Zealand Green Building Council in conjunction with BRANZ, and allows certification of residential dwellings (including detached dwellings, terraced housing and apartments). To rate a home’s performance and environmental impact, Homestar awards points across seven categories: energy, health and comfort; water; waste; materials; site; home management; and an optional innovation category. The rating thus certifies the health, efficiency and sustainability of New Zealand homes. The Green Building Council explains that “most new homes built to the substandard Building Code will only achieve a 3–4 Homestar rating... [out of 10] ... and most existing New Zealand homes only achieve a 2–3 Homestar rating”.²²⁴ It considers that homes should achieve a minimum 6 star rating to be warm, healthy and efficient.

The Green Star rating measures buildings’ environmental attributes, and can be applied to the design and as-built phases of non-residential construction projects as well. More specifically, the NABERSNZ tool (supported by the Energy Efficiency and Conservation Authority) benchmarks the energy performance of commercial offices.

We also see a case for the use of more specific and directive measures. Some design options are now being deployed overseas on a mandatory basis and should be closely considered in a future system. For example, France has enacted legislation making it mandatory for new buildings in commercial areas to have a certain proportion of green roof or solar panel coverage, and Dallas has enacted a plan that requires certain types of buildings to install cool or green roofs. A climate change citizen’s assembly in France has suggested making energy efficiency renovation of buildings compulsory by 2040.²²⁵ Ireland is seeking to integrate planning for green infrastructure into the preparation of regulatory land use plans (ie district plans).²²⁶ At the very least, there should be requirements to design buildings to enable the retrofitting of green infrastructure at low cost later (eg so they are wired to support solar panels and batteries, and plumbed to support rain water harvesting).²²⁷

ENDNOTES

- 1 Transport infrastructure includes things like cycleways, streetlights and rail, while water infrastructure includes drains, outfalls, treatment plants (for drinking and wastewater) and pumps.
- 2 For example, under the Electricity Act (and related legislation), Gas Act, Telecommunications Act, and so on. Infrastructure New Zealand has pointed out that telecommunications and electricity infrastructure is performing reasonably well in New Zealand; see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 19. However, all infrastructure, including social infrastructure, is important in the context of spatial planning.
- 3 See Chapter 4.
- 4 Controller and Auditor-General *Introducing our work programme – Water management* (October 2017) at [2.9]–[2.11].
- 5 *Strengthening the regulation of drinking water, wastewater and stormwater* (Regulatory impact assessment, Department of Internal Affairs, 1 July 2019).
- 6 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.
- 7 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019); and updates as of February 2020 at <www.dia.govt.nz/Three-waters-review>
- 8 See S Berry and H Andrews “The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015” (2016) *Resource Management Journal* 1; S Berry S, H Andrews and J Vella “The death of the RMA by a thousand cuts: The next two incisions” (2017) *Resource Management Journal* 3.
- 9 See Local Government Act 2002, s 10(1); Local Government (Community Well-being) Amendment Act 2019, s 6.
- 10 Compare *Report of the Biodiversity Collaborative Group* (2018) at 110.
- 11 Section 3.
- 12 Compare New Zealand Productivity Commission *Local government funding and financing* (2019) at 247.
- 13 For example, all new dwellings will need to be designed so as to be easily relocatable.
- 14 See New Zealand Productivity Commission *Local government funding and financing* (2019) at 252; J Boston and J Lawrence “Funding climate change adaptation” (2018) 14(2) *Policy Quarterly* 10.
- 15 <www.beehive.govt.nz/speech/speech-government-economics-network-2019-conference>; compare C Montgomery *Happy city* (Penguin, 2013); E Glaeser *Triumph of the city* (Pan, 2011).
- 16 The dominance of roads and motorways has its ultimate origins not in any kind of rational public policy, but rather the early influence of the automobile industry in a time very different from our own. See generally C Montgomery *Happy city* (Penguin, 2013); E Glaeser *Triumph of the city* (Pan, 2011).
- 17 COVID-19 Recovery (Fast-track Consenting) Act 2020.
- 18 See EDS’s submission on the COVID-19 Recovery (Fast-track Consenting) Bill, available at <www.eds.org.nz>.
- 19 Compare Finance for the Future *Green quantitative easing* (2010) at 2.
- 20 S Knight Lenihan and K Scanlan “Climate compatible development in New Zealand” (2018) 14 *Policy Quarterly* 43 at 47.
- 21 See <http://pubdocs.worldbank.org/en/223671586803837686/Sustainability-Checklist-for-Assessing-Economic-Recovery-Investments-April-2020.pdf>
- 22 <https://edition.cnn.com/2020/04/29/economy/oil-demand-peak/index.html>
- 23 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 255; oral statement of Professor Spiro Pollalis, 2018 United Nations Sustainable Infrastructure Conference, October 2018. Compare R Joseph “The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 23.
- 24 See *Reviving the economy and the environment – Climate change as a mandatory consideration* (Letter to the Prime Minister from Lawyers for Climate Action New Zealand, 30 April 2020).
- 25 Acknowledgement: Olivia Grainger, EDS.
- 26 New Zealand Productivity Commission *Low-emissions economy* (2018) at 32.
- 27 See <https://elbil.no/english/norwegian-ev-policy/>
- 28 Ibid.
- 29 Ibid.
- 30 For example, a feebate scheme is being proposed for conventional vehicles. Investment in a government fleet of electric vehicles could create a large second hand market within a few years, and education is important to make people aware of improvements like the increased range and performance of electric vehicles. See generally B Barton and P Schütte “Electric vehicle policy: New Zealand in a comparative context” (Centre for Environmental, Resources and Energy Law, University of Waikato, 2015) at iii.
- 31 Ibid at 38.
- 32 Including amalgamation and the place of the Independent Hearings Panel for the production of the Auckland Unitary Plan.
- 33 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 59–61; Local Government (Auckland Council) Act 2009.
- 34 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 35 See <www.dia.govt.nz/Three-waters-review>
- 36 New Zealand Productivity Commission *Local government funding and financing* (2019) at 290. That said, we note that in most places there is institutional separation between territorial authorities having operational responsibility, and regional councils having environmental enforcement functions for water quality.
- 37 Taumata Arowai – the Water Services Regulator Act 2020.
- 38 O Romano and A Akhmouch *Water governance in cities: Current trends and future challenges* (2019) 11 *Water* 500.
- 39 See also the model floated in New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) from 56.
- 40 New Zealand Productivity Commission *Local government funding and financing* (2019) at 288.
- 41 Ibid at 242.
- 42 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 23.
- 43 O Romano and A Akhmouch *Water governance in cities: Current trends and future challenges* (2019) 11 *Water* 500.
- 44 New Zealand Productivity Commission *Local government insights* (2020) at 16. There are some obvious exceptions, such as in the Greater Wellington region and some shared service arrangements between Auckland and the Waikato.
- 45 Office of the Auditor-General *Managing the supply of and demand for drinking water* (2018) at 11.
- 46 T Jackson and J Dixon “SEA comparative analysis: Applying strategic environmental assessment to land-use and resource management plans in Scotland and New Zealand: a comparison” (2006) 24(2) *Impact Assessment and Project Appraisal* 89.
- 47 C Hansen *How funding and financing affects productivity: Implications for three-waters reform and for local government funding and financing* (Case study prepared for the New Zealand Productivity Commission, 2019).
- 48 Ibid.
- 49 Ibid.
- 50 S Hendry “Scottish Water: A public sector success story” (2016) 41(6) *Water International* 900.
- 51 The six year period was set to match the timescales for river basin planning and flood risk management planning under European Union directives, ensuring the frameworks were aligned.
- 52 Water Resources (Scotland) Act 2013, s 23.
- 53 New Zealand Productivity Commission *Using land for housing* (2015) at 10.
- 54 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 184.
- 55 Compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5, 57.
- 56 Although there could be a tailored process for different regions according to different timeframes, depending on complexity and particular issues arising.
- 57 New Zealand Productivity Commission *Local government insights* (2020) at 27.
- 58 For example, the assets managed by Wellington Water are owned by several different councils at both regional and local levels. Watercare in Auckland owns water assets. Part of this question is about who should have the ability to borrow against those assets (local government for a variety of purposes, or a water utility for a narrower range of purposes). At least in some cases, the latter may be preferable to ensure that money raised is earmarked for the renewal and maintenance of essential water infrastructure.
- 59 It might make sense for stormwater systems, so intertwined with land use planning and related flood control measures within catchments, to remain with councils. This integration could be further served through the regionalisation of stormwater, catchment management, and land use planning functions in a unitary authority (see Chapter 8).
- 60 Including the ability to cross-subsidise, an equitable distribution of population (and therefore funding), connection of infrastructure networks, fair distribution of legacy issues (eg historic underinvestment or significant upgrade costs), and growth pressures etc.
- 61 For example, Watercare as a CCO acts independently of Auckland Council, but has responsibilities to give effect to relevant aspects of a long-term plan. It must also act consistently with relevant aspects of any other plan or strategy of the Auckland Council to the extent specified in writing by Council’s governing body. Furthermore, it must provide a statement of intent, including a narrative on how

- occur between 2040 and 2060, at the very time that population increases will be peaking". See also Office of the Auditor General *Water and roads: Funding and management challenges* (2014).
- 116 New Zealand Productivity Commission *Local government funding and financing* (2019) at 6.
- 117 As well as many other mechanisms: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 249-251.
- 118 That said, rates as a proportion of median income in rural areas has grown much more than in metropolitan centres.
- 119 New Zealand Productivity Commission *Local government funding and financing* (2019) at 159-160.
- 120 Ibid.
- 121 Ibid at 10.
- 122 Ibid at 2.
- 123 New Zealand Productivity Commission *Local government insights* (2020) at 15.
- 124 New Zealand Productivity Commission *Local government funding and financing* (2019).
- 125 For example, to preserve their credit rating and comply with binding debt to revenue ratios: see *ibid* at 161. The independent nature of credit rating means one cannot simply regulate all constraints out of existence. Under the Local Government Borrowing Act (2011) the Local Government Funding Agency can assist councils with funding but only if the proportion of their income spent on interest payments is less than 20 percent. This means that the borrowing potential of local government increases as its income increases but also that it is constrained by its income generating capacity. In short, council income rather than infrastructural needs drives infrastructure funding.
- 126 New Zealand Productivity Commission *Local government funding and financing* (2019) at 156, ch 7.
- 127 Ibid at 175.
- 128 Ibid from 150.
- 129 Which could be achieved by expanding the concept of a targeted rate to link it to increases in unimproved land value.
- 130 In our view, only where needed to give effect to a spatial plan, not as a central government planning override. On the urban development authority model, and the Urban Development Act, see Chapter 11.
- 131 As the Productivity Commission points out, there may also be a related need to enable, through legislation, the placement of debt-servicing obligations on existing residents if this mechanism is to be used for brownfields or intensification of existing residential areas; see New Zealand Productivity Commission *Local government funding and financing* (2019) at 185. That would need careful thought for reasons of equity, as existing residents would not have signed up to the provision of infrastructure when they purchased a property.
- 132 On the post-Covid-19 challenges faced by local government, see Controller and Auditor General *Insights into local government* (2020).
- 133 New Zealand Productivity Commission *Local government insights* (2020) at 27.
- 134 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 251; compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 17, 19. Compare New Zealand Productivity Commission *Local government insights* (2020) at 16.
- 135 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 32.
- 136 New Zealand Productivity Commission *Using land for housing* (2015) at 325.
- 137 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019). Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 13.
- 138 New Zealand Productivity Commission *Local government funding and financing* (2019)
- at 175.
- 139 New Zealand Productivity Commission *Using land for housing* (2015) at 7.
- 140 <www.beehive.govt.nz/speech/speech-government-economics-network-2019-conference>
- 141 New Zealand Productivity Commission *Local government funding and financing* (2019) at 10.
- 142 There is an interesting relationship between population growth and economic growth, and they are not necessarily always correlated in a positive way. Having more people *requires* more economic growth to "grow the pie" and ensure no decline in overall living standards, but it is by no means guaranteed to *generate* it. See Yuval Noah Harari *Homo deus: A brief history of tomorrow* (Vintage, 2016).
- 143 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 15.
- 144 New Zealand Productivity Commission *Local government insights* (2020) at 27.
- 145 New Zealand Productivity Commission *Using land for housing* (2015) at 4.
- 146 New Zealand Productivity Commission *Local government funding and financing* (2019) at 6. Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 26. This could be done through a new tax, or by changing targeted rates to allow them to be levied on changes in land value due to public investment in infrastructure or amenities (New Zealand Productivity Commission *Better urban planning* (2017) at 334).
- 147 It would be possible to do so, but it would be expensive and complex, and no doubt cause jurisdictional issues.
- 148 New Zealand Productivity Commission *Local government funding and financing* (2019) at 182. Compare B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019) at 42.
- 149 For example, the Provincial Growth Fund or Housing Infrastructure Fund.
- 150 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 30.
- 151 Although government grants seem necessary for some things, such as correcting historical underinvestment deficit in three waters infrastructure and the need to meet strengthened national standards.
- 152 For example, the Productivity Commission has pointed out that GST and some forms of income tax (eg pay as you earn) are less painful than mechanisms like rates, because it is less visible and people are not faced with a standalone bill. However, they are also complex to design, implement and enforce.
- 153 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 25.
- 154 B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019) at 40, citing *OECD economic surveys: New Zealand* (2017).
- 155 New Zealand Productivity Commission *Local government funding and financing* (2019) at 297.
- 156 Compare New Zealand Productivity Commission *Local government funding and financing* (Draft report, 2019) at 265: "Central government should not expect local government to act simply as its regulatory agent. Rather, the two levels of government should seek a regulatory partnership based on mutual respect and an agreed protocol."
- 157 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 26.
- 158 Compare New Zealand Productivity Commission *Local government funding and financing* (2019) at from 204; J Hollander and others *Planning shrinking cities* (2009) 72(4) *Progress in Planning* 223. Contrast the more optimistic view of the New Zealand Initiative in B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019) at 40.
- 159 New Zealand Productivity Commission *Local government funding and financing* (2019) at 6.
- 160 Under the Local Government Act 1974 (largely repealed).
- 161 For a detailed discussion of the project and issues surrounding see R Mulgan *Transparency and the performance of outsourced government services* (Research paper commissioned by the Queensland Office of the Information Commissioner and the Australia and New Zealand School of Government, 2015) at 15. See also Controller and Auditor General *Inquiry into the Mangawhai community wastewater scheme* (2013).
- 162 One News "Kaipara District Council faces another day in Court" (4 February 2014).
- 163 Controller and Auditor General *Inquiry into the Mangawhai community wastewater scheme* (2013) at 26.14.
- 164 New Zealand Productivity Commission *Local government insights* (2020) at 15.
- 165 On the idea of a satellite city, see Infrastructure New Zealand *Meeting Auckland's growth challenge: The innovation city* (2017).
- 166 Separate redistributive policies could be used as long as they were effective (eg rates relief), but equally we do not see a problem with an element of free provision (eg first X number of litres provided for no charge).
- 167 Compare also New Zealand Productivity Commission *Local government funding and financing* (2019); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 168 It has been pointed out that "where applied, volumetric metering and pricing appears to have reduced peak water consumption and waste by up to 30%... [and] peak daily water use decreased by about 25% in the two years after universal metering was put in place": see New Zealand Productivity Commission *Local government funding and financing* (2019) at 283.
- 169 See *ibid*, at 176.
- 170 See C Montgomery *Happy city* (Penguin, 2013); E Glaeser *Triumph of the city* (Pan, 2011).
- 171 *Funding Auckland's transport future* (2014).
- 172 See C Montgomery *Happy city* (Penguin, 2013).
- 173 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 174 J Boston and J Lawrence "Funding climate change adaptation" (2018) 14(2) *Policy Quarterly* 10.
- 175 R Bell and others *Coastal hazards and climate change: Guidance for local government* (Ministry for the Environment, 2017).
- 176 Local Government Act 2002, a 101B.
- 177 Building Act 2004, s 71.
- 178 J Boston and J Lawrence "Funding climate change adaptation" (2018) 14(2) *Policy Quarterly* 10.
- 179 Ibid.
- 180 There, the need is existential, given the amount of land that is below sea level.

10. INTEGRATION AND STRATEGIC SPATIAL PLANNING

10.1 Introduction

So far, we have considered the role of a new Environmental Stewardship and Planning Act and a Local Government and Infrastructure Act in a future urban resource management system. We have also pointed to the very real need for those two frameworks to be well coordinated, because urban land use change is intimately connected to the infrastructure required to make it happen. In particular, water and transport connections are essential to service new residential land and must be delivered fast where there is rapid growth to ensure that constrained supply does not exacerbate housing unaffordability issues. Currently, there is poor alignment between land use and infrastructure plans, processes (including public participation) and funding,¹ and the system “does not promote or encourage integrated decision-making to provide the right infrastructure in the right place at the right time” where land uses change.²

While some have recommended integrating the land use components of the RMA with infrastructure legislation to achieve better coordination through a “Planning Act” (a single process by which all decisions about urban growth were made), in Chapter 5 we flagged risks with that. We also noted that coordination can be achieved in other ways, which is the focus of this chapter.

10.2 A Local Government and Infrastructure Act

In Chapter 9 we proposed merging the Local Government Act and Land Transport Management Act, along with some other infrastructure focused legislation like the proposed Water Services Act and the Infrastructure Funding and Financing Act. A proliferation of infrastructure legislation requiring a complex web of cross-references and new processes will not help efforts to simplify and coordinate the system. It is not hard to imagine, for example, that new institutional arrangements for three waters could see yet another process as complex as that for land transport, and links would need to be made to existing Local Government Act and Land Transport Management Act processes as well as the RMA regime. It is hard enough to align the multiple processes that currently exist, especially in situations of rapid urban growth.

Care would be needed to ensure that an integrated infrastructure statute would not weaken the importance of wider local government principles (the four wellbeing). The Act would not *just* be about infrastructure. But it would recognise that there is an increasing need for both local and central government to coordinate their infrastructure funding and planning activities (for three waters as well as land transport) in an integrated way and in pursuit of common statutory objectives. Local infrastructure is no longer just about local government.

Of course, reorganising things into one statute does not magically resolve the question of how to integrate or connect quite separate *processes* for different kinds of infrastructure and different levels of government (eg for council long-term plans/infrastructure strategies, regional land transport plans/land transport programmes, and any separate process for three waters). The process for funding and planning three waters may need to look quite different from the process for funding and planning land transport, because institutional settings would be quite different for each.

For example, we cannot have a single process for funding and planning wastewater infrastructure and local roads if the former requires only council funding (through long-term and annual plans), but the latter requires a more complex process by which the NZTA apportions funds from a national fund alongside local council contributions. Some simplification should be possible by establishing regional unitary authorities with infrastructure responsibilities, as there would be (1) fewer local government funding plans (a single long-term plan and annual plan across a region) and (2) fewer institutions coming together at a regional level (instead of multiple district councils and a regional council, there would be just one operating alongside the NZTA in regional transport committees).

A more integrated system for urban infrastructure funding and delivery could be supported by local government structural reform and a single Local Government and Infrastructure Act.



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A future system should see greater alignment between processes under an Environmental Stewardship and Planning Act (especially for land use change) and infrastructure legislation, although they will need to remain distinct. Related decisions should be reached within a reasonable time of each other.

There also needs to be close alignment of the purpose and principles of an Environmental Stewardship and Planning Act and the Local Government and Infrastructure Act. While they cannot be identical – they do very different things, after all – they should at least be oriented towards the same kinds of big picture strategic goals. At present, there is some common ground between the RMA, which aims to “promote the sustainable management of natural and physical resources” and the Local Government Act, which provides for the “social, economic, environmental and cultural well-being of their communities, taking a sustainable development approach.”¹⁴ This recognises that local government is about much more than just providing roads and pipes.

However, the Land Transport Management Act remains out of step. Its original purpose was to contribute to an integrated, safe, responsive and sustainable land transport system. It also referred to the improvement of social and environmental responsibility in transport planning. However, this was significantly amended in 2013 to a focus on “an effective, efficient, and safe land transport system in the public interest”. The point was to narrow the role and scope of local government and provide for greater fiscal accountability and economic efficiency. And while broader social, environmental and sustainability goals were reinserted into the Local Government Act in 2019, the same has not happened with the Land Transport

Management Act. This does not prevent subordinate instruments taking a wider view; the environment is listed as one strategic priority in the government’s most recent policy statement on land transport.¹⁵ But it does mean that instruments may not always align well. Some have pointed out that a concerning normative disjunction has occurred over time between the RMA, Local Government Act and Land Transport Management Act,¹⁶ and legislated goals are now quite different.¹⁷

Furthermore, the Land Transport Management Act continues to follow a mode neutrality approach to transport planning and investment – it has principles, but it doesn’t pick winners – and it is not always clear how tensions are to be resolved between strategic priorities (eg value for money and environment). A mode neutrality approach was initially introduced in order to help shift priority *away* from private vehicle transport and roading to ensure there was a level playing field (for modes such as public transport, walking and cycling). Yet the imperative is now to elevate those modes *above* traditional ones.

Some have argued, for example, that central government has been able to continually prioritise “its own political agenda of economic development over furthering local democracy” and pursuing broader goals for the environment, though a focus on motorway expansion project and roads of national significance aimed at stimulating national growth.¹⁸ In our view there should be explicit legislative preference for investment in public transport, mass transit and electrification to support strengthened objectives under other legislation like an Environmental Stewardship and Planning Act and Climate Change Response Act.¹⁹

There should be closer alignment between the principles underpinning an Environmental Stewardship and Planning Act, infrastructure legislation, and the Climate Change Response Act.

Thirdly, and perhaps most importantly, both combined regional plans and plans for supporting infrastructure should be guided by a higher-level spatial plan. Aligning processes at a development by development level will not be enough without a strategic vision for what we want our urban areas to look like over time.

This common vision is important both in the short-term (eg funding for roads to service an area rezoned as residential under the RMA should not then be diverted to other priorities in an annual plan unless there are good reasons) and also in the longer-term (strategic planning-horizons should be consistent). The Productivity Commission has pointed out, for example, that the planning horizon of the New Zealand Coastal Policy Statement under the RMA is 100 years, under the Building Act it is 50 years, and under the Local Government Act it is 30 years.²⁰

Spatial planning will be essential in aligning land use and infrastructure decision-making under different legislation.



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However, there are other senses in which the system as a whole does not provide for adequate strategic spatial planning in cities, and where a better replacement for the RMA would not be enough on its own. In particular, better integration across institutions and statutory frameworks is required, including:³⁵

- (1) Horizontal legislative integration: the ability for one spatial planning framework (eg land use under the RMA) to influence or be aligned with another (eg infrastructure planning/funding under the Local Government Act, or non-statutory strategies). The Biodiversity Collaborative Group has pointed out, for example, that there is currently “a plethora of documents which do not consider biodiversity in a holistic manner, and there is no clear mechanism to ensure alignment and compatibility” across them,³⁶ while the government’s independent reform panel has stressed that:³⁷

Introducing spatial planning at a regional level across [multiple Acts] might assist with better integrated resource management. It would also provide an opportunity to rationalise some aspects of regional and local planning, as high-level policy

matters would be decided jointly through spatial planning processes.

It could, for example, remove the need for some public participation at a later stage.³⁸

- (2) Vertical legislative integration: the ability for a higher-level spatial plan to have meaningful influence on lower level decision-making. Even the Auckland Plan, our only example of a legislative requirement for spatial planning, is not binding on the Auckland Unitary Plan made under the RMA. One independent international review found that it lacked clear direction, which hampered decision-making on the provisions of Unitary Plan.³⁹ The ability of a strategic plan to influence funding and operational decisions is particularly crucial where there is rapid urban growth.⁴⁰ But if they are not well linked, spatial plans can simply add another layer of complexity to a framework without corresponding benefit.
- (3) A *requirement* to do spatial planning: while many councils (and other agencies) *have* engaged in cross-district spatial planning under the Local Government Act to manage urban growth,⁴¹ that is not mandatory. Such efforts also tend to be responsive to rather than pre-emptive of pressures.



underpinning the NPS on Urban Development therefore concedes that a proper spatial planning framework is needed, and that there are systemic limitations with the current arrangements.⁵¹

Other regimes are also trying to bridge the gap, but similarly lack the real ability to do so. For example, the proposed government policy statement under the Land Transport Management Act calls for investment decisions to “shape land use, urban form and street design in a way that reduces car dependency, makes walking, wheeling, cycling and micro-mobility safe and attractive travel choices, and reduces emissions from transport.”⁵² Yet the mechanism for achieving that remains opaque, because it has limited influence over RMA plans dealing with land use. Similarly, some have said that a National Infrastructure Plan will not necessarily have a large impact on RMA policy statements and plans “as there is no strong legislative requirements for it to be taken into account or for regard to be had to it.”⁵³

Future development strategies, required for some fast-growing urban areas under the RMA, try to link up multiple frameworks. However, they lack legal weight and are focused on the supply of development capacity and housing. Other instruments have similar constraints and are not a substitute for a higher level of spatial planning.

We recommend a new framework for spatial planning. Because spatial plans would be designed to influence multiple other frameworks and institutions (both central and local), we think it would be most appropriate for them to be developed under a separate, overarching piece of legislation rather than retrofitted into existing frameworks. In previous work we have called this a “Future Generations Act”.

A proper spatial planning framework in a future system would, above all, need to ensure that environmental bottom lines were given effect to. It would be made clear how environmental targets were to be pursued (eg for enhancement of urban biodiversity, climate change and so forth). It would work around those constraints, pursuing synergies between transport, land use and other objectives.⁵⁴ For example, plans may need to provide for public transport nodes (eg light rail) to be funded and delivered in a timely way around areas slated for residential density.

Since infrastructure, labour markets and people’s movements traverse regional boundaries, spatial planning must also be able to take place at multiple scales,⁵⁵ including across regions. In some highly connected urban areas, planning around roading, rail, mobility, housing and growth require a cross-regional approach to be taken.⁵⁶ “Regional” spatial planning may therefore be something of a misnomer if taken literally.

A spotlight on inter-regional spatial planning

One of the key drivers for strategic spatial planning has been the desire to take an integrated approach to urban growth in areas that span local authority boundaries like Auckland, Hamilton, and Tauranga.⁵⁷ These metropolitan areas are growing rapidly, but in a highly interconnected manner; people, goods, services and natural resources frequently travel across boundaries. What happens in one area affects the others.

In response, one of the most significant inter-regional spatial planning exercises in New Zealand is underway to manage growth and development along the corridor between Hamilton and Auckland. This is an ad hoc partnership under the leadership of central government. There have also been agreements between local government and the Crown to align planning and funding responsibilities for key infrastructure (eg through the Auckland Transport Alignment Project), and more general ad hoc measures to fund infrastructure to support urban growth (eg through a competitive Housing Infrastructure Fund).

Attempts have also been made to connect up decision-making across council boundaries through specific statutory frameworks (eg the NPS on Urban Development Capacity has talked about the need to consider related decision-making processes), even though that has no real ability to require it.⁵⁸ Similarly, the Local Government Act requires councils *within* a region to agree to protocols for communication, co-ordination and dispute resolution (triennial agreements) to avoid duplication of services or functions.⁵⁹ But decisions under one act cannot bind decision-makers under another, and there is still a risk that:⁶⁰

a nationally significant project may be a priority in [a] spatial plan but have no recognition under the RMA or [the Land Transport Management Act]; [while] a regionally significant project may have priority in a [regional land transport plan] but not be funded in the local council’s long-term plan.

A regional spatial planning process involving a formal partnership with central government would be a good start, but in some places that needs to extend to cross-regional spatial planning. The need for inter-jurisdictional cooperation in managing linked urban areas is an increasingly common theme overseas.⁶¹

Spatial plans could also operate at a much finer scale as long as they fitted within the parameters of a regional level vision. For example, some have suggested that a neighbourhood level plan, as used in Brisbane, could be used to provide a vision of both

spatial plan should certainly inform and shape an RMA unitary plan, but they should not be confused as to purpose. A spatial plan should be a flexible document, readily reviewed, particularly relating to currency of projects and priorities for action... The RMA unitary plan is a regulatory plan which in particular governs and integrates the management of natural resources, and land use and development. Its pre-eminent role should not be a land use plan or strategy, or an infrastructure investment plan.

We agree that the legal weight of a spatial plan cannot be absolute, and influence needs to flow in both directions. The relationship with combined regional plans and funding plans generally needs to be one of complementarity, not dominance.⁷⁴

What this means in practice remains unclear. There is something of a chicken or the egg scenario here. For example, future development strategies required under the NPS on Urban Development (which can be thought of as very constrained spatial plans) are required to be informed *by* things like long term plans and infrastructure strategies under the Local Government Act.⁷⁵ And yet they must also be drafted in time to *inform* long term plans.⁷⁶ The New Zealand Planning Institute has made the good point that if a long term plan is adopted before a spatial plan, then the spatial plan “may become irrelevant, as infrastructure investments could effectively supersede the land use strategies developed in the spatial plan and fail to be integrated into the land use planning framework”.⁷⁷ Some have suggested that spatial plans could be developed in tandem with, or just prior to, long-term plans. In our minds, careful co-development of

all these things may be needed, as long as a wider spatial vision was always front of mind.

That said, because the purpose of new spatial planning legislation would itself need to stress the primacy of environmental bottom lines, there should be no objection to strategies *giving effect* to those bottom lines first imposed under more specific frameworks like an Environmental Stewardship and Planning Act. Things that are environmental limits, and things that are not, would be more clearly articulated under that Act than they are presently under the RMA (see Chapters 6 and 7), making that job easier. For example, it would be important for a spatial plan to embrace transport routes needed to support an urban form that made the achievement of environmental and climate limits likely (eg avoiding particular routes rather than mitigating their effects, and planning for some transport modes over others).

Aside from that, the law could require that spatial plans be *given effect to* in other frameworks *unless there were good reason not to*. “Good reason” could be defined as, among other things, being inconsistent with the purpose and principles of the more specific act, or where funding was unavailable (rather than diverted). This shows the importance of the purpose and principles of separate acts being well aligned even with a spatial planning framework in existence. For example, narrow transport priorities should not have excessive influence in a spatial plan, in the same way that RMA plans are quite rightly not required to give effect to plans under the Land Transport Management Act.⁷⁸ Integrated urban planning is much wider than that, and should be reflected in the principles governing new spatial planning legislation (a Future Generations Act).



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plan under an Environmental Stewardship and Planning Act, or instead be integrated into a separate spatial planning framework. In our view, this is a very finely balanced question. On the one hand, there would be a lot of overlap. The Resource Management Law Association has suggested that the two instruments should be combined, so as to avoid another layer of planning in the system.⁸² Some have questioned the continued rationale for regional policy statements if spatial plans had legal effect and there were to be a combined plan for a region.⁸³

However, existing regional policy statements are not just spatial, and they contain objectives and policies that are vital to achieving the more specific purpose and principles of the RMA. In the context of Auckland, it was seen as important to retain the regional policy statement layer within a unitary plan, despite the existence of a higher-level spatial plan. The Auckland Plan was not seen to be a meaningful substitute for an instrument made under the more focused and robust processes and purpose of the RMA. On balance, we would therefore suggest retaining a regional policy statement element as part of a regional combined plan,⁸⁴ and for these to be reviewed in tandem with spatial plans.⁸⁵ However, we also note that there are powerful arguments in favour of integration.⁸⁶

On balance, we think that regional policy statements should be included within regional combined plans under an Environmental Stewardship and Planning Act. They should be reviewed alongside regional spatial plans.

Other existing instruments could be subsumed within regional spatial plans (eg council infrastructure strategies) or removed entirely (eg future development strategies required under RMA national direction).



10.7 The process for developing spatial plans

The trigger for regional spatial planning should not just be about the pace of urban growth and the need for coordinated infrastructure.⁸⁷ It is categorically *not* just a vehicle for driving economic growth. Given the broad rationale for the system discussed in Chapter 6, we consider that many other kinds of pressures warrant a meaningful strategic and spatial assessment of how we are using and protecting resources, including slower urban creep, urban decline,⁸⁸ implications for productive (food producing) land, the resilience of our population to disease and other health threats, biodiversity enhancement, energy use, tourism, and active measures to address (and adapt to) climate change.⁸⁹ Enhancing the natural environment “must be at the core of what any spatial plan would be seeking to achieve”⁹⁰ and while we need to “accept that our cities will develop ... their development needs to be guided strategically, to protect other values than growth.”⁹¹ One commentator has cautioned that:⁹²

spatial planning in Australia has taken a very infrastructure based focus, and is at risk of relying solely on large scale urban infrastructure development, with a risk of undermining the role and intent of spatial plans in helping to coordinate actions across the range of issues.

We therefore think spatial plans should be mandatory, rather than applying just to some areas (eg medium or high growth councils). And the link between adaptation and emissions reduction plans under the Climate Change Response Act and spatial plans needs to be particularly clear and directive (and supported by appropriate institutional capability).⁹³ For example, one objective of Ireland’s national planning framework is to:⁹⁴

Reduce our carbon footprint by integrating climate action into the planning system in support of national targets for climate policy mitigation and adaptation objectives, as well as targets for greenhouse gas emissions reductions.

However, spatial plans could have varying levels of detail, and this should not be prescribed. Every place is different. Some areas may require quite elaborate provisions (including detailed mapping), whereas others may not. Indicative land uses should be identified at a reasonably specific scale to provide a degree of certainty, but this should not be at a “zoning” level and would not have regulatory effect.⁹⁵ Some wriggle room would be needed to allow for innovation in private developments through plan changes, and for detailed land, transport and other assessments to be made and change over time. But the big picture should remain consistent.

If spatial plans are to have real legal influence, the process for creating them needs to be robust (see Figure 10.1). We envisage that councils within a region (and, following local government restructuring, one or more⁹⁶ regional unitary authorities) would lead the development of these instruments, but it would be a collaborative exercise alongside mana whenua, CCOs, local boards and central government.⁹⁷

A spotlight on special housing legislation

A good example of a top down and centralist (rather than integrated and cooperative) approach to urban development can be seen in the Housing Accord and Special Areas Act. The Act was introduced in 2012 and aims to enhance housing affordability by facilitating an increase in land and housing supply in high growth areas. Under the scheme central government has been able to negotiate accords with councils in order to fast track development, but the Act has also allowed for the government to step in directly where an accord cannot be reached. It also shortens the timeframe for consultation (3-6 months), can override existing RMA plans (they must only be had regard to), and can largely ignore local authority strategic plans for growth (eg a desire for compact urban form and sequenced supply of infrastructure).

The ability to override council land use planning arguably hinders rather than encourages the alignment of existing frameworks, and undermines rather than fosters an integrated and cooperative relationship between central and local government. Ironically it was the operation of a very similar planning device that drove the introduction of the RMA:¹⁰⁵

The immediate domestic reason why a large law reform effort of this type was undertaken flowed from the National Development Act 1979. That Act promoted a fast track for big development projects. ... [T]he fast track for large developments could easily result in adverse environmental effects... (and) removed the checks and balances contained in many statutes and allowed ministerial decisions to predominate. Had it not been for the National Development Act it is very unlikely that the Resource Management Act would have occurred.

Special housing legislation received widespread criticism and opposition from councils, many of which considered the solution lay with greater empowerment, resourcing and funding of their own activities (see Chapter 9) and increased cooperation between central and local government.¹⁰⁶ Auckland Council has noted that although the release of land is important, more critical is that it be released in the right places and at the right times through coherent and strategic spatial planning.¹⁰⁷ Collaboration is important, not just a top down imposition of rules to achieve narrow policy goals. For example, Auckland Council has worked towards a vision for a compact city, envisaging that 40 percent of new housing will take place on greenfield sites. In contrast, central government has tended to highlight the negative impacts of restricting greenfields development and focused on greater release of land to developers. Such disconnects can create misalignment in planning and highlights the importance of partnership across different levels of government in creating spatial plans that are targeted to the needs of a region.

Regional spatial plans should be mandatory, but may vary in detail and need to respond to the context/ issues of a particular place. Central government involvement in the development of regional spatial plans would be important.

Alongside collaboration with central government, a partnership arrangement with Māori is also essential for successful spatial planning, both to honour Treaty obligations and to address potential conflicts and opportunities early on.¹⁰⁸ For example, a spatial plan would be a valuable place to identify high level, place-based cultural landscapes through a tikanga led process, and to weave this into the fabric of a strategic city-shaping exercise. If spatial plans had meaningful legal influence over regulatory plans under an Environmental Stewardship and Planning Act, this should avoid the ad hoc urban growth that risks cumulatively impinging on cultural landscapes, provide a more efficient use of Māori planning capacity that is currently diluted across multiple plans in a region,¹⁰⁹ and to some extent prevent the need for extensive litigation (which is often based on allegations of inadequate consultation).¹¹⁰ It would identify big picture issues earlier in ways that more detailed and fast tracked processes may not. As with planning processes under other legislation, central government resourcing and support will also be necessary for a proper partnership to occur (as has been noted repeatedly by the Waitangi Tribunal).¹¹¹



Ithumātao, Auckland

planning exercises, even if they are non-statutory (like Smart Growth in the Bay of Plenty).¹²¹

That said, sign off by a responsible Minister could be one way in which central government could then be required, to some degree, to follow through on its commitments (notably funding promises).¹²² This could be a statutory version of the concept of negotiated “city deals” between central and local government.¹²³ While one government could not absolutely bind a later one, some degree of long-term consistency and predictability is required over time for effective spatial planning, based on apolitical legislative principles and not sharp policy swings.¹²⁴ Some have even said that “without the Crown’s active involvement and

commitment to the spatial plan we seriously question the justification for statutory direction to prepare a spatial plan.”¹²⁵ This is backed up by the example of Omokoroa:¹²⁶

in 2002 Omokoroa was planned as an urban growth area in part because NZTA had designated an upgraded state highway from Tauranga to Omokoroa which at the time was projected to be completed by now. Thirteen years later this [had] not yet occurred and it [was] having a negative effect on the development of this area, resulting in unused capacity in utility network infrastructure and significant holding costs for the local authority as development to fund the up-front cost ... stalled.



they comply with environmental limits as a matter of law (and do not have regulatory effect), we concur that spatial planning is “not the place for the courts.”¹³²

Finally, spatial plans would need to be reviewed periodically (eg every three or four years), potentially to align with, or respond to, a strengthened framework for environmental reporting.¹³³ Across all of this, timeframes need to allow for meaningful public participation. Many have said that the Auckland and Christchurch Independent Hearings Panel processes under the RMA were far too rushed, and this holds lessons for a spatial planning process too.¹³⁴ Cultivating community buy-in for a strategic vision may reduce tensions (and resources) when it comes to implementation of plan changes, consents and infrastructure funding down the track.

A spotlight on strategic planning in Vancouver

In Vancouver there has been close integration of land use and transport decision-making through its Liveable Region Strategic Plan. Good urban planning principles come first; in fact, provincial government proposals for new highways were even able to be rejected if they worked against the community's plan objectives.¹³⁵

The plan was prepared through a bottom up collaboration of local municipalities, facilitated by a regional planning agency. This was a substantial six-year long process involving thousands of people.¹³⁶ It involved an extensive multicultural outreach strategy, employing translators so that planning information was available in multiple languages. Workshops and widespread advertising publicised the initiative. A range of commentators have credited the extensive consultation and planning process as a reason for the strategy's continuity, despite changes in political leadership.

In comparison to Auckland, public transport boardings per capita are three times greater in Vancouver. Interestingly, the focus in Vancouver was not on expensive large scale projects but on micro-level transport and land use integration, applying relatively small fixes to better integrate the transport network. The system relies on more heavily used buses that are able to operate at higher speeds and so are viewed as more efficient. The Vancouver experience with integrated transport demonstrates what a strong forum for public engagement, alongside an empowered and well-funded partnership between different levels of government, can achieve.

Spatial plans will be values-based instruments (guided by clear statutory principles) and should not be subject to appeal. However, independent review by a Futures Commission and Tikanga Commission/ commissioners would be important to ensure an inter-generational view is taken.

10.8 Concluding comments

In this chapter we have looked at how an Environmental Stewardship and Planning Act and infrastructure legislation could be better aligned. This is particularly important in areas of high urban growth, where housing cannot be delivered without both land use change (eg rezoning) and the services required for residential activities to occur. Those things must occur in a timely way. But alignment is important for other reasons, too, including to ensure synergies between development and environmental objectives. We have outlined several ways in which our frameworks could be better aligned: through the creation of an integrated Local Government and Infrastructure Act; by coordinating processes under different legislation; and by aligning principles across legislation.

Most important, however, would be the creation of an overarching statute under which spatial planning would occur. This would see the collaborative development of regional or cross-regional strategic instruments that would outline a vision for the growth or change of urban (and other) areas over time, and have real legal influence over decision-making under other frameworks, including the Environmental Stewardship and Planning Act and Local Government and Infrastructure Act. The point of spatial planning would be to integrate aspects of what has become a fragmented system for urban development and change, notably land use planning and infrastructure provision.

Vancouver CBD



- 60 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) 35, 9.
- 61 Government of Ireland *Project Ireland 2040: National planning framework* at 12.
- 62 New Zealand Productivity Commission *Using land for housing* (2015) at 292.
- 63 Compare New Zealand Productivity Commission *Using land for housing* (2015) at 282.
- 64 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 14.
- 65 New Zealand Productivity Commission *Using land for housing* (2015) at 296.
- 66 Ibid, at 279; Hamilton City Council *Submission on transforming the resource management system: Opportunities for change: Issues and options paper* (10 February 2020) at 5, 9.
- 67 New Zealand Productivity Commission *Using land for housing* (2015) at 280.
- 68 Wellington City Council *Submission to the New Zealand Productivity Commission's Using land for housing inquiry* (2015) at 22; see New Zealand Productivity Commission *Using land for housing* (2015) at 273.
- 69 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 36; 42. Some have criticised the original Auckland Plan as providing land use aspirations without the infrastructure to back it up.
- 70 For example, in greater Christchurch a non-statutory Urban Development Strategy was embedded in the Canterbury regional policy statement, but that process was expedited through earthquake recovery legislation.
- 71 Government of Ireland *Project Ireland 2040: National planning framework* at 16.
- 72 Local Government (Auckland Transitional Provisions) Act 2010, s 145(2). Compare also the Sea Change – Tai Timu Tai Pari Hauraki Gulf marine spatial plan (2017), where the relationship with more formal legal instruments was unclear; see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 227.
- 73 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 40.
- 74 Ibid at 39.
- 75 NPS on Urban Development at 19.
- 76 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 23; NPS on Urban Development at 30.
- 77 New Zealand Planning Institute *Submission on the building competitive cities discussion document* (2010) at 8.
- 78 Compare A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 66.
- 79 S Shepherd *Proposed modifications to urban plan-making: A report to the Productivity Commission* (Sapere research group, 2016) at vi.
- 80 Contrast some suggestions that spatial plans should be given effect to or be binding: see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 43; Local Government New Zealand *Transforming the resource management system: Opportunities for change – Local Government New Zealand's submission on the issues and options paper* (February 2020) at 5.
- 81 See A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 2.
- 82 Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020).
- 83 See New Zealand Productivity Commission *Using land for housing* (2015) at 281.
- 84 What that looks like in practice might differ, however. For example, it may be that a regional combined plan would not have a separate "section" that contained a regional policy statement, but instead integrate its objectives and policies in other ways.
- 85 S Shepherd *Proposed modifications to urban plan-making: A report to the Productivity Commission* (Sapere research group, 2016).
- 86 This choice will need to be cognisant of impacts on Treaty settlement legislation. For example, the Vision and Strategy relating to the Waikato River under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010 is deemed to form part of the regional policy statement. If that were morphed into a wider ranging strategy with less direct legal influence on subordinate plans, it may cause problems. Treaty settlements must be upheld in a future system.
- 87 This has been the focus of the NPS on Urban Development Capacity under the RMA, which in turn has been driven primarily by concerns around housing supply (and therefore affordability).
- 88 Compare Government of Ireland *Project Ireland 2040: National planning framework* at 160.
- 89 This is not just in and around cities: Local Government New Zealand *Transforming the resource management system: Opportunities for change – Local Government New Zealand's submission on the issues and options paper* (February 2020) at 5. For a good explanation of how all these things must be managed in an integrated way, see Government of Ireland *Project Ireland 2040: National planning framework*.
- 90 Future Proof *Submission to the Resource Management Review Panel's 'Transforming the resource management system – Opportunities for change – Issues and options paper'* (December 2019). Compare Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020).
- 91 R Chapman and others *Submission by the NZ Centre for Sustainable Cities on the RMA issues and options paper, 'opportunities for change'* (2019) at 2.
- 92 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 84, citing J Dodson "The 'infrastructure turn' in Australian metropolitan spatial planning" (2009) 14(2) *International Planning Studies*.
- 93 Compare R Chapman and others *Submission by the NZ Centre for Sustainable Cities on the RMA issues and options paper, 'opportunities for change'* (2019) at 4.
- 94 Government of Ireland *Project Ireland 2040: National planning framework* at 166.
- 95 Compare A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 37. If spatial plans could have regulatory effect and impact directly on property interests, there would need to be a much stronger role for the courts.
- 96 In the event of a cross-regional planning exercise. Regional unitisation should reduce tensions and misalignment between the land use planning preferences of regions and districts. See generally K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017) at 3.
- 97 Compare the reasonably wide involvement of various parties in the development of the Auckland Plan.
- 98 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 13.
- 99 Government of Ireland *Project Ireland 2040: National planning framework* at 163.
- 100 See Local Government Think-Tank *Submission to the Governance and Administration Committee on the Local Government (Community Well-Being) Amendment Bill* (24 May 2018); Local Government New Zealand *Transforming the resource management system: Opportunities for change – Local Government New Zealand's submission on the issues and options paper* (February 2020).
- 101 Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system* (2010) at 10.
- 102 B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019) at 38.
- 103 NPS on Urban Development Capacity at 15. This kind of provision occurs many times throughout the NPS, despite containing only 6 pages of policies.
- 104 Government of Ireland *Project Ireland 2040: National planning framework* at 160-168. Some have recommended that regional spatial plans be consistent with a new government policy statement, rather than a separate national spatial plan: see A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 42; Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system* (2010) at 27.
- 105 G Palmer "Ruminations on the problems with the Resource Management Act 1991" (Speech to the Local Government Environmental Compliance Conference, 2015).
- 106 There was significant political controversy and conflict between Auckland Council and central government over the application of the Housing Accords and Special Housing Areas Act 2013. For a detailed account of the history and background to the Act see L Murphy "The politics of land supply and affordable housing: Auckland's housing accord and special housing areas" (2016) 53(12) *Urban Studies* 2530.
- 107 See Auckland Council *Submission to the New Zealand Productivity Commission's using land for housing issues paper* (2015) at 5. As mentioned earlier, there is also a need to address potential land banking and monopoly issues with sequenced release, such as a tax on undeveloped land.
- 108 See generally B Livesey *Opening the heart of a (post) colonial city: Histories, icons, and spatial structure in the city of Hamilton, Aotearoa NZ* (2016); Future Proof *Submission to the Resource Management Review Panel's 'Transforming the resource management system – Opportunities for change – Issues and options paper'* (December 2019).
- 109 See Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 28, 38.
- 110 See for example *Greenpeace of New Zealand Incorporated v The Minister of Energy and Resources* [2012] NZHC 1422 (HC); *Waikato Tainui Te Kauhanganui Inc v Hamilton City Council* [2010] NZRMA 285 (HC); *The New Zealand Māori Council v The Attorney General* [2012] NZHC 3338 (HC).
- 111 For example, see Waitangi Tribunal *Ko Aotearoa tenei: A report into claims concerning New Zealand law and policy affecting Māori culture* (Wai 262, 2011). See also Papa Pounamu *Submission on the comprehensive review of the resource management system and draft terms of reference of the Resource Management Review Panel* (September 2019). The need for a partnership approach has been acknowledged in the *Kāinga Ora – Homes and Communities Act 2019*.
- 112 Acknowledgement: Deidre Koolen-Bourke.
- 113 Waitangi Tribunal *Report on the Manukau Claim* (1985).
- 114 *Gavin H Wallace Ltd & Ors v Auckland Council* [2012] NZEnvC 283.
- 115 A more detailed discussion of the history and issues at Ihumātao can be found in T McCreanor, F Hancock and N Short "The mounting crisis at Ihumātao: A high cost special housing area or a cultural heritage landscape for future generations?" (2018) 6 *Counterfutures* 139.
- 116 Human Rights Commission *International human rights perspectives on Ihumātao* (2019).
- 117 *Betty King v Heritage New Zealand Pouhere Taonga* [2018] NZEnvC 214.

11. AN URBAN DEVELOPMENT AUTHORITY MODEL: THE URBAN DEVELOPMENT ACT

11.1 Introduction

There have been many efforts to address urban resource management issues in the past few years. Among the more significant and persistent ideas has been the establishment of a publicly owned urban development authority with special planning and consenting (and other) powers.

In 2019 a single, national level statutory urban development authority was established in New Zealand (Kāinga Ora – Homes and Communities).¹ More recently, separate legislation – the Urban Development Act – was passed to confer special development powers on Kāinga Ora.² This chapter focuses primarily on critiquing that significant legislation and its relationship with the RMA (and, by extension, its replacement: the Environmental Stewardship and Planning Act).

The basic idea of an urban development authority is that a publicly owned entity – potentially in partnership with the private sector – can master plan, fund and deliver large-scale (eg neighbourhood level) urban development that the private sector may be unable to do on its own due to scale, financial limitations, or regulatory constraints. The authority is there only to push through a development. Its role comes to an end once a project is complete (ie things return to “normal” settings). In New Zealand this is, above all, a response to the housing crisis.³ An urban development authority would be empowered to free up land and build new housing to increase supply at affordable price points.

To help it in this role, an authority can be given powers to cut through existing laws and regulations (eg for the compulsory acquisition of land, or for streamlined decisions on plans and consents), and to integrate aspects of planning and development that are otherwise fragmented (eg decisions about land use, investment in infrastructure, reconfiguring roads and reserves, etc). The model is therefore another way of addressing the coordination issues discussed in Chapter 10. It also aligns actual development *activities* with regulatory land use decisions and infrastructure investment. Kāinga Ora would not just create policies, rules and zones; it would also design a new built form and put shovels in the ground. But instead of land and infrastructure decisions being coordinated at a general, regional level using strategic spatial plans (outlining where and when growth and change should occur), the model aligns those things on a project by project basis.

Urban development authorities have been used overseas with some success, notably in regenerating former industrial land,⁴ but they have also been subject to criticism for being undemocratic and undermining community wishes. The basic concept is also not new to New Zealand. In fact, several authorities already exist,

notably in the form of CCOs (eg Panuku Development in Auckland). A big part of these entities’ purpose is to provide coordinated development. For example, Panuku aims to:⁵

contribute to the implementation of the Auckland [spatial] Plan and encourage economic development by facilitating urban redevelopment that optimises and integrates good public transport outcomes, efficient and sustainable infrastructure and quality public services and amenities.

The Hobsonville Land Company is another example of a publicly owned urban development authority that has been responsible for delivering a new neighbourhood on a former Defence Force base at Hobsonville Point in Auckland.⁶

However, these entities do not have special powers under the RMA or other legislation, and do not operate across the whole country. Kāinga Ora’s mandate and new statutory powers therefore create something quite different. The agency now has the ability to override planning restrictions under the RMA, plan, fund and build infrastructure, and assemble parcels of land for development, including through compulsory acquisition.

The basic idea of an urban development authority is that a publicly owned entity can master plan, fund and deliver a large-scale urban development using special powers, after which the area reverts to “normal” settings. The Urban Development Act endows an existing government entity (Kāinga Ora – Homes and Communities) with such powers.



The Urban Development Act contains positive aspects, and we see a place for an urban development authority model in a future system. In particular, it is positive that central government will have an active role in development activities to provide housing and catalyse urban renewal.

Powers to acquire land compulsorily will be intensely controversial (especially without offer back rights) and will require robust safeguards. But we think that some powers will be useful to achieve the regeneration of complex brownfields sites at scale.

11.3 Issues with the Act

Despite some positive aspects, we have significant reservations about other elements of the Urban Development Act. Notable among these concerns is its relationship with the RMA, and the implications of this for urban environmental outcomes. Our concerns are mostly about the ability to ride roughshod over the RMA once “specified development projects” are established.

Once a specified development project is put in place, Kāinga Ora has wide ranging planning, consenting and other powers in order to achieve development at pace and scale. It is tasked with producing a “development plan” that can override the RMA in many respects. At present, powers are wide ranging and risk treating many essential environmental safeguards as obstacles to be overcome rather than protections to be maintained.¹⁷ Perhaps most importantly, the role of Part 2 of the RMA is undermined.

11.4 Relationship with Part 2 of the RMA

The purpose and principles in Part 2 the RMA contain important normative directions for environmental wellbeing. Section 5 contains various biophysical bottom lines,¹⁸ and section 6 contains matters of national importance that must be recognised and provided for. Under a new Environmental Stewardship and Planning Act (see Chapter 6), a new set of principles would do much more than the RMA in recognising the importance of positive social outcomes in urban areas (including those relating to housing affordability, urban renewal, and the benefits of density). But its principles would also contain much clearer environmental limits with which any development would be required to comply, and to which all other principles would be subject. It is crucial that these are not overridden by bespoke legislation like an Urban Development Act.¹⁹ We cannot countenance carve outs to environmental bottom lines.

At present, the Urban Development Act takes a novel and relatively complex approach to how Part 2 of the RMA applies. Its purpose, which looks quite different to that of the RMA (and does not cross-reference to it), is: “to facilitate urban development that contributes to sustainable, inclusive, and thriving communities.”²⁰ In one

sense, this difference is to be expected given that it covers broader territory (eg infrastructure funding, reserves, roading powers etc) well beyond that of the RMA. It is also quite understandably about *driving* urban development, not just managing its adverse effects or enabling people to provide for their own wellbeing.

Although the Urban Development Act’s purpose does not refer to the RMA, a link to Part 2 can be found later on. Thus, section 5 reads (with our emphases):

5 Principles for specified development projects

- (1) In achieving the purpose of this Act, all persons performing functions or exercising powers under it in relation to specified development projects, or urban development projects selected or assessed as potential specified development 5 projects, **must**—
 - (a) have particular regard to providing, or enabling,—
 - (i) integrated and effective use of land and buildings; and
 - (ii) quality infrastructure and amenities that support community needs; and
 - (iii) efficient, effective, and safe transport systems; and
 - (iv) access to open space for public use and enjoyment; and
 - (v) low-emission urban environments; and
 - (b) **promote the sustainable management of natural and physical resources** and, in doing so,—
 - (i) recognise and provide for the matters in section 6 of the Resource Management Act 1991; and
 - (ii) have particular regard to the matters in section 7 of that Act; but
 - (iii) recognise that amenity values may change.
- (2) In this section, **sustainable management has the same meaning as in section 5(2) of the Resource Management Act 1991.**

Effectively, this provision requires that people exercising powers and functions must do two quite separate things:

1. promote sustainable management (essentially, the same direction as under the RMA, with the rider that current “amenity values” are not presumed to be best);
2. have particular regard to several additional matters that are not explicitly recognised under the RMA (eg the provision of infrastructure).

There is no express clarification of the relationship between sections 5(1)(a) and 5(1)(b). Presumably this has been seen as unnecessary because the direction

contrasted with section 66 of the RMA, which states that a regional council *must* change a plan in accordance with national direction.

The strength of national direction relative to other instruments is also significant. While the Urban Development Act provides that a development plan must “not be inconsistent” with national direction under the RMA, section 26 of the already existing Kāinga Ora – Homes and Communities Act provides that Kāinga Ora must “give effect to” the Government Policy Statement on Housing and Urban Development when performing its functions. That instrument is focused firmly on development priorities,²⁸ and (aside from some positive references to climate change) does not refer to environmental matters or link well to the RMA or transport legislation. This creates potential tensions and inconsistencies, which seem likely to require litigation to resolve.

Aside from the substantive risks this creates for environmental protections, it further highlights the general lack of cohesion between policy documents at the highest level in our system. It reinforces the need for a proper strategic spatial planning framework. Even provisions relating to the purpose of the GPS on Housing and Urban Development are not connected to the objectives set out for Kāinga Ora under the Act. Several agencies have highlighted this deficiency and the need to align the objectives of the framework more closely.²⁹

At least to the extent that a development plan overrides or amends RMA planning instruments, we recommend that those exercising powers and functions *give effect* to national direction. The GPS on Housing and Urban Development should be expressly subordinate to the need to give effect to national direction under the RMA. In a future system, there would be a much clearer identification of environmental limits, and these would need to be “complied” with in the same way as any other planning or development body.

The position of national direction under the Urban Development Act is not strong enough. We do not see any compelling reason to change the direction to “give effect” to it, as is the case under the RMA, particularly in light of the development-oriented purpose of the Act and Kāinga Ora’s stronger obligation to give effect to the GPS on Housing and Urban Development.

11.6 Regional functions

Under the Urban Development Act, development plans are able to override, add to, or suspend the whole or part of “any planning instrument that applies to the project area”.³⁰ If there is any inconsistency, a development plan prevails over another instrument.³¹ The general reason given for this is to overcome “planning constraints” on urban development. However, the concept of planning constraints has been treated as an alarmingly broad

one. Although it is not particularly obvious on the face of the Act, this in practice allows for a development plan to override or change regional policy statements, regional plans, and district plans. District plans largely deal with land use and subdivision controls, whereas regional plans largely address what some may see as more “environmental” issues in the sense of pollution and common pool resources like air, freshwater and the coastal marine area.³²

This is a significant power, and in our view goes well beyond what is necessary to address urban development issues (eg allowing changing amenity values or overcoming Nimby resistance to densification). Thus while we consider that a development plan should be able to amend district plan provisions to provide for quality development at pace and scale, we do not see a compelling case for a development plan to have the ability to override regional plans or anything other than the land use components of regional policy statements.³³ Legitimate environmental protections are not “planning constraints” to be weakened. Elsewhere in the Act (where Kāinga Ora expressly does not have ongoing jurisdiction over regional consenting once a development plan takes effect) it is recognised that a development-oriented entity should not also have regulatory powers in relation to environmental protections.³⁴ That should apply equally to regional planning functions.

The environmental risks associated with the power to override regional instruments are exacerbated by the lack of a role for regional councils in the project establishment and planning process. While territorial authorities do not have an absolute right of veto (national interest considerations can still override any opposition), they are anticipated to be closely involved in “partnership” with Kāinga Ora and must be invited to express support or opposition to a proposal.³⁵ They are also invited to nominate a representative for the project’s governance body if supportive of a proposal.³⁶ Regional councils are not extended the same opportunities, and are only consulted as key stakeholders.³⁷ The legislation seems to assume that the interests and therefore involvement of local government in urban development are associated mainly with infrastructure responsibilities, the provision of amenities, and land use jurisdiction, but not issues to do with the natural environment in urban areas. Effectively, the environmental mandate of regional councils under the RMA seems to be viewed as a roadblock to be overcome rather than a set of functions to contribute to sustainable urban development.

Furthermore, the weak role of regional councils does not recognise the importance of what is often strong regional level interest in economic development, flood protection and natural hazards management, and spatial planning for urban growth. Regional councils are not just environmental regulators that operate in the countryside. They have a broad focus across their regions and are often well-placed to consider the bigger picture impacts of urban development patterns. In Chapter 8 we proposed a shift towards regional unitary authorities, and

on commercial purposes rather than just housing or more holistic urban regeneration.

It is particularly worrying that the concept of an “urban” development does not clearly exclude the use of centralised powers to progress things like large-scale port developments, energy facilities, or other industrial projects. Much stronger constraints are needed regarding where and why projects can be established in the first place if the Act is not to become a subtler reincarnation of the much maligned National Development Act of the Muldoon era.

The urban development authority model is not a proper alternative to a framework for regional level spatial planning. The legislation should be used as a way to implement a spatial plan rather than override it. Stronger safeguards are required around where and why project areas can be established.

11.8 Concluding comments

Although it adds a layer of complexity (including burdening New Zealand’s statute book with a couple of hundred extra pages filled with a web of legislative cross-references),⁴⁵ bespoke urban development legislation has positive features and could usefully have a place in a future resource management system. However, it

should categorically not be seen not as a way to weaken environmental protections or “get around” other parts of the system. Instead, it should be seen as a way for development to be done faster in ways that safeguard and actively *improve* environmental outcomes. It has not been adequately established that the purpose and principles of the RMA as a whole – and the wide range of crucial environmental protections they embody – are barriers to good urban outcomes that somehow need to be overcome. Special powers under the Urban Development Act should be targeted at core problems like overcoming nimby objections to urban change and density in district plans.

Furthermore, the rationale for wide ranging planning and consenting powers – essentially, a carve out from the RMA – will become much less compelling in light of more systemic reforms described in earlier chapters. These include a more urban-focused set of principles in a new Environmental Stewardship and Planning Act, a more agile planning process, and a framework for regional spatial planning. To us, the real benefit of the legislation is as a tool to *implement* the vision in a regional spatial plan at scale (and within the constraints of environmental limits). That will be particularly valuable in brownfields areas that have complex issues, fragmented ownership, and pose excessive risks to smaller-scale private developers. It should not be used as a substitute for more systemic resource management reforms, or a way to get around an under-performing RMA.



12. FROM URBAN PLANNING TO SYSTEMIC REFORM

12.1 Introduction

Over the course of this report, we have focused on the core framework of legislation needed for a resource management system that is fit for purpose in urban areas. At the centre of this would be a new Environmental Stewardship and Planning Act, which would be closely linked to frameworks for local government, infrastructure and climate change. It would be presided over by integrated spatial planning at a regional and cross-regional scale.

However, we reiterate that urban areas and concerns are not isolated from the wider context of reform. In many respects, it does not make sense to speak of urban reform at all – most issues are systemic and require a holistic view of our society and environment. As demonstrated in Phases 1 and 2 of the project, we need to think about the big picture and pursue fundamental changes across the board to create a sustainable, inclusive and prosperous New Zealand. Our cities are a big part of that, but not the only part.

We do not delve into this in detail here, as it strays beyond a purely urban focus. However, we think systemic reforms could include the following measures.

12.2 A Future Generations Act

In Chapter 10, we discussed spatial planning and signalled that this should occur in a separate, overarching statute: a Future Generations Act. We envisage that this legislation, and new institutions at its heart (eg an independent Futures Commission)¹ would also have a more far reaching role. It would be a sort of resource management constitution, and at its heart would be a legislated recognition that all human activity and policy must occur within biophysical boundaries. A Futures Commission, established under the Act, would inject strong independence into decision-making that has inter-generational impact, while retaining the ability for governments to pursue their democratic mandates. This could reflect a similar “Future Generations Commissioner” as established in Wales.² More specifically, this framework would:

- Provide a set of high-level inter-generational objectives that would be mandatory considerations for all public decision-making (including proposals for legislative change), not just decisions taken under specific statutory frameworks like the RMA or infrastructure investment legislation.³ The OECD has pointed out that the current system in New Zealand lacks a robust framework for objective setting and associated reporting and accountability frameworks;⁴ it does not embed a vision for where we want New Zealand to go. Carbon neutrality (stronger than just meeting international

obligations), resilience to harmful change, environmental security and zero waste should be prominent. Under Canada’s Environmental Protection Act, for example, there are general duties for the government to proactively “exercise its powers in a manner that protects the environment and human health”, and to “take preventive and remedial measures to protect, enhance and restore the environment”, among other things.

Objectives should guide the expenditure of public money and investment choices, building on the living standards framework underpinning recent “wellbeing” budgets. In Sweden, for example, the government’s Budget process is informed by a set of environmental objectives and targets set by Parliament.⁵ In New Zealand, the Public Finance Act (governing the government’s Budget process) can already support strong consideration of inter-generational environmental wellbeing (not just fiscal considerations) and this should be strengthened through reference to explicit principles in a Future Generations Act.⁶ The enormous amount of inter-generational debt being amassed in the response to Covid-19, particularly in and around cities, makes this even more important (see Chapter 4).⁷

The Act as a whole could also be underpinned by powerful guiding principles that, for example, make clear the natural world as a whole has “the right to exist, persist, maintain and regenerate its vital cycles, structure, functions and its processes”.⁸ It could usefully be worded in a way that reflected the intersection between te Ao Māori and Western perspectives, building upon ideas like te Mana o te Taiao. Common principles at the highest level of the system should help ensure that different pieces of legislation do not pull apart or become misaligned over time, because they would also apply to decisions for legislative change (see the spotlight below).



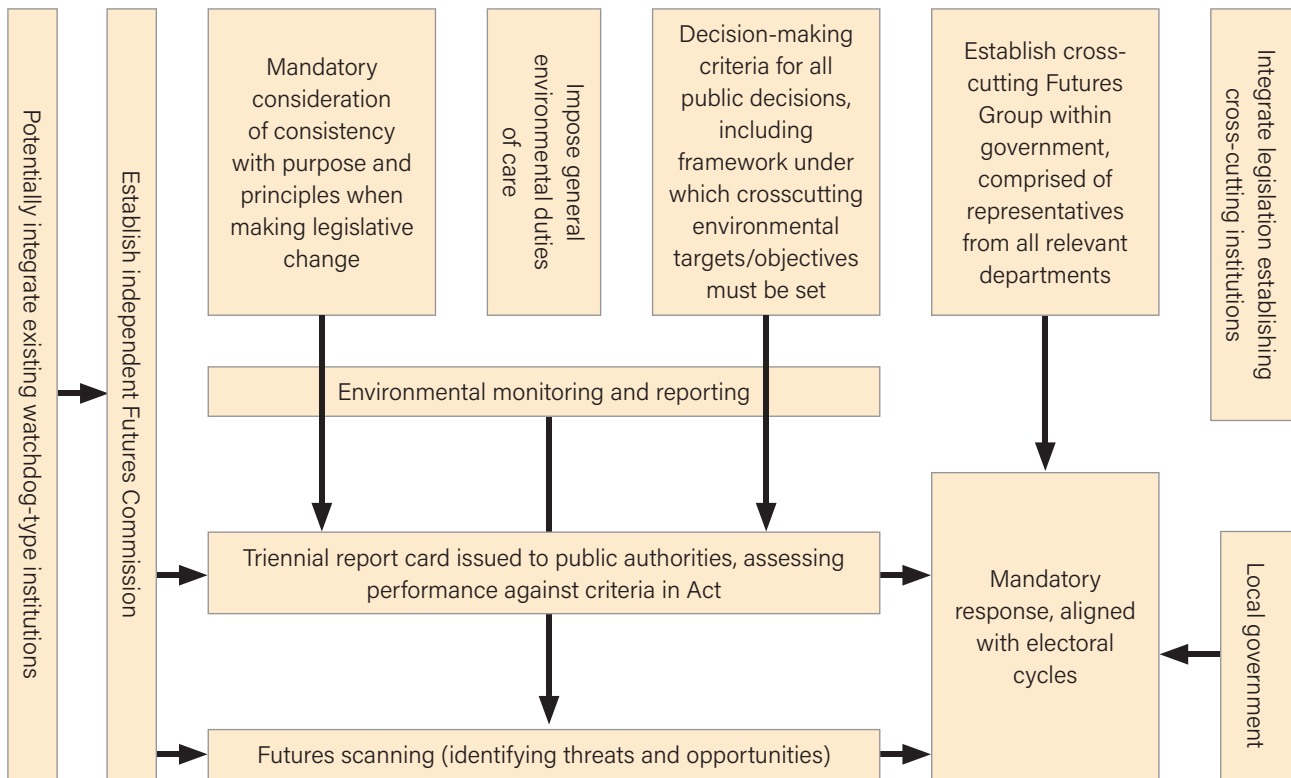


Figure 12.1: Decision-making principles and duties under a Future Generations Act



12.3 A circular economy

A lot of waste is generated in urban areas, including through construction and manufacturing. But a city that cannot deal with its waste is not a sustainable one, and we need to be aiming for truly zero waste settlements by implementing a circular economy across New Zealand. That is beyond the reach of urban planning frameworks like the RMA. The generation of waste from land uses is seen as an effect on the environment that is too “remote”.³² This creates issues much further down the supply chain, in that we are forced to accommodate rather than prevent waste.

While the principle of a circular economy should be built into a Future Generations Act at the highest level, it also requires the strengthening of specific tools within the Waste Minimisation Act (greater government funding, cradle to grave product stewardship schemes, prohibited products, the production of alternatives, and creative incentives for recycling and reuse).³³ In particular, there is a widely recognised need to scale up our domestic recycling sector to become self-sufficient.

A future resource management system needs to travel much faster towards an aim of a circular economy and zero waste, including in cities.

12.4 Economic and behavioural incentives

As explored in Chapters 4-8, it is vital to have strong regulatory frameworks for urban planning. However, it would be unwise in a future system to rely only on regulation. Urban outcomes can often be realised more effectively – or further enhanced – by engaging with people’s incentives.³⁴ This is particularly the case where the imperative is to improve things rather than just prevent further harm (it is harder to *make* people do things than to stop them doing things). We need to think hard about changing underlying economic and social pressures, not just strengthening the regulatory system that needs to respond to them (although the former is not a replacement for the latter).³⁵ As such, in the Phase 2 report we recommended:

- Greater use of “green” taxes to influence people’s behaviours (eg feebate schemes, congestion charging, pollution taxes). Green taxes can be used to raise revenue too, supporting the imperative to fund complementary measures to improve environmental wellbeing in cities, or addressing the shortfall in funding for environmentally sustainable urban infrastructure (see Chapter 9). The Tax Working Group shared this sentiment, calling for a “profound change to existing patterns of economic activity” through the tax system.³⁶ As explained in the Phase 2 report, this will likely require considerable changes to existing legal frameworks like the RMA and local government legislation (which do not clearly authorise such taxes),³⁷ but

alongside the planning system could play a major role in reducing the environmental impact of cities.

- More positive financial incentives, such as making urban environmental restoration activities tax deductible,³⁸ providing tax exemptions for public transport,³⁹ and tax/rates rebates for the inclusion or retrofitting of green building measures (see Chapter 9). Government subsidies could also be deployed in a more systemic fashion for activities that enhance the urban environment (eg for ecosystem services), including through independently managed funds that are capitalised through green tax revenue, and through competitive processes where funding is provided to those who cause most improvement per dollar.⁴⁰ Green spending is also prudent from a financial perspective if a longer-term view is taken. The New Zealand Green Investment Finance initiative (a \$100 million green investment fund tasked with co-investing in projects or companies providing a pathway to a lower emissions economy) is a positive move and could be expanded, both in terms of its size and its environmental aims to catalyse rather than subsidise private sector initiatives.
- A gradual shift in our underlying tax base towards an environmental footprint tax, which would tax people according to their impacts on the environment.⁴¹ This could do much more than just internalise negative externalities. It would also incentivise urban residents to actively enhance environmental outcomes on their own property to minimise their tax burden, through (for example) indigenous planting, roof, rain or vertical gardens, and green building design features.⁴² While many details of an environmental footprint tax would need to be worked through,⁴³ to some extent this could shift tax away from productive activities (through reductions in income tax).

Tax incentives are particularly important in cities; we need to be careful that strong financial incentives for urban councils to fund adequate growth infrastructure (eg through a local portion of GST, discussed in Chapter 9) would result in the kind of growth that encourages environmental restoration and not just economic productivity gains at the expense of the environment. The idea is that private decisions about whether (and how) to undertake an activity would be influenced by environmental considerations from the outset, reducing the economic pressures that constantly seek to erode regulatory environmental limits through the political system. At present, tax settings encourage the depletion of natural capital, so regulatory responses are forced to fight a rearguard action against overwhelming private incentives or are simply left to mitigate the fallout. Some have even said that the current economic system is “pathologically incompatible” with the ecosystems that ultimately sustain it.⁴⁴ The Tax Working Group also recommended close consideration of a tax framework based on an environmental footprint or natural capital.⁴⁵

12.5 From system reform to an open conversation

The above measures highlight the importance of focusing on both regulatory planning statutes *and* engaging with non-regulatory tools if we want to improve urban – and New Zealand wide – outcomes. Transformation requires change on many fronts, some of which is urgent. However, much will come down not to the resource management system, but to the kinds of values that emerge from nationwide conversations between all New Zealanders. Some of these conversations will be extremely difficult, but momentum is growing as we enter a new post-Covid 19 phase.

For example, it is far from ideal that the size of our urban populations is a topic that is often brushed under the carpet. How big do we really want Auckland to get? Would we *have* to choose between productive land and housing, if we stopped growing so fast? Do we want to see the continued decline of rural communities? Would we want a New Zealand of 10 or 20 million people, most of them in ever-expanding cities?⁵³ And what risks would all of the above pose to health, environment and security outcomes? There is often an underlying assumption that as a nation we have little ability to control or direct demand through the resource management system, and we simply have to somehow accommodate population pressures.⁵⁴ Any suggestions to the contrary can easily descend into heated arguments around migration, xenophobia and the almost heretical idea that we can live prosperous and happy lives without endless economic growth (often seen to be fuelled by population growth). Is it time to have an open conversation about such things? Some certainly think the time has come, and that “we need to have an evidence-based and forward-looking discussion about what a population policy or plan (or direction) might look like for New Zealand.”⁵⁵

We cannot, obviously, tell people where to live. And we cannot tell people how many children to have. We are, and will continue to be, a liberal democracy. And natural population increase is, indeed, much less of a concern in New Zealand than elsewhere in the world, where living standards are lower and family planning practices are less developed. Yet the question is legitimate; over half of Auckland’s projected population growth over the next few decades is anticipated to come from internal migration and birth rate, and this will cause significant costs and risks.⁵⁶ And discussions about demography and density, and our ability as a nation to be self-sustaining in terms of food supply and other essentials, are now much more at the forefront of policy questions in light of Covid-19. How can we expect to make sensible decisions about protecting elite soils when we have no real plan for population that it may be required to support, especially in light of the uncertainties created by climate change and the potential for pandemics that may render ourselves more isolated from the rest of the world and in need of self-reliance? Simply because technology and globalisation have overcome problems of food supply, population growth and consumption in the past does not mean this will solve all our problems in the future.⁵⁷ Such conversations could be carefully framed within the development of a population

policy by an independent Futures Commission.⁵⁸ We could look to Ireland for inspiration, where a national planning framework has objectives outlining specific desirable population distributions, linked to employment targets, across different parts of the country (“Southern Region: 340,000 - 380,000 additional people, ie a population of almost 2 million”).⁵⁹

Conversations about consumerism and perpetual economic growth may prove even harder to have. New Zealanders – including in large and growing cities – use vast amounts of resources. But we live in a society that constantly tells us to want more and that we deserve the latest shiny thing (“if you have a problem, you probably need more stuff; and in order to have more stuff, you must produce more of it”).⁶⁰ We often remain sceptical of environmental warnings until it is too late to prevent them (at which point we search for technological solutions), and there is a strong deference to private property rights even where significant cumulative harm is socialised across all New Zealanders and the natural world. The desirability of growth is instilled into our daily lives, as if endless increases in resource exploitation and consumption are both possible and necessary if we are to avoid collapse. Yet we are reaching the limits of our model for economic growth, and collapse may be the *result*.⁶¹ The reality is that more people, and constant expectations for higher standards of living, is putting increasing strain both on the resources we need and the environment that must receive our waste. We need a different way of thinking;⁶² to reject the notion that endless growth in GDP terms, population, or urban expansion is possible or desirable, or that anything else is considered to be failure; and to reject the idea that technology will always come to our rescue just in the nick of time. As one author has noted:⁶³

We will never reach a moment when capitalism says: ‘That’s it. Enough growth. We can now take it easy’ [and]

Who knows if science will always be able to simultaneously save the economy from freezing and the ecology from boiling. And since the pace [of growth] just keeps accelerating, the margins for error keep narrowing. If previously it was sufficient to invent something amazing once a century, today we need to come up with a miracle every two years.

There is also the much broader, but even more significant, question of how we become a fairer society by shrinking the difference between the haves and the have nots. Nowhere is this more obvious than in large cities, where those with fewer means will be increasingly forced out of gentrifying areas, out of home ownership, or even out of housing altogether. We can tinker endlessly with interest rates, subsidies for first home buyers, loosening land use restrictions, construction costs and so on, but for many this will still not be enough. There is an underlying gulf developing between those who are growing richer, and those who are growing poorer. Accepting the need to stabilise rather than accelerate economic growth because of constraints on our resource base – limiting the size of the pie – will force difficult questions about how we might redistribute that pie.

ENDNOTES

- 1 This has been described in previous chapters (Chapters 7, 8 and 10 in particular) in terms of its role in reviewing national direction, regional combined plans, and spatial plans. We acknowledge that there is potential overlap here with the role of the Parliamentary Commissioner for the Environment (in its general investigative and advisory function, and its review role). Indeed, the new, more structured roles outlined here could be given to an expanded version of that institution *instead* of a Futures Commission.
- 2 Who acts as a guardian for future generations in Wales, and is also tasked with encouraging public bodies to take greater account of the long-term impact of the things they do.
- 3 Care would need to be taken that principles and duties in a Future Generations Act did not override the more targeted, legally binding criteria applied by other frameworks for specific decisions (eg the grant of resource consents under an Environmental Stewardship and Planning Act).
- 4 OECD *Environmental performance review – New Zealand* (2017).
- 5 M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) *Policy Quarterly* 32 at 35.
- 6 Ibid, at 37. A number of changes are being made to the Public Finance Act through the omnibus Public Service Legislation Bill (to be split into a separate Public Finance Amendment Act), but these do not extend to transformational reform.
- 7 See, for example, <www.stuff.co.nz/environment/climate-news/121153649/green-energy-could-drive-covid19-recovery-with-165-trillion-boost> <www.climatechangenews.com/2020/03/23/governments-urged-attach-green-strings-long-term-coronavirus-recovery-plans/> <www.climatechangenews.com/2020/03/27/green-bailouts-climate-weekly/> <www.climatechangenews.com/2020/04/17/citizens-assemblies-climate-change-seek-shape-post-covid-recovery/>
- 8 Compare Ecuadorian Constitution, art 71. The Canadian Environmental Protection Act 1999 begins with a declaration: "It is hereby declared that the protection of the environment is essential to the wellbeing of Canadians...". It is followed by a powerful preamble in which the whole government commits itself to action.
- 9 The Act could, for example, provide mechanisms to clarify expectations of how Crown and Māori would work together under other frameworks.
- 10 New Zealand Productivity Commission *Local government insights* (2020) at 25; Ngā Aho and Papa Pounamu *Review of "Better Urban Planning" draft report* (2016) at 11.
- 11 To "take into account the principles of the Treaty of Waitangi" (s 8).
- 12 To "take appropriate account of the principles of the Treaty of Waitangi" and to "improve opportunities for Māori to contribute to local government decision making processes" (s 4).
- 13 To "give effect" to the principles of the Treaty (s 4).
- 14 To "take appropriate account" of the principles of the Treaty and "to maintain and improve opportunities for Māori to contribute to land transport decision-making processes" (s 4).
- 15 To "give effect to the principles of the Treaty of Waitangi" (s 3A).
- 16 To "uphold the treaty of Waitangi and its principles" among other more specific requirements (s 4).
- 17 New Zealand Productivity Commission *Low emissions economy* (2018) at 224.
- 18 P Gluckman and A Bardley *The future is now: Implications of Covid-19 for New Zealand* (Kōi Tū Centre for Informed Futures, April 2020) at 3.
- 19 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 46; World Economic Forum *The global risks report 2018* (World Economic Forum, 2018); J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011).
- 20 Well-being of Future Generations (Wales) Act 2015 (UK), ss 2, 3(1).
- 21 Government of Ireland *Project Ireland 2040: National planning framework* at 12.
- 22 One commentator has recommended that the Department of Internal Affairs act as lead system steward due to their focus on the local government system (New Zealand Productivity Commission *Local government insights* (2020) at 29) but we lean towards a truly cross-agency forum to recognise the interlinked nature of the resource management system across multiple tiers and portfolios of government.
- 23 M Foster and others *Report of the Minister for the Environment's Infrastructure Technical Advisory Group* (2010) at 38.
- 24 New Zealand Productivity Commission *Better urban planning* (2017) at 393.
- 25 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 3, 21. Compare *Report of the Biodiversity Collaborative Group* (2018) at 87.
- 26 A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 17.
- 27 <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>; Public Service Legislation Bill. For a focus on outcomes rather than "services", see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 34.
- 28 See Public Service Legislation Bill, cl 23 – cl 29. The Bill is pending its third reading at the time of writing. Alongside changes to the Public Finance Act, this will see the introduction of a Public Service Act to replace the State Sector Act 1988.
- 29 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 278-285; Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019), Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019) at 107-110.
- 30 *Report of the Biodiversity Collaborative Group* (2018) at 86.
- 31 It would be possible for this to occur within the existing framework of the RMA (ie in an Environmental Stewardship and Planning Act), but in our view a separate overarching statute would be more appropriate, given that it would be intended to flow down through multiple other frameworks. It would also do quite different things to what is currently done under the regulation-focused RMA.
- 32 *Te Rūnanga o Ngāti Awa v Bay of Plenty Regional Council* [2019] NZEnvC 196.
- 33 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 262-263.
- 34 Compare *Report of the Biodiversity Collaborative Group* (2018) at 86.
- 35 Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 41; T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 173.
- 36 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019). Compare OECD *Environmental performance review – New Zealand* (2017).
- 37 G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 270. See also Tax Working Group *Future of tax: Submissions background paper* (2018); T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018); S Bullen and others *The use of economic instruments for the control of air quality in Auckland: A scoping study* (Report prepared for the Auckland Regional Council, 2000); New Zealand Society of Local Government Managers *Rating knowhow: A guide to the Local Government (Rating) Act 2002* (2013); New Zealand Productivity Commission *Local government funding and financing* (2019) at 172.
- 38 Or to provide rates relief: see *Report of the Biodiversity Collaborative Group* (2018) at 98.
- 39 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 40 T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018); RTT Stephens, S Greenhalgh, M Brown and A Daigneault "Enhancing the tax system to halt the decline of nature in New Zealand" (2016) 12(1) *Policy Quarterly* 26.
- 41 See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 271-273; RTT Stephens "Economic instruments for environmental management" in G Severinsen and R Peart *Reform of the resource management system: The next generation: Working Paper 3* (2018).
- 42 Potentially even by offsetting the impact of one property (eg an apartment building) by enhancing values elsewhere within a city (an urban biobank of sorts). This might be necessary to encourage a compact urban form and increase the efficiency of environmental enhancement measures.
- 43 For example, if a tax is designed to change behaviour, then the prospect of people actually doing so has implications for the quantum and predictability of revenue raised. In other words, if the tax is successful then it would raise less money, which is not a good outcome where it is relied on to fund essential goods and services. And there are logistical challenges – for example, do we need some form of "ecological valuation day" to benchmark who pays what? And how do we monitor the environmental impacts of someone's land use? See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 273.
- 44 WE Rees "End game: The economy as eco-catastrophe and what needs to change" (2019) 87 *Real-World Economics Review* 132.
- 45 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 46 Compare generally *Report of the Biodiversity Collaborative Group* (2018) at 89.
- 47 V Southworth "Increasing the uptake of building-scale water sensitive urban design stormwater management options in Christchurch, New Zealand" (Masters thesis, University of Canterbury, 2019) at 131.
- 48 *Report of the Biodiversity Collaborative Group* (2018) at 95; Parliamentary Commissioner for the Environment *Taonga of an island nation: Saving New Zealand's birds* (2017).
- 49 G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019) at 163-165.
- 50 Ibid.
- 51 See K Raworth *Doughnut economics: Seven ways to think like a 21st-century economist* (2017).
- 52 <www.climatechangenews.com/2020/04/17/citizens-assemblies-climate-change-seek-shape-post-covid-recovery/>

APPENDIX 1: LIST OF RECOMMENDATIONS

The RMA should be replaced by an Environmental Stewardship and Planning Act

1. An integrated single statute – combining decision-making on land use and other aspects of the environment like water, soil and air – should remain at the heart of a future system managing our cities. Land use and the built environment are too intimately connected to other environmental domains to be considered separately. However, the RMA should be rebuilt in fundamentally different ways, including to address concerns that have led to calls to split the Act. Changes would be significant enough to create something entirely new, not just another RMA amendment: an Environmental Stewardship and Planning Act.

The normative foundations of an Environmental Stewardship and Planning Act should be different

2. The resource management system in cities should be based on a broad rationale (pursuit of the public interest) rather than a narrow one (the internalisation of externalities).
3. The reactive, market-led ethos of the RMA should be replaced by one that is focused on the proactive pursuit of positive outcomes, including environmental enhancement.
4. A new purpose and principles for an Environmental Stewardship and Planning Act should specifically embrace a range of principles for good urban planning and design that are not just about addressing the adverse effects of proposals.
5. New principles should more clearly encourage solutions that have synergies for social, cultural, economic and environmental wellbeing (including compact urban form).
6. A comprehensive and coherent range of biophysical environmental limits needs to be much more clearly defined, required and defended in a new Act's purpose and principles. All other principles need to be expressly subject to the achievement of those.
7. Climate change mitigation and a link to the targets and budgets of the Climate Change Response Act need to be strongly recognised within the purpose and principles of an Environmental Stewardship and Planning Act.

National direction under a new Act needs to be more comprehensive, coherent and mandatory for some matters

8. Central government should be required to promulgate a comprehensive range of national direction that gives effect to the purpose and principles of a new Environmental Stewardship and Planning Act, including in cities. This would mean that matters identified as being of national importance then have an expectation of at least some national response (which might take the form of policy, regulation or both).
9. There should be a clearer definition of subsidiarity in a new Act, outlining the reasons for which central and local government are expected (or required) to act.
10. A coherent suite of national direction should be contained within a single instrument: a National Environment Plan. Links and hierarchies between policies should be made clear, including those for environmental protection and enhancement (eg biodiversity targets) and urban development/urban development capacity.
11. A National Environment Plan should specifically identify the environmental limits required under a revised legislative purpose and principles, including how they are to apply in urban areas. Provisions setting out environmental limits should have different (dominant) status to others.
12. Mandatory targets – and not just for development capacity – should be embedded into national direction to form a consistent and coherent package.
13. Reflecting the scope and orientation of a revised purpose and principles, national direction should provide for a much wider range of good urban planning principles and synergies between social, economic and environmental wellbeing.
14. There needs to be a strong link between national direction and the aspirations for climate change mitigation and adaptation embedded in the Climate Change Response Act.
15. The process for developing and changing a National Environment Plan should involve a collaborative approach between central government, local government and Māori.

Consenting settings should be reformed in a variety of ways

32. A future system should provide greater predictability of outcome in advance through environmental standards and clear policies in plans, rather than relying on the discretionary weighing of general and potentially conflicting policies through a string of consenting decisions.
33. Environmental limits defined in a revised Act would need to be translated into regulatory limits, associated more strongly with prohibited activity status, moratoria or common mandatory consent conditions.
34. Appeal rights to the Environment Court in the consenting context provide valuable independent oversight of first instance decision-making. In our view, the risks of removing appeal rights outweigh the benefits.
35. An independent, publicly funded Environmental Defender's Office should have standing to appeal councils' notification decisions to the Environment Court.
36. A new notification status should be introduced whereby applications are notified and submissions invited, but where hearing and appeal rights do not follow automatically.
37. Consenting functions could usefully be removed from elected councillors and placed instead, alongside council staff, with commissioners selected from a nationally accredited pool.
38. There should be a strengthened role for the EPA in consenting where there is a national interest.
39. A future system could usefully provide for an integrated permitting process (a "project consent") for complex or nationally significant projects, which would align permitting process under multiple statutes.
40. Reforms should be made to compliance monitoring and enforcement settings (as outlined in the EDS Phase 2 report).¹
41. Consent authorities should be compelled to make decisions that are, at minimum, "consistent" with national direction.
42. While some improvements to the regime for designations may be possible (such as removing default lapse periods) we see most merit in pursuing a regional spatial planning framework to address complaints about poor coordination of land use and infrastructure decision-making.

We need a new approach to urban infrastructure planning and funding

43. The Local Government Act, Land Transport Management Act and other infrastructure-focused legislation should be merged into a single Local Government and Infrastructure Act.
44. The purpose and principles of a new Local Government and Infrastructure Act should retain the four wellbeings that are at the heart of the existing Local Government Act. However, they should also more clearly embrace the need to meet environmental and climate change targets, the need to make choices that achieve synergistic outcomes and a vision that aligns with a revamped purpose and principles of a new Environmental Stewardship and Planning Act (including principles of good urban design).
45. Central government should have a stronger role in the planning, funding and provision of essential intergenerational urban infrastructure beyond just transport. This includes three waters infrastructure.

Institutional arrangements for infrastructure – particularly three waters – should be shaken up

46. Jointly owned CCOs should be deployed at a regional level for the planning, funding and delivery of drinking water and wastewater infrastructure and services.
47. A CCO model should be adjusted by allowing for/requiring the Crown to be a partner in these organisations alongside local government, with a corresponding degree of capital investment (and control).²
48. A dedicated, independent regulator for water services is a good idea, and Taumata Arowai has recently been established by specific legislation to fulfil this function. This entity could be folded into a strengthened EPA to avoid adding complexity to the system, especially if Taumata Arowai were to take on a stronger role with respect to environmental standards for wastewater and stormwater as well as drinking water.
49. An economic regulator should be established, with responsibility to ensure that investment levels and pricing are both sufficient and fair, and that a long-term and public-interest perspective is being taken.
50. A future system should see a continuation of a partnership approach to land transport between central government (particularly the NZTA) and councils (to be regional unitary authorities).
51. The arm's length decision-making of the NZTA could usefully be mirrored by a move towards

69. Construction and infrastructure standards should be strengthened to recognise the essential contribution that “green” construction will make to environmental outcomes in a future system. There are different ways in which this could be achieved, including through performance-based subsidies, stronger certification programmes, charging, and incentives.

There needs to be a more coordinated approach to decision-making on land use and infrastructure, including through an overarching spatial planning framework

70. A future system should see greater alignment between processes under an Environmental Stewardship and Planning Act (especially for land use change) and infrastructure legislation, although they will need to remain distinct. Related decisions should be reached within a reasonable time of each other.

71. There should be closer alignment between the principles underpinning an Environmental Stewardship and Planning Act and infrastructure legislation.

72. A new legislative framework should be established to provide for mandatory regional and cross-regional spatial plans to be created. These plans would outline a vision for how urban areas would grow, contract or change over time.

73. Regional spatial plans would not be directly binding in a regulatory sense. However, they should have real legal influence on decision making under more targeted frameworks (eg for land use and infrastructure). It would not be feasible for them to be given effect to in these other statutes but a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing.

74. On balance, we think that regional policy statements should be included within regional combined plans under an Environmental Stewardship and Planning Act. They should be reviewed alongside regional spatial plans.

75. Other existing instruments could be subsumed within regional spatial plans (eg council infrastructure strategies) or removed entirely (eg future development strategies required under the NPS on Urban Development Capacity).

76. There would need to be a robust process for the creation of spatial plans. Central government and Māori involvement in co-creation, alongside councils, infrastructure providers and communities, would be important.

78. Spatial plans would contain considerable value-based judgements and should not be subject to appeal. However, independent review by a Futures Commission and Tikanga Commission/ commissioners would be important to ensure an inter-generational view is taken.

78. Final sign off should be by councils and mana whenua, and it would be important for an ongoing Crown commitment to implementation to be reflected in formal ministerial sign off as well.

79. Spatial plans should be accompanied by a description of anticipated costs, and should signal where funding is envisaged to come from.

An urban development authority model will be useful for urban growth and renewal, but the Urban Development Act should be changed in fundamental ways

80. We see a place for an urban development authority model in a future system. In particular, central government should have an active role in development activities to provide housing and act as a catalyst for urban renewal.

81. Powers to compulsorily acquire land will be intensely controversial (especially without offer back rights) and will require robust safeguards. But some powers will be useful for the regeneration of complex brownfields sites at scale.

82. The RMA's (and, in the longer-term, Environmental Stewardship and Planning Act's) purpose and principles will need to remain pre-eminent in all types of decision-making under the Urban Development Act, aside from targeted changes to aspects like urban amenity. The relationship between the statutes needs to be made clearer and less complex.

83. The position of national direction under the Urban Development Act is not strong enough. We do not see any compelling reason to change the direction to “give effect” to it, as is the case under the RMA, particularly in light of the development-oriented purpose of the Bill and Kāinga Ora's stronger obligation to give effect to the government's policy statement on housing and urban development.

84. We see no compelling reason why powers under the Urban Development Act should extend to the ability to override regional functions. Regional councils (prior to local government structural reform proposed earlier) should have a stronger role under the legislation.

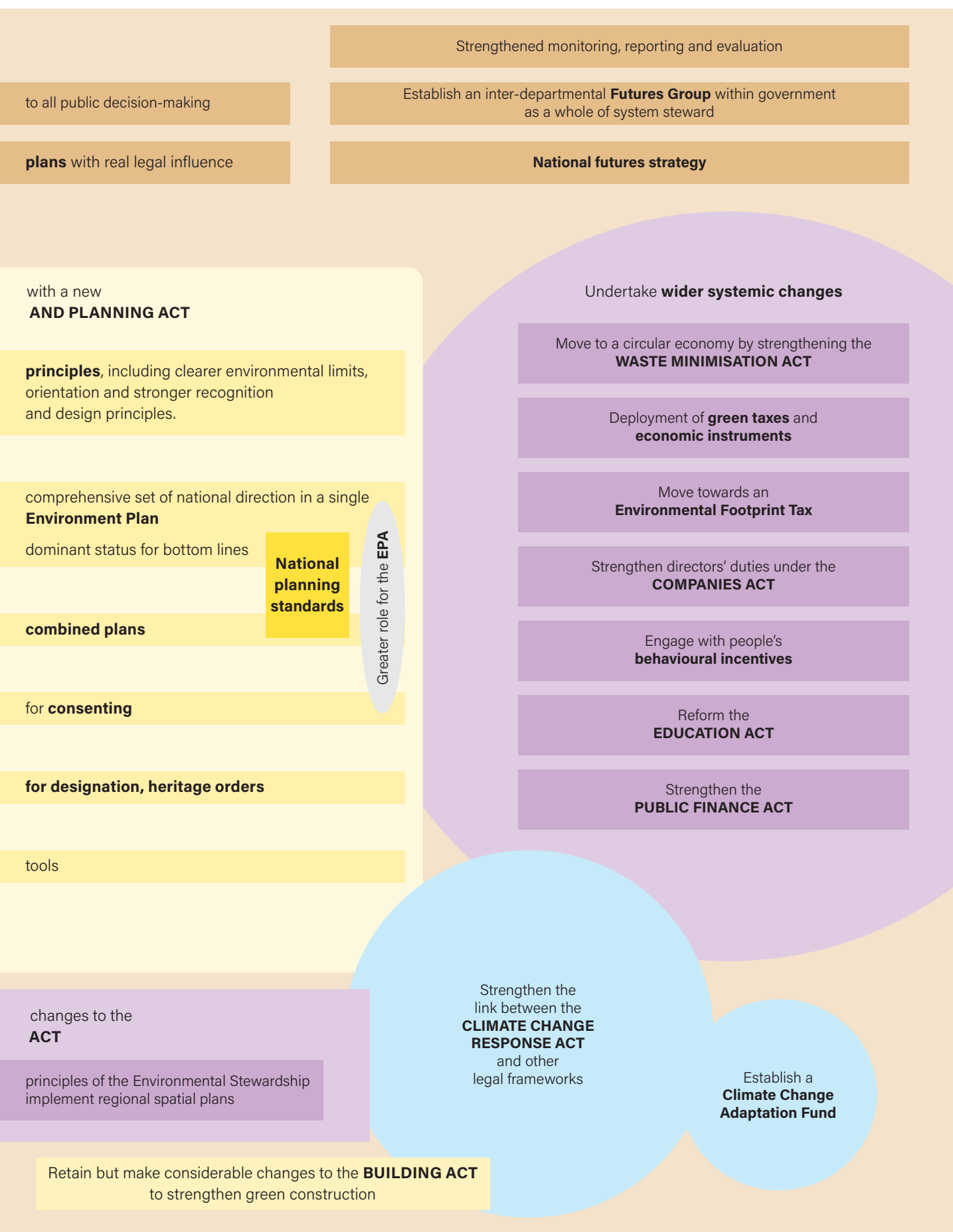
ENDNOTES

- 1

See G Severinsen *Reform of the resource management system: A model for the future* (EDS, 2019), from 138. We note that it is positive that the EPA has taken on a stronger compliance and enforcement role under the RMA by virtue of the Resource Management Amendment Act 2020.
- 2

At the time of writing, there is a proposal for central government funding of water infrastructure to essentially be conditional on councils accepting the need for institutional reform in water providers.

SYSTEM FROM AN URBAN PERSPECTIVE



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